Report: UK Housing Market Analysis and Affordable Housing Solutions

Affordable Housing Paper , The Home@ix Formula.

Introduction

This report analyzes the current state of the UK housing market, focusing on affordability challenges and potential solutions. It draws insights from various sources to provide a comprehensive overview of the housing crisis and proposes strategies to address it.

Key findings:

- The UK faces a severe housing shortage, with a need for approximately 90,000 new social rent homes annually for the next decade.
- Current housing policies and market dynamics have led to rising prices, decreased homeownership rates, and increased rental costs.
- Innovative approaches, including build-to-rent schemes and policy reforms, are necessary to address the housing crisis.

Section 1: The UK Housing Crisis - Scope and Causes

- **Severe housing shortage:**
  - 1.3 million households on social housing waiting lists.
  - Over 145,000 homeless children in temporary accommodation.

- **Market imbalances:**
  - House prices have risen faster than incomes, with the average UK house costing about nine times the average earnings.
  - Homeownership rates have declined from a peak of over 70% in the early 2000s to 63-65%.

- **Planning system inefficiencies:**
  - The post-war planning regime established in 1947 restricts land availability.
  - Failure to respond adequately to market demands.

- **Financial factors:**
  - Withdrawal of mortgage finance for first-time buyers has contributed to the collapse in homeownership rates.
  - The financialization of housing has shifted focus towards investment properties rather than affordable homes.

Section 2: Build-to-Rent and Market Dynamics

- **Growth of the Build-to-Rent (BTR) sector:**
  - £1.3 billion invested in Q2 2024, a 38% increase year-on-year.
  - Total BTR pipeline (completed, under construction, in planning) stands at nearly 262,000 units.

- **Single Family Housing (SFH) trends:**
  - SFH accounted for 56% of total BTR investment in Q2 2024.
  - Number of completed SFH homes projected to double by 2026.

- **Market value and projections:**
  - UK rental accommodation market estimated at £79 billion, expected to rise to £127 billion by 2029.
  - Annual BTR asking rents outside London rose by 4.2%, indicating a return to sustainable growth levels.

Section 3: Policy Recommendations and Solutions

- **Six-point plan for addressing the housing crisis:**
  1. Set clear government goals for social housing construction.
  2. Revamp the Affordable Homes Programme to prioritize social rent homes.
  3. Reform land acquisition processes to reduce costs.
  4. Streamline the planning system for timely approvals.
  5. Encourage local councils to build more social homes.
  6. Explore innovative delivery methods, including converting empty homes and supporting community land trusts.

- **Financial and economic considerations:**
  - Building social rent homes could yield £51.2 billion in economic benefits over 30 years.
  - Introduce a Land Value Tax (LVT) to discourage land banking and promote efficient land use.
  - Enhance the New Homes Bonus and adjust council tax to encourage development.

- **Planning and land use reforms:**
  - Transition to a rules-based planning system that encourages development.
  - Unlock brownfield sites and consider selective development on green belt land.
  - Implement a Land Use Framework to balance competing demands for land use.

Section 4: The Role of Institutional Investors and Financial Markets

- **Impact of institutional investors:**
  - Large buy-to-rent investors have significant effects on local real estate markets.
  - Positive externalities observed in areas with institutional purchases, including increased property values.

- **Mortgage market effects:**

  - Increased mortgage use in areas with buy-to-rent purchases.
  - Growth primarily from existing lenders rather than new market entrants.

- **Challenges and opportunities:**

  - Need for balance between institutional investment and affordable housing provision.
  - Potential for innovative financial products to support first-time buyers and affordable housing schemes.

Conclusion

The UK housing market faces significant challenges, including a severe shortage of affordable homes, rising prices, and declining homeownership rates. Addressing these issues requires a multi-faceted approach involving policy reforms, increased investment in social housing, and innovative market solutions.

Key recommendations include:

- Setting ambitious targets for social housing construction.
- Reforming the planning system to encourage development.
- Exploring new financial models to support affordable housing.
- Balancing the role of institutional investors with the need for affordable homes.

By implementing these strategies, the UK can work towards a more balanced and accessible housing market that meets the needs of all residents. The success of these initiatives will depend on collaboration between government, local authorities, private developers, and communities to create a sustainable and equitable housing ecosystem.

Draft Affordable Housing Paper , The Home@ix Formula.

The Home@ix Ethos

See Pattern 79, **Full Book PDF**

"in the imperishable primal language of the human heart house means my house, your house, a man's own house. The house is the winning throw of the dice which man has wrested from the uncanniness of universe; it is his defense against the chaos that threatens to invade him. Therefore his deeper wish is that it be his own house, that he not have to share with anyone other than his own family."(1)

(1)(Martin Buber, *A Believing Humanism: Gleanings*, New York: Simon and Shuster, 1969, p. 93.)

“A common element in all these cases is the understanding that the successful development of a household’s “home” depends upon these features: Each household must possess a clearly defined site for both a house and an outdoor space, and the household must own this site in the sense that they are in full control of its development.

Therefore:

“Do everything possible to make the traditional forms of rental impossible, indeed, illegal. Give every household its own home, with space enough for a garden. Keep the emphasis in the definition of ownership on control, not on financial ownership. Indeed, where it is possible to construct forms of ownership which give people control over their houses and gardens, but make financial speculation impossible, choose these forms above all others. In all cases give people the legal power, and the physical opportunity to modify and repair their own places. Pay attention to this rule especially, in the case of high density apartments: build the apartments in such a way that every individual apartment has a garden, or a terrace where vegetables will grow, and that even in this situation, each family can build, and change, and add on to their house as they wish”.

For the shape of the house, begin with building complex (95). For the shape of the lot, do not accept the common notion of a lot which has a narrow frontage and a great deal of depth. Instead, try to make every house lot roughly square, or even long along the street and shallow. All this is necessary to create the right relation between house and garden—half-hidden garden (111).

Video By Roger during Lockdown Streamed live on Sep 19, 2020

Who are you? You and Me, us our and Them? UR reality. A week is a long time in Politics

Title: A Reflection on Recent Events and Policy Goals

As we look back over the past 12 months, the prospect of a second full lockdown in the UK looms on the horizon. As a businessman with a background in property development, I find myself reflecting on my journey through life, particularly as I recently

celebrated my 56th birthday. This milestone has prompted me to contemplate the future and the broader implications of our current circumstances.

Having retired at the age of 39, I embarked on a new phase of my career, which led me to re-launch my business last autumn. Subsequently, I made the decision to invest my pensions independently, believing I could achieve better returns than traditional investment options. This journey has taken me from living in Scandinavia for the past 10 years to frequent travels to the UK, particularly in light of recent family visits and business endeavors.

In the midst of these personal reflections, I have also been exploring various literary pursuits, including writing poetry and engaging in discussions about economic and social issues through various platforms. My recent involvement with Yumpu, a magazine platform, has allowed me to compile and share my thoughts on a range of topics, from investment strategies to artistic expressions.

One of the key themes that has emerged from my recent activities is a critical examination of global policy goals, particularly those outlined in UN Agenda 21 and Agenda 2030. These policy objectives have significant implications for various aspects of society, and it is essential to engage in informed discussions about their potential impact.

Furthermore, I have been vocal about the influence of prominent figures such as Bill Gates and Warren Buffett, emphasizing the need for a balanced approach to considering their perspectives within the broader societal discourse. It is crucial to critically evaluate the actions and statements of influential individuals, especially when they pertain to public health and economic policies.

As we navigate through these complex and challenging times, it is imperative to uphold principles of democratic engagement and free speech. Constructive dialogue and informed debate are essential for addressing the multifaceted issues we face as a global community.

In conclusion, my recent experiences have underscored the importance of thoughtful reflection and active participation in shaping the future. By engaging in open and respectful discourse, we can work towards a more inclusive and equitable society.

As I continue to navigate through these dynamic times, I am committed to contributing to meaningful conversations and endeavors that promote positive change. It is my hope that these reflections will inspire others to engage in similar introspection and dialogue as we collectively strive for a better future.

Thank you for taking the time to consider these reflections. I look forward to continuing these discussions and endeavors in the days ahead.

Awake! awake O sleeper of the land of shadows, wake! Expand!

Title: Reflections on Richard Rorty's Vision of the Future, Streamed live on 10 Dec 2021

In 1996, American pragmatist Richard Rorty penned an article for the New York Times titled "Fraternity Reigns," offering a thought-provoking vision of the future. Rorty's piece takes us on a journey to the end of the 21st century, reflecting on the societal and political changes that occurred during the dark years of 2014 to 2044.

Rorty's insightful analysis delves into the evolving political vocabulary and the shifting dynamics between the moral and economic orders. He highlights the societal transformation that led future generations to question the moral implications of economic disparities that were once deemed acceptable by their ancestors.

The article explores the historical context, drawing parallels between past struggles such as slavery and the contemporary challenges of economic inequality. Rorty delves into the evolution of political discourse, emphasizing the transition from a rights-based framework to a focus on fraternity and solidarity.

Furthermore, Rorty addresses the intersection of capitalism and democracy, shedding light on the complexities and tensions that arise from their coexistence. He examines the impact of economic ideologies on societal well-being, urging readers to contemplate the delicate balance between individual rights and collective welfare.

Rorty's narrative extends beyond political theory, delving into societal values and cultural shifts. He discusses the resurgence of fraternity as a cherished ideal, emphasizing the importance of fellow feeling and empathy in shaping a cohesive society.

The article also touches upon the global landscape, comparing America's position in the world at the turn of the 21st century with its historical exceptionalism. Rorty reflects on America's evolving role in global affairs and its redefined place in the international community.

As we reflect on Rorty's vision of the future, it prompts us to consider the enduring relevance of his insights in our

contemporary context. His exploration of societal transformation, economic ideologies, and moral evolution serves as a compelling framework for evaluating our present-day challenges and aspirations.

In conclusion, Rorty's article offers a profound reflection on the interplay between politics, economics, and societal values. His visionary outlook invites us to contemplate the trajectory of human progress and the enduring quest for a harmonious and just society.

As we navigate the complexities of our modern world, Rorty's words continue to resonate, urging us to strive for a future guided by fraternity, solidarity, and empathic understanding.

THE PROPERTY LOBBY WITH RANJAN AND ROGER Streamed live on 20 Jun 2021

The Property Lobby: The Hidden Reality behind the Housing Crisis by Bob Colenutt.

Title: A Critical Review of the Housing Crisis and Economic Dynamics

In the wake of the global financial crisis of 2008, the housing market has been a subject of intense scrutiny. The book "The Property Lobby: The Hidden Reality Behind the Housing Crisis" by Bob Colenutt offers a compelling analysis of the complex interplay between the property lobby, finance, and housing markets. This review aims to provide an in-depth assessment of the key themes and insights presented in the book.

Colenutt's exploration of the finance-house building complex sheds light on the intricate power dynamics and ideological roadblocks that have perpetuated the housing crisis in the UK. Drawing from Naomi Klein's quote in "This Changes Everything," Colenutt skillfully deconstructs the mechanics of the transition and highlights the entrenched power structures that hinder meaningful change on a scale necessary to address the housing crisis.

The chapters in the book offer a comprehensive examination of critical aspects such as the housing shortage, house building business, financing, property lobby, and the impact of the 2008 financial crash. The author delves into local case studies and proposes solutions to unblock the impasse, providing a well-rounded understanding of the multifaceted challenges within the housing sector.

One of the most striking revelations in the book is the revelation of how the property lobby, referred to as the finance-house

building complex, has played a significant role in exacerbating the housing crisis. Colenutt meticulously dissects the influence of this lobby on shaping national housing and planning policies, shedding light on its role in perpetuating the crisis.

The analysis also touches upon the impact of macroprudential regulations and international finance on housing markets. The book provides a critical assessment of how foreign acquisitions of urban land for long-term investment have reshaped global land ownership patterns, signaling a new alignment of power in land and housing markets.

Furthermore, Colenutt's review of the Callcutt report on house building delivery offers valuable insights into the challenges faced by the industry. The report's conclusion that there was no evidence of house builders holding onto land longer than necessary raises crucial questions about land banks, planning permissions, and rapid build-out rates.

The review also delves into the issue of price fixing in public lands, highlighting concerns about foreign ownership and bidding for land in major cities. The author's exploration of Saskia Sassen's analysis of a global scramble for urban land underscores the profound impact of strategic land acquisitions on housing markets.

In conclusion, "The Property Lobby: The Hidden Reality Behind the Housing Crisis" presents a thought-provoking examination of the intricate forces at play in the housing sector. Colenutt's incisive analysis offers valuable insights into the structural challenges and power dynamics that underpin the housing crisis. This review aims to encourage further discourse and critical reflection on these pressing issues.

As we navigate the complexities of housing policy and economic dynamics, it is imperative to engage with rigorous research and critical analysis to inform informed decision-making and drive meaningful change in addressing the housing crisis.

Thank you for taking the time to engage with this critical review. Your thoughtful consideration of these vital issues is paramount as we collectively strive to shape a more equitable and sustainable housing landscape.

The Pulling up of the Affordable Housing Ladder. Streamed live on Jun 4, 2022

Post-2000 after the Millenium celebrations a Year 2 k bug appeared in the UK property market which has repeated everywhere in the G7. This year 2K bug decimated the Affordable Housing sector, the effect was a Pulling of the housing ladder up behind those who

were at the top of the Ladder, leaving Millennials, Gen x, and Gen z stranded in a desert of Student debt and ever-increasing rentals. At Home@ix we have mapped the breakdown of the market from nineteen 95, all the way up to 2022 , in terms of how the average price has changed effectively, it shows a migration Of value and activity to the top half of the Housing Ladder rungs 50 to 100.
https://www.loveproperty.com/gallerylist/55171/uk-house-prices-from-the-year-you-were-born-to-today

https://www.allagents.co.uk/house-prices-adjusted/

Home@ix Understanding Affordable housing and Mortgage finance

In this broadcast, we are examining the withdrawal or pulling up of the housing ladder post-2000, after the millennium celebrations. The year 2000 bug appeared in the UK property market, decimating the affordable housing sector for both homebuyers and renters. This has left millennials, generation X, and generation Z stranded in a desert of student debt and ever-increasing rentals.

The presentation begins with a detailed analysis of the breakdown of the market from 1995 to 2022, showing the migration of value and activity to the top part of the housing ladder, defined as rungs 50 to 100. The data, extracted from the land registry for England and Wales, illustrates the shifts in average house prices and the number of transactions in different value bands.

The market began to split into two groups around 2000, with a pronounced drop in volumes and the emergence of two peaks in specific value bands. This trend represents the widening of the north-south divide in the UK, particularly between London and the southeast versus the rest of the country. It accelerated the erosion of affordable purchasing opportunities and had a significant impact on mortgage lending figures.

Following the global financial crisis, there was a drastic drop in sales volumes at the affordable end of the market. While there have been fluctuations in average house prices over the years, the dominant market has shifted towards the higher end of the property ladder.

The data clearly indicates a skewing of activity towards the top half of the property ladder, with a pull-up of the ladder on the bottom half. This has resulted in a significant increase in average prices, particularly in the top half of the market.

As we look at the data from 2020 to 2022, it becomes evident that the top half of the property ladder continues to dominate in terms of activity and price increases. The average UK price in March 2022 was significantly higher than the previous year, reflecting a continued skewing to the right.

These trends highlight the challenges faced by individuals in accessing affordable housing, especially for those at the lower end of the market. It also underscores the need for policies and initiatives to address this imbalance and ensure that housing remains accessible to all segments of society.

In conclusion, the analysis of housing market trends post-2000 reveals a clear shift in activity and pricing towards the top half of the property ladder, leaving behind significant challenges for those seeking affordable housing options. This calls for a comprehensive approach to address these issues and ensure a more balanced and inclusive housing market for all.

Data in Spread Sheet

housing market banded-country-England and Wales-by-district-old and newbuild-1995 to may 2022

Moduloft tests the Urban Splash Configurator by House. #Moduloft #AffordablebyDesign **Streamed live on 21 Sept 2020**

In a recent demonstration, Roger Lewis from Moduleoft Real Estate Land Developments Limited showcased the Urban Splash House Configurator, an online design app that allows users to customize their own apartments. As Moduleoft focuses on modular and affordable design, they are keenly interested in exploring competitors and admired companies such as Urban Splash. Lewis expressed his enthusiasm for the potential of similar customization in Moduleoft's units, which are set to be produced in their upcoming pop-up factories across the UK.

While attempting to access the Urban Splash House Configurator, Lewis encountered difficulties with the app's optimization and loading process. Despite several attempts, the app failed to load, prompting Lewis to consider potential reasons for the technical issues. He speculated whether it was due to his broadband connection, the Google browser, or the Linux operating system he was using. However, he emphasized that such technical challenges should not arise, as the app's operations are primarily server-based.

During the waiting period, Lewis shared his admiration for Urban Splash's developments, particularly noting the clean and well-designed spaces showcased in the slideshow. He also highlighted the quality associated with offsite manufacturing and praised the attractive features of the Urban Splash houses.

As the app continued to struggle with loading, Lewis took the opportunity to discuss other aspects of Moduleoft's offerings, including their plans for developments, affordable products, and a mortgage company. He encouraged viewers to explore their website and provided information on registering for their products.

Despite the setbacks, Lewis remained optimistic about the potential of the Urban Splash House Configurator and expressed his eagerness to explore its features. He also acknowledged the possibility of trying to access the app from a Windows machine in the future to assess if it yields better results.

In conclusion, Lewis signed off from the demonstration, expressing his continued interest in affordable and modular design while acknowledging the technical challenges faced during the live broadcast. He emphasized Moduleoft's commitment to offering innovative solutions and looked forward to potential success in utilizing tools such as the Urban Splash House Configurator in their future projects.

Housing Market debate House of Lords Volume 825: debated on Thursday 17 November 2022

Volume 825: debated on Thursday 17 November 2022 That this House takes note of the multiple problems affecting all tenures in the housing market in England; and the case for a coherent strategy to encompass the social, economic, and environmental aspects of housing and construction. Baroness Warwick of Undercliffe Opening the Debate on the above motion. Looking at affordability, the latest ONS figures show that the average UK house price was £296,000 in August 2022, up 14.3% over the previous year in England. Prices in England have gone up by 76% since 2012. Despite regional differences, all areas have experienced increased prices. Average house prices in London, despite it having the lowest annual house price growth rate, remain the most expensive of any region in the UK. The ONS also estimates that full-time employees can typically expect to spend around 9.1 times their workplace-based annual earnings on purchasing a home in England, compared to 3.5 times in 1997. The number of new social rented homes has fallen by over 80% since 2010. The Government committed in their 2019 manifesto to build 300,000 new homes annually by the mid-2020s. I hope the Minister will tell the House what plans are in place to deliver on those numbers, given the stark facts I have

listed. We currently face a grave affordable housing crisis which continues to worsen, with 4.2 million people currently in need of social housing in England. Understanding the scale and types of housing need across the country is essential for planning effective policy responses and informing the debate around the need for new homes. People in Housing Need, a report published by the National Housing Federation last December, found that half a million more families are in need of social housing than are recorded on official housing waiting lists. Two million children in England—one in every five—are living in overcrowded, unaffordable or unsuitable homes. Some 1.3 million of these children are in need of social housing, as this is the only suitable and affordable type of home for their families. Need for social housing has risen in all parts of the country, yet the supply of social rented housing has fallen, as I have said, by 85% since 2010-11, with the number of social rent homes available for letting each year also falling since 2014-15. We are living through a severe crisis of housing supply and affordability, which is increasing housing vulnerability. Long-term investment in social housing would provide people with suitable homes that they can afford and support the Government's commitment to level up disadvantaged communities across the country. Last year, housing associations built more than 38,000 new homes. Building these homes directly added £2.1 billion to the national economy, supporting more than 36,000 jobs. Housing associations in England currently provide 2.8 million homes for 6 million people, housing 11% of the population. The lower rents they charge save tenants £9 billion annually, making significant savings for the Treasury by bringing down the housing benefit bill. However, current inflationary pressures are having a significant impact on housing associations' ability to deliver new developments. According to data commissioned from the Centre for Economics and Business Research, material costs for repairs and maintenance have increased by 14% and it is 12.3% more expensive to build new homes than it was last year. Although Section 106 is not perfect, it delivers significant numbers of affordable homes; currently around 50% of all new affordable housing is delivered in this way. It is vital that the energy efficiencies of homes are greatly improved. Over 60% of social homes are certified EPC C or above, but other tenures average just under 40%. Currently, 23% of privately rented homes are non-decent, rising to 29% of homes privately rented by people receiving housing support. Some 16% of owner-occupied homes and 12% of social housing homes are currently non-decent. The recent appalling case in Lancashire reinforces this point. Reform in the sector is often piecemeal and disjointed, as illustrated by the fact that we have had five different Housing Ministers in the past year and 14 different Ministers since 2010. Affordable housing is a key driver of economic growth. Managing and maintaining housing associations' existing homes directly adds £11 billion to the national economy annually. Housing associations are an essential part of the housing market.

Right to buy: Past, present and future

https://lordslibrary.parliament.uk/right-to-buy-past-present-and-future/

The policy known as ‘right to buy’ gives local authority housing tenants the power to purchase their home at a discounted rate. The government has recently announced plans to extend the right to buy to housing association tenants. The conditions of right to buy have been regularly changed since its introduction in 1980. Recent trials have tested how it could be extended to housing association tenants.

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- 4. What is the potential impact of an expansion of right to buy to housing association tenants?

Local authority tenants have been able to purchase their homes since 1936. This article summarises the legislative changes around the sale of local authority properties since the policy was introduced. It examines how many properties have been sold under this policy and whether they have been replaced. It also discusses the impact the policy has had on the availability of social

housing and the potential for future expansion to housing associations.

1. A history of right to buy

The terms for purchase of local authority housing have been altered on multiple occasions since the policy was first introduced. The most well-known changes were enacted by the Housing Act 1980 and the policy has been known since as 'right to buy'. This section gives a brief overview of the changes to the policy from 1919 to the present day.

1.1 Before 'right to buy'

Legislation on the construction and sale of local authority housing was introduced from the end of the first world war onwards:

- The Housing, Town Planning, &c. Act 1919 introduced council housing to the UK for the first time.
- The Housing Act 1936 permitted local authorities to sell their social housing stock to tenants with ministerial consent.
- The House Purchase and Housing Act 1959 removed the requirement of ministerial consent for sale. Tenants were still unable to purchase their home without agreement from the local authority.

1.2 Housing Act 1980

In 1980, the then government passed legislation which enabled many local authority tenants to buy their home at a discounted rate. This followed a pledge in the 1979 Conservative Party manifesto to give local authority tenants the 'right to buy' their own home. The manifesto said that helping people into home ownership was one of party's "five tasks". After winning the subsequent general election, the new Conservative government introduced the Housing Act 1980. This act gave the tenants of over 5mn local authority houses in England and Wales the right to purchase their home. The Tenants' Rights, Etc. (Scotland) Act 1980 applied the same policy in Scotland. A separate house sales scheme in Northern Ireland involved small differences. There was no obligation under these acts for councils to use receipts from housing sales for construction of new social housing.

The right to buy was conditional on the length of tenancy. It extended to local authority tenants of three or more years. A discount was offered to help tenants, who were often on low incomes. The minimum discount was 33%, increasing by 1% for every further year of tenancy above three years. The maximum discount could not exceed £50,000, equivalent to just over £200,000 in 2022. These discounts had to be paid back if the property was sold within five years. Tenants also had the right to a mortgage from their local authority.

1.3 Further changes before 2010

Changes were made to right to buy during the 1980s and 1990s. These mostly increased eligibility and uptake. Changes made by legislation included:

- The Housing and Building Control Act 1984 extended the scheme to tenants on long leases and reduced the tenure requirement to two years. It also increased the discount to a maximum of 60% after 30 years tenancy.
- The Housing Act 1985 was a consolidating act. Current right to buy legislation is provided for in this act.
- The Housing and Planning Act 1986 increased discounts for flats to 44% after two years, reaching a maximum of 70% after 15 years. The resale penalty was also reduced so discounts only had to be repaid on sales within three years.
- The Housing Act 1988 introduced 'delay notices', which gave compensation to tenants whose landlords delayed implementing a sale.
- The Leasehold Reform, Housing and Urban Development Act 1993 removed the right to a local authority mortgage.
- The Housing Act 1996 introduced a right to acquire for housing association tenants. Tenants qualified after two years but with much smaller discounts than under right to buy.

The Commons Library briefing 'Introducing a voluntary Right to Buy for housing association tenants in England' (15 June 2022) provides further information.

Devolution led to a divergence in policy between the constituent UK nations. In 1997, powers for housing were devolved to Wales and Scotland. These nations subsequently adopted different policies which removed the right to buy:

- The Housing (Scotland) Act 2014 abolished right to buy in Scotland.
- The Abolition of the Right to Buy and Associated Rights (Wales) Act 2018 abolished right to buy in Wales.

The house sale scheme in Northern Ireland will also end in August 2022 for housing association tenants, as stipulated in the Housing (Amendment) Act (Northern Ireland) 2020. Tenants of the Northern Ireland Housing Executive are not affected and will still be able to access the Housing Executive's right to buy scheme.

Changes made after 1997 reduced the incentive to purchase. Right to buy discounts in England were reduced in February 1999 to between £22,000 and £38,000 depending on the region. Discounts were reduced again in 2003 to a maximum of £16,000 except in the most expensive areas of London and the southeast where they remained at £38,000. The qualifying period was increased from two to five years in the Housing Act 2004. This act also introduced an

obligation for those wishing to sell their home within 10 years of purchase to offer the property at market value to the former landlord or successor organisation.

1.4 Coalition government and increased discounts

The Conservative-Liberal Democrat coalition government made further changes to the scheme to re-incentivise purchase:

- The maximum discount was raised to £75,000 in 2012 then to £100,000 in London in 2013. The maximum percentage discount was increased to 70% in 2014.
- The government made a commitment to replace properties sold. The government promised 1:1 replacement and that new properties would be provided within three years of sale. This only applied to additional properties sold over and above the approximately 2,500 properties that were already being sold each year prior to the commitment.
- In the 2013 autumn statement, Chancellor George Osbourne introduced 'right to buy agents' to help buyers complete purchases. He also introduced a £100mn fund to improve access to mortgage finance.
- The Deregulation Act 2015 reduced the qualifying tenancy period for discount back to three years.

1.5 Right to buy and housing associations

The Conservative Party's 2015 general election manifesto included a commitment to extend right to buy to housing association tenants. This was in addition to the existing 'right to acquire scheme' for housing association tenants, which had been introduced in 1996. The right to acquire scheme is less generous than the scheme for those in homes owned by local authorities. The extension of right to buy to housing association tenants was initially implemented on a voluntary basis following agreement between the National Housing Federation (NHF) and the government. The agreement maintained the independence of housing associations, allowing them to refuse sale in certain circumstances.

The extended right to buy was initially piloted by five housing associations. In August 2018, a larger-scale regional pilot was launched in the midlands, with those wishing to purchase having to register online before 16 September 2018.

In a speech on 9 June 2022, Prime Minister Boris Johnson announced an extension of 'right to buy' to housing association tenants. This included a pledge to build a new social home for every property sold.

2. How many houses were sold under right to buy and were they replaced?

2.1 Housing sales

Sales of local authority housing prior to the Housing Act 1980 were relatively limited. Between 1957 and 1960, 16,000 council houses were sold in England. The 1980 act led to a surge in sales. Over 100,000 properties were sold for each of the first three full financial years following the passing of the act. A review published in the Journal of Housing Economics suggested high initial sales were due to pent-up demand from older tenants. These tenants qualified for high discounts from their long tenancies. The number of sales declined after the first few years. Government figures show that a peak of 167,123 houses were sold in the 1982/83 financial year. Sales fell to between 70,000 and 100,000 a year for the following four financial years, from 1984 to 1988. Sales again increased to over 130,000 a year between 1988 and 1990. The gradual decline in sales was in part due to dissipation of initial demand. Rising unemployment and high interest rates also caused demand to fall away.

Sales fluctuated from the early nineties onwards until the Housing Act 2004. Sales were between 30,000 and 70,000 a year from 1991 to 2005. This declined from the 2004/2005 financial year onward reaching an average of fewer than 4,000 sales per year in the 2008/09 to 2012/13 financial years. Sales increased from 2012 onwards, but numbers have not returned to levels seen prior to the 2007/08 financial year.

Alan Murie, emeritus professor at the University of Birmingham, suggests receipts from sales following the 1980 act were initially greater than the Treasury expected. The Chartered Institute of Housing's UK housing review 2021 found the Treasury had made £47bn from right to buy receipts since the policy was introduced.

2.2 Local authority construction

The Housing, Town Planning, &c. Act 1919 led to a huge programme of social housing construction. UK local authorities built over 5mn houses between 1949 and 1980. The local authority housing stock grew until 1980 as construction outstripped sales. UK households renting from local authorities peaked in 1980 at over 5mn. The annual investment in local authority housing peaked at £12bn in the 1974/75 financial year, equivalent to £20bn in 2020/21.

The introduction of the 'right to buy' coincided with a decline in social housing construction. No commitment was made to replace properties sold when right to buy was introduced. In the five full calendar years prior to the introduction of the Housing Act 1980, 627,830 local authority houses were constructed across the UK. In

the five years following the act, 215,580 were built. This downward trend continued over the following decades, with 130 local authority houses constructed in 2004.

Two acts in the 1980s reduced the capacity for local authorities to build social housing. The Local Government, Planning and Land Act 1980 allowed central government to impose grant penalties on councils that exceeded newly imposed expenditure limits. The Local Government and Housing Act 1989 required local authorities to set aside 75% of sales receipts, which could only be used to pay down debt until the local authority became debt-free. These changes reduced the ability of local councils to borrow money for capital expenditure, including construction of social housing.

In 2012, a policy of 1:1 replacement for properties sold was introduced. Numerous concerns were raised over the proposed replacements. They included the absence of a commitment to replacement properties being 'like for like' with the potential for houses to be replaced with flats.

Construction of replacement housing is below the government target. Ministry of Housing, Communities and Local Government figures released in July 2021 show that as of March that year, 36,380 additional affordable homes had been started or acquired since 2012. This compared to a replacement target of 46,108, a shortfall of 9,728 properties.

2.3 Housing association construction

Housing associations are private, not-for-profit organisations that supply affordable housing. In the 1980s, the Conservative government gave greater responsibility to housing associations for providing affordable accommodation. The Housing Act 1974 allowed housing associations to receive public funding for the construction of social homes. The Housing Act 1988 facilitated the transfer of social housing from local authorities to housing associations. This was done upon tenants' approval by poll and supporters argued it allowed greater investment in housing stock.

Construction of housing association properties began to increase in the late 1980s. A peak of 35,910 housing association properties were built in the UK in 1993, compared to 13,150 in 1987. However, this did not offset the reduction in local authority construction. An average of 4,880 local authority houses were constructed per year in the UK in the 1990s compared to 39,209 in the 1980s and 129,310 in the 1970s. Private sector construction remained relatively flat over this period.

A combination of the reduction in the rate of construction of social housing and sale of local authority housing led to a reduction in the availably of social housing in

England. Government figures show a reduction from 5.5mn in 1980 to 4.1mn in 2021.

3. What was the impact of the right to buy on tenure and the affordability of social housing?

3.1 Home ownership versus rental

Social housing construction during the 20th century led to a transition from private to social rents. In 1918, 23% of homes were owner occupied and only 1% were social rents. The remaining households were private sector rents. By 1981, 31% of homes were social rents, compared to 11% for private rents.

Home ownership increased in the years following the introduction of 'right of buy'. In England, 69% of homes in 2001 were owned by the occupier, compared with 58% in 1981. However, this has since declined to 63% of households in the two years from 2016 to 2018.

The greatest decline in home ownership has been among the young. People between the ages of 16–44 are less likely to own a home than they were in 1981. By 2011/12, only 10% of 16–24-year-olds owned their own home, compared to 36% in 1981.

The size of the private rented sector has increased since 1980. Office for National Statistics (ONS) data shows that between 2007 and 2017 the number of UK households in the private rented sector increased by 63%. The ONS also reported that in 2017, 15.8% of people aged between 45 and 54 were renting privately, compared to 5.6% in 1997. The ONS comments that over time this may lead to a higher proportion of older people living in private rented accommodation. Research by insurer Royal London has found that retirees living in private rented accommodation may need nearly double the savings of those owning their own home to avoid a reduction in living standards.

Research from the Brookings Institution, a US-based public policy organisation, has suggested that right to buy and a reduction in construction of social housing has caused a revival in the private rental sector. The Guardian newspaper has argued that high private sector rents and increased house prices have made saving for a mortgage deposit more difficult and therefore have reduced home ownership.

The number of former council homes that are owner occupied has reduced over time. Data from 111 councils in England in 2017 revealed that over 40% of former council homes were now in the private rented sector.

3.2 Availability and affordability of social housing

Government data shows an initial decrease in the size of local authority housing waiting lists in England following the introduction of 'right to buy'. The number of households on local authority housing waiting lists declined from 1.29 million in 1987

to 1.02 million in 1998. Waiting lists subsequently increased, peaking at 1.85 million households in 2012. The Localism Act 2011 gave local authorities greater freedom to decide who should qualify to go on the waiting list for social housing in their area. Since 2012, the number of households on waiting lists has decreased to 1.18 million in 2021. There have been several legal challenges to local authority housing allocation schemes since the 2011 act came into force. These have focused on whether councils have given homeless families reasonable preference, the lawfulness of policies favouring workers, and whether allocation policies have discriminated against disabled people. The number of new social housing lets has also declined, down 23% in 2019/20 compared to a 2013/14 peak.

There is significant regional disparity in the availability of social housing, with the largest waiting lists for social housing in London. This disparity matches with sales under 'right to buy', with the largest number of sales in London. In 2020/2021, 295,953 households in London were on social housing waiting lists, compared to 53,087 in the north-east of England. Many London councils face a significant shortfall; in 2020/21 Lambeth Council had a waiting list of over 30,000 and only 379 dwellings were let to new tenants. Freedom of Information requests have revealed that local authorities in London have rented former social housing from the private sector for use as temporary accommodation for homeless families.

Significant investment may be required to increase the availability of social housing. The National Housing Federation found that £14.6bn would be required each year over the next 10 years to meet social housing requirements in England. It argued that any expansion in right to buy may increase this requirement.

4. What is the potential impact of an expansion of right to buy to housing association tenants?

Two pilots between 2016 and 2018 trialled an expansion of right to buy to housing association tenants. A review of the first pilot found that there was significant "pent-up demand" for purchase. This was largely among "middle aged" tenants.

A Department for Levelling Up, Housing and Communities data release in February 2022 stated that 1,839 housing association properties had been sold under the larger, second pilot. Construction of 437 replacement homes had started by 30 September 2021. The government had spent £118.8mn on grants and housing associations had received £192.2mn in sales receipts to be spent on replacement homes.

The second pilot identified lack of land availability and insufficient sales receipts as barriers to replacing properties sold. Responding to a written question on 27 April

2022, Minister of State for Housing Stuart Andrew said that the government “remains committed to right to buy”. He added that the government is reviewing the findings of the midlands pilot and would “announce further details on the voluntary right to buy in due course”.
The government recently announced that right to buy would be extended to housing association tenants. The prime minister, Boris Johnson, said the measures would “help millions more people realise what is currently an unattainable dream of home ownership”. Labour Leader Keir Starmer said that whilst he wants “as many people to own their own homes as want to”, the government’s announcement was the “wrong approach”.

The reluctant 10 Percent, Mortgagemaxm@ix

The video discusses a new product aimed at the "reluctant 10 percent" of renters who prefer to buy homes but face affordability issues, offering modern construction techniques and a 5% deposit mortgage to make home ownership more accessible, especially for key workers earning around £25,000 annually.

Income inequality, mortgage debt and house prices Bank of England research Paper by Sevim Kösem . A MortgageMaxM@ix and Home@ix group response.

Home@ix (formerly Moduloft) a Manufacturing and Customer Financing solution to enabling owner occupation for the Reluctant 10 per-centers. “our product is aimed at what we call the reluctant 10 per-centers and what i mean by that is if you envisage the property ladder as 100 rungs, since 2009 home ownership has fallen from 75% of occupation to 65% so there were 25% of people in the rental sector across all types of rental property in 2009 now in 2020 there are 35 percent and it occurred to me that those 10%of people, that 10 rungs of the property ladder would rather buy than rent and so what we've addressed the reasons why they haven't been buying and have been renting instead”
Roger Lewis ,
CEO Home@ix

I found this interesting article by Sevim Kösem
the WEF Real Estate portal this morning.
At Mortgagemaxm@ix and across the Home@ix group of companies we are committed to the Reluctant 10 percenters.

Moduloft is committed to the Entry Level budget homeownership Market. Delivering affordable Homes and the means to Finance them literally without costing the earth.
Moduloft is Green by design, and Affordable by design , we are experts in materials passports, Energy based economics and Placemaking.
We do have questions though regarding the Agenda 2030 sustainable development goals and whether financial products are being developed for our Customer price point.
This coming week we will publish a series of discussion papers surrounding the question. Is 21st Century Britain, in 2021, going to be a Home Owning democracy or a Rent seeking Banana Republic?

Real-Estate Land Development
Limited <rlddevelopments@gmail.com>Fri, Jun 18, 2021 at 7:34 AM
To: Emma Sugrue <emma@centaureainvestments.co.uk>
Cc: Rob Thomas <Rob.Thomas@instinctif.com>, Roger Lewis <rogerglewis13@gmail.com>, Chris Phillips <chris@centaureainvestments.co.uk>, Nicola Evans <nicola@lowergrenofen.co.uk>, Shakirah Akinwale <shax@akinwale.co.uk>, Michael Judd <MichaelJudd@hawkinsbrown.com>, Greg Manson <greg.manson@oaknorth.com>, Richard Werner <werner@hampshirebank.org>, Richard Werner <richard.werner@linacre.ox.ac.uk>, Dominic Cullinan <dominic.cullinan@scabal.net>, Tilley Harris <tilley@akou.co.uk>
Dear Rob and Chris,
Income inequality, mortgage debt and house prices.Published on 21 May 2021Staff Working Paper No. 921By Sevim Kösem

This is an interesting paper, I am tempted to place it in the Not even wrong category. At least it asks the question.
https://www.bankofengland.co.uk/working-paper/2021/income-inequality-mortgage-debt-and-house-prices

I think my Anaslysisfrom last year remains more robust than this Discredited General Equilibrium model approach.
I will write a critique of the paper over the weekend.
Affordable-homes-a-framework-of-understanding

Moduloft:The Affordable Housing Manufacturer Introduction to Our Series on understanding The Affordable Homes Equation.

Rob, I will be in the UK from End of June and able to Enter society after quarantine around 9th July , I will set up for us to go and see Oaknorth about their Mortgage License then.
Are you going to be around in July or are there dates to avoid?
Best

Rog
https://www.yumpu.com/en/document/view/64908759/debt-growth-money-supply-and-house-prices-rationing-the-right-to-shelter-buildbackbetter-4ir

Housing Market Fundamentals including Debt. From Shiller's Irrational Exuberance to The Covid19 Debt Bomb.#COP26 Moduloft Primer.

All links from Wayback machine may not work, there is an archive of all RLD and Home@ix research (This is a first Draft.)

Katerras Collapse Post Mortem and the The reluctant 10 Percent

Katerra, Is everyone missing the point?

https://www.linkedin.com/pulse/katerra-post-mortem-unicorn-dead-long-live-roger-lewis (Found article in Archive)

https://www.haaretz.com/israel-news/business/.premium-behind-the-bust-of-israel-s-billion-dollar-startup-1.5449726

Katerra Unicorn Article

Summary of Key Points from the Katerra Post Mortem Article

1. **Katerra's Collapse**: The article discusses the failure of Katerra, a construction technology company, attributing it to various factors including the COVID-19 pandemic's impact on the construction industry and financial mismanagement linked to its former lender, Greensill Capital.

2. **Comparative Failures**: The author compares Katerra's downfall to notable business failures such as Enron and WeWork, highlighting a trend of cash-burning unicorns in the tech and construction sectors.

3. **Misdiagnosed Housing Issues**: The article critiques common assumptions about the housing market, arguing that the decline in home ownership is primarily due to restricted mortgage lending rather than a genuine shortage of homes.

4. **Customer Engagement**: A significant point made is that Katerra failed to engage with customers effectively, which is a critical mistake in the housing market. The need for a customer-centric approach is emphasized.

5. **Home@ix's Approach**: The author introduces Home@ix, a new venture aimed at addressing the needs of first-time buyers and

promoting customer choice in housing solutions, contrasting it with Katerra’s methods.

6. **Branding and Marketing**: The importance of branding in the construction industry is highlighted, suggesting that companies should adopt a consumer-focused marketing strategy similar to successful brands in other sectors.

7. **Industry Fragmentation**: The article calls for greater collaboration within the construction industry to overcome fragmentation and silos that hinder innovation and customer satisfaction.

8. **Future Opportunities**: The author expresses optimism about the potential for new business models and technologies to improve the housing market, urging a shift toward more integrated and customer-driven solutions.

Overview
The overall message stresses the need for a paradigm shift in how construction companies engage with customers and adapt to market demands, learning from the failures of companies like Katerra.

The Home@ix Bumper Sticker.

A Summary analysis of The Off Site MMC Space.

Katerra/Wolff

https://www.awolff.com/about/

https://katerra.com/projects/helm/

https://www.awolff.com/asset/helm/

Z Modular have shown a strong production process with excellent product design

similar to Katerra. Katerra have the edge in that they cater for both steel
frame and laminated timber, the Katerra/Wolff model is the most Complete along
with Seksui House in their Home market, Japan.
The Absence of Vertically Integrated Sales driven and Collaborative Origination.
We believe that what is proposed by Home@tix is a comprehensive twist that does vertically integrate the process of housing development to the extent that we have developed a Homeagineering Dashboard which is a Unique selling point. Something which

Blokable and factory OS claim to do but do not, which Entekra does in off site panelised timber frame but who still do not fully integrate their production to a collaborative Customer origination process. Seksui House do a fully integrated process in Japan and hope to do the same with
Urban Splash in the UK. Urban Splash are a small regional player which is very much a 3rd sector creature relying on Government sponsorship which explains attendant gaps in its skill set.

Also Rans.

Top Hat, Legal and General, ilke Homes and BokLok are very much also ran's in their approach as are etopia and a number of factoryos/Blokable Wannabees. Each to differing
degrees display an Absence of Vertically Integrated Sales driven and Collaborative Origination.

"occasionally something outside the Box (SILO) comes along and seems obvious but no one saw it previously. We think Home@ix is like that!"
Roger Lewis.

The Opportunity Is to Establish a Generic Brand for Manufactured housing through a specialised Volume House-building organisation. Delivering to the Homemaker with a Self Build mind set,
The Full Volume House-builder Skill set, augmented by adding the Paradigm shifted Digital dimension from Social Media, Virtual Reality, Collaborative Design, Cloud Computing, Internet of Things and smart assembly line supply chain maximisation.

#Cop26 Presentation Carbon Net Zero and Owner Occupation . Moduloft #2535 #GenerationRent Nov 26, 2020.

The video discusses a COP26 presentation on carbon net zero and owner occupation, emphasizing the role of affordable housing brand Moduloft in addressing the needs of first-time buyers, and critiques the financial industry's support for sustainable home ownership amidst broader geopolitical and economic agendas.

Detailed Summary for [#Cop26 Presentation Carbon Net Zero and Owner Occupation . Moduloft #2535 #GenerationRent

Unlisted](https://www.youtube.com/watch?v=a5YBAyIE6ic) by [Monica](https://monica.im)

[00:00](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=0) Discussion on the COP26 presentation focusing on Carbon Accounting, Finance, and First-Time Buyers

- Introduction to the COP26 presentation and its focus on Carbon Accounting, Finance, and First-Time Buyers}

- Establishment of RLD Limited as a marketing company and launch of an investment fund for affordable housing schemes}

- Explanation of the term 'Reluctant Ten Percenters' and Generation Rent by Chloe Timberley}

- Discussion on the geopolitical and political economy agendas of Agenda 21 and Agenda 2030 by the United Nations}

- Focus on the climate crisis, accounting rules, and finance landscape addressed in the document}

[09:04](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=544) Discussion on the need for appropriate financial products for reluctant homeowners and the role of capitalism in the housing market.

- Emphasis on continuing home-owning democracy despite post-forwardism}

- Reference to Dr. Adrian Wrigley's article on the crisis of affordability and allocation in housing}

- Dr. Adrian Wrigley's presentation to the House of Commons Treasury Committee on the single man value tax}

- Importance of advocating for homeowner occupation in the building industry}

[18:08](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=1088)

Discussion on global south and north divide in agenda 21 and agenda 2030

- Global south and north divide in agenda 21 and agenda 2030}

- Levelling up people in the global south}

- Opposing rental slavery and authoritarian mercantilism}

- Discussion on carbon credit and global currency creation}

- Different schools of thought on money works within a modern economy}

[27:12](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=1632)

Discussion on the impact of the Great Reset and green economy on planning and credit creation

- The Great Reset's impact on planning and credit creation is a key focus}
- Mark Carney's recommendations and advocacy for a new framework}
- Potential changes to the financial system and political campaigns}
- Discussion on high-level landscapes and their potential impact on laws}

[36:13](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=2173.6400146484375)

Discussion on the SEEDS system and its relation to land use planning and wealth tax

- Introduction to Dr. Tim Morgan's SEEDS system}
- World Bank's patent on capturing land use for SEEDS proxy}
- Importance of wealth tax and land ownership in taxation}
- Debate on scarcity and technology progress}

[45:20](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=2720)

Shift from owner occupation to built-to-rent properties impacting the housing market

- Decline in owner occupation from 75% in 2009 to 65% in 2020}
- Built-to-rent properties replacing traditional housing options}
- Rise of buy-to-rent as a significant trend in the property market}
- Concerns over existing oversupply and potential bubbles in the market}
- Impact on the stability of home-owning democracy and broader societal issues}

[54:19](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=3259.9199829101562)

Discussion on embodied carbon and energy in international trade

- Exploration of embodied carbon and energy in materials}
- Graphic representation of embodied energy in international trade}
- Accounting for energy consumption in global trade}

[01:03:28](https://www.youtube.com/watch?v=a5YBAyIE6ic&t=3808)

Discussion on carbon credits, wealth creation, and impact on entrepreneurs

- Exploring the link between carbon credits and access to credit}
- Impact of COP26 rules on wealth creation for entrepreneurs}
- Observations on carbon trading market and its evolution}
- Comparison of CO2 prices over time and implications for pollution levels}
- Discussion on net zero concept and its relationship to environmental impact}

Major Regeneration Build Environment Networking Jul 10, 2020.

This webinar discusses the current state and future plans for regeneration projects in the UK, including issues such as well-being, diversity, and zero carbon. The panel emphasizes the importance of creating a sense of place and considering environmental factors such as sea level rise. They also highlight the potential of modular construction for sustainability and affordability.

Presentation Magor Regeneration Webinar Jul 6, 2020

Roger Lewis, the founder of Real Estate Land Developments Limited, has been a prominent figure in the property market for decades. With a wealth of experience and a keen eye for potential, Lewis has returned to the UK with a significant investment of £100 million to spearhead new place-making projects.

His involvement in the regeneration of the Isle of Dogs, particularly in the former London Docklands area, has been widely recognized. Lewis has been instrumental in the transformation of derelict docks into thriving commercial and residential spaces. His contributions, along with those of other key figures and organizations, have played a pivotal role in revitalizing the area and bringing prosperity back to inner cities.

Reflecting on his past experiences, Lewis emphasizes the importance of major regeneration and the impact it can have on urban areas. He highlights the achievements of the London Docklands Development Corporation (LDDC) and the significant public and private sector investments that drove the regeneration efforts. The success of large-scale urban regeneration projects, such as those in Docklands, serves as a testament to the potential for revitalization and economic growth within inner cities.

Moreover, Lewis is a strong advocate for affordable housing and aims to prioritize the development of homes that align with his vision of affordability. He distinguishes between genuine affordable housing initiatives and those driven by rent-seeking motives, emphasizing the need for a focus on home ownership to foster a thriving community.

In addition to his commitment to affordable housing, Lewis is actively involved in promoting place-making as a fundamental aspect of his development projects. His company's ethos revolves around creating vibrant, sustainable communities where people can live, work, and thrive. Through innovative financial products and strategic partnerships, Lewis aims to empower individuals to achieve their aspirations of home ownership.

Furthermore, Lewis addresses the challenges posed by current planning policies, such as community infrastructure levies (CIL) and Section 106 agreements. He advocates for a balanced approach to infrastructure levies, emphasizing their role in enabling development rather than hindering it. He also raises concerns about the potential impact of certain development trends, such as build-to-rent initiatives, on the overall housing landscape.

As Lewis continues to navigate the ever-evolving real estate market, he remains committed to driving positive change through his dedication to major regeneration, affordable housing, and community-centric development. His unwavering passion for creating sustainable, inclusive communities underscores his status as a visionary leader in the real estate industry.

In conclusion, Roger Lewis's return to the UK property market signals a renewed focus on major regeneration and community-driven development. His extensive experience and forward-thinking approach position him as a key influencer in shaping the future of

urban landscapes and affordable housing initiatives. As he embarks on new place-making projects, Lewis's impact is poised to leave a lasting legacy in the realm of real estate development.

Mortgage Securitization: A Beeginner's Guid .

Mortgage securitization, a financial practice that has been in existence since the 1970s, has revolutionized the way mortgage loans are handled. This process involves pooling together mortgage loans and selling them as mortgage-backed securities to investors. The aim of this practice is to provide liquidity to banks, create investment opportunities for individuals and institutions, and generate long-term returns for investors.

Traditionally, mortgage loans were originated and held by neighborhood banks, ensuring a personal relationship with borrowers and a focus on quality loan underwriting. However, with the advent of securitization, the landscape has shifted. Today, only 10% of loans are held as portfolio loans, while the majority, 90%, are securitized.

Securitization allows originating lenders to sell mortgages to investors and profit from fees charged during the process. This has led to a significant increase in the volume of mortgage loans being made, as well as the speed at which they are processed. While this has expanded homeownership opportunities, it has also raised concerns about risk exposure and the potential for fraudulent practices.

One key aspect of securitization is the role of loan servicers. Once a mortgage is sold as part of a mortgage-backed security, the originating lender becomes a loan servicer, responsible for collecting payments from borrowers and managing various aspects of the loans. However, this practice has been subject to criticism due to its potential for abuse and illegal actions, such as foreclosure proceedings.

Another critical element in the securitization process is the role of rating agencies. These agencies assign ratings to mortgage-backed securities, indicating their level of risk. However, there have been instances where high-risk investments were classified as low-risk, raising questions about the integrity of the rating process and its impact on investors.

In recent years, investigations have uncovered instances of high-risk investments being misrepresented as low-risk, leading to significant financial implications for investors and borrowers alike.

Overall, while securitization has brought about significant changes in the mortgage industry, it has also raised concerns about transparency, risk management, and ethical practices. As the landscape continues to evolve, there is a need for greater oversight and accountability to ensure the integrity and stability of the mortgage market.

Fadie Hany Areny https://youtu.be/6FoaSK4XkxA
National Mortgage Investigation University (NMIU) Website:

Copyright: National Mortgage Investigation, Inc. (NMI)

https://web.archive.org/web/20120301022328/http://www.nationalmortgageinvestigation.com/

foreclosure-is-a-profitable-business #Moduloft The Concept. #Cop26 Draft No.2 notes Presentation and discussion #BuildBackBetter #LevellingUp.

The YR2K bug that destroyed the affordable housing ladder
Jun 5, 2022

The YR2K bug significantly impacted affordable housing, leading to a decline in home ownership from 75% to 65% since 2009, leaving millennials and younger generations burdened with debt and high rentals.
Detailed Summary for [The YR2K bug that destroyed the affordable housing ladder

Unlisted](https://www.youtube.com/watch?v=AriCsf6K_vQ) by [Monica](https://monica.im)

[00:00](https://www.youtube.com/watch?v=AriCsf6K_vQ&t=0)

Impact of the YR2K bug on the affordable housing sector

- Analysis of the post-2000 housing market}
- Devastating effect of the YR2K bug on affordable housing}
- Stranding of millennials and younger generations in a financial crisis}
- Shift of market value towards the top, leaving many struggling}

[01:43](https://www.youtube.com/watch?v=AriCsf6K_vQ&t=103)

The shift from home ownership to renting in the property ladder

- Decline in home ownership from 75% to 65% since 2009}
- Increase in rental sector from 25% to 35% in 2020}
- Addressing reasons why people are renting instead of buying}

The Pulling up of the Affordable Housing Ladder.

https://www.youtube.com/watch?v=pXQmPzXQGW8

https://www.loveproperty.com/gallerylist/55171/uk-house-prices-from-the-year-you-were-born-to-today

https://www.allagents.co.uk/house-prices-adjusted/

Home@ix Understanding Affordable housing and Mortgage finance

https://drive.google.com/file/d/103IyogaA-8YXTRNx_nyH1AW9Prdgn5LE/view?usp=share_link

Jenkins Benn Gang of Four
https://www.youtube.com/watch?v=5J-Y2VAk45c

The reluctant 10 Percent, Mortgagemaxm@ix

https://youtu.be/yWBmk5aMBYY

What 175 years of data tell us about house price aordability in the UK.

https://www.schroders.com/en/global/individual/insights/what-174-years-of-data-tell-us-about-house-price-affordability-in-the-uk/

Summary of Key Points

- **Housing Affordability**: The average UK house costs about nine times the average earnings, a level not seen since 1876. House prices peaked in the late 19th century, then fell until after World War I.

- **Drivers of Change**: Key factors influencing affordability include:
  - **Increased Housing Stock**: More than doubled from 1851 to 1911.
  - **Smaller Houses**: Post-1850 houses are significantly smaller.
  - **Rising Incomes**: Earnings increased by 90% between 1845 and 1911, while house prices fell by 23%.

- **Homeownership Trends**: Homeownership rates peaked at over 70% in the early 2000s but have since declined to 63-65%, largely due to rising house prices.

- **Regional Variations**: London has the highest affordability issues, with average house prices costing 12 times the average wage. Other regions like Scotland show better affordability at around 5.5 times earnings.

- **Gender Disparities**: Women face worse affordability, with average house prices costing over 14 times their salary in London compared to 12 times for men.

- **Future Affordability**: Sustained decline in house prices seems unlikely. The focus may need to shift to earnings growth, which has recently improved nominally.

- **Interest Rates Impact**: Rising interest rates significantly affect mortgage affordability, making it harder for buyers to enter the market.

- **Investment Comparison**: Historically, property has been viewed as a better investment than pensions. However, investments in the stock market have outperformed property over various time frames, highlighting the need for careful consideration when evaluating investment options.

Conclusion
The report underscores the challenges of housing affordability in the UK, particularly in relation to earnings and gender disparities, while also questioning the traditional view of property as a superior long-term investment compared to pensions.

Staff Working Paper No. 837 UK house prices and three decades of decline in the risk-free real interest rate David Miles and Victoria Monro December 2019

Summary of Key Points

Title: UK House Prices and Three Decades of Decline in the Risk-Free Real Interest Rate

Authors: David Miles and Victoria Monro

Abstract:
- UK real house prices have nearly quadrupled over 40 years, significantly outpacing income growth.

- The decline in the real risk-free interest rate is a major driver of this increase.
- A sustained 1% rise in index-linked gilt yields could lead to a nearly 20% decrease in real house prices.

Key Findings:
1. **Historical Growth:**
   - Real house prices increased by over 300% from 1968 to 2018, with a notable rise in the last three decades.
   - Prices have risen faster than incomes, with house prices now almost double relative to disposable income compared to 40 years ago.

2. **Rental Yields:**
   - Rental yields have decreased significantly, indicating that the rise in house prices is not due to inflated values or a housing bubble.

3. **Model Analysis:**
   - The paper employs a model linking house prices to factors like housing supply elasticity, income changes, and user costs.
   - The decline in real interest rates is shown to be unanticipated, contributing to ongoing price increases.

4. **Impact of Interest Rates:**
   - The substantial decline in real interest rates over the past 35 years is linked to a doubling of average UK real house prices.
   - Changes in real interest rates directly affect house prices and rental yields.

5. **Policy Implications:**
   - The findings provide insight for policymakers regarding financial stability and housing market dynamics.
   - The paper emphasizes that rising house prices are not solely a result of monetary policy but also reflect broader economic trends.

6. **Conclusion:**
   - The long-term trajectory of UK house prices can be explained primarily by the decline in real interest rates and rising incomes.
   - Future increases in interest rates could lead to significant decreases in house prices.

This summary encapsulates the main arguments and findings of the paper, highlighting the interplay between interest rates, house prices, and economic fundamentals.

Comment. Home@ix draws a different conclusion in line with The following Starkey paper applying Werners quantity theory of credit.

Utilising the Quantity Theory of Credit to Understand the Causes of the 2007 Financial Crisis.

Increased borrowing by speculators to purchase property and financial assets is encouraged by increased collateral arising from the initial speculative gains resulting from rising asset prices. A further factor increasing demand for assets whose value is rising, is speculators expectations that there will be future speculative gains arising from further increases in asset prices. Richard Werner (2005, p. 228; 2013, p. 362) refers to this as Say's Law of Credit, because an increased supply of credit creates greater demand for credit to purchase property and financial assets, as a consequence of increased lending causing speculators to believe that there will be future increases in property and financial asset prices.

Banking crises tend to follow a period of rapid increases in asset prices (Reinhart & Rogoff, 2009). A substantial allocation of credit money creation for purchasing property and financial assets within secondary markets caused significant asset price inflation, which provided the context for the 2007 financial crisis (Werner R. A., 2013, p. 366). At some point the perception that assets may be over-valued influences investors' perceptions of likely future price movements, and asset prices will fall when credit creation is no longer forthcoming for further asset purchases. This context produces a 'Minsky Moment' (Minsky, 1992). Falling asset prices cause speculators to lose money, and their loans will become non-performing because investors are unable to fulfil their contracted repayments. Banks have a relatively small capital cushion of around 10% of their asset base. Therefore, when the diminution in the value of a bank's assets exceeds 10% it will cause the bank to become insolvent. Adair Turner (2017, p. 6) states:

"The vast majority of bank lending in advanced economies does not support new business investment but instead funds either increased consumption, or the purchase of already existing assets, in particular real estate. Real estate is relatively fixed in supply, and consequently the transfer of funds to this sector leads to asset price increases that induce yet more credit demand and more credit supply, which is at the core of financial instability in modern economies".

Real Estate and Money Supply

There is a direct relationship between the amount of money supply that is available in the system and the amount of money that finds its way into the real estate market. This is because real estate is one of the most preferred investment classes in the world. It is considered to be a safe haven and one of the safest hedges against inflation.

However, very few people are aware of the fact that real estate also ends up creating more money supply! This is because of the way the modern fractional reserve banking system works. The more real estate is created, the more mortgage loans are made and the higher the money supply goes. This **recursive relationship between real estate and money supply as well as how they propel each other higher has been detailed in this article**.

Self Perpetuating Money Supply

The modern system of real estate investing creates a situation where in real estate catapults the money supply available in the system. This increased money supply then finds its way once again into the real estate sector. This never ending back and forth between the banking system and the real estate system creates an environment of rising real estate prices.

Since the fundamentals of the economy i.e. income levels are not changing, these rising prices are often a real estate bubble. This bubble bursts bringing the prices down for a short period of time. However, in the long run, due to the very nature of the process, real estate investments end up propping up the money supply and creating a self-enforcing and amplifying loop.

Mortgages Create Money

About 80% of the house purchases across the developed nations in the world take place on borrowed money. Hence, the term “house purchase” can be considered to be synonymous with the word “mortgage”. This seems to be a normal thing until one considers how the modern banking system works.

Banks do not lend out existing money, instead they create new money when they make loans. Therefore, whenever a bank makes a mortgage loan, it ends up creating that money and pumping it into the system. Therefore, the more mortgages there are, the more money there will be in the system.. This fact can be easily empirically verified by comparing the growth of mortgage loans in the banking industry to the amount of money supply in the economy. The two charts almost move simultaneously!

Money Creates High Inflation

Now, the problem with more money getting created is the fact that this newly created money revolves in the system. It derives its value by reducing the value of the other money in circulation. Therefore, in countries like the United States when the mortgage markets were booming, there was extremely high inflation in the market. The high inflation coupled with mediocre wages growth creates a scenario wherein the workers are losing real wages!

Inflation Creates High Prices

The money that was created as a result of the mortgages finds its way largely into the real estate sector once again. This is because increasing demand for real estate takes the prices higher causing buyers to queue up to buy what appear to be “profitable investments”

Now, excess money as well as excess demand in the system leads to the growth in the prices of real estate units. This further increases investor confidence that real estate is indeed an extremely profitable investment. The real estate prices which initially appeared to be disproportionately high given the economic fundamentals stay that way and the illusion begins to turn into reality! The inflated real estate prices become the new normal.

Speculation Creates More Mortgages

When speculators observe that some of their peers have made money by speculating on real estate, they too make an attempt to join the party. This further exerts an upward pressure on the real estate sector as excess money and excess demand now meet speculative intentions!

This is the perfect recipe for a bubble. Speculators drive the prices sky high through self reinforcing feedback loops. Higher prices in the past become the justification for even higher prices in the future! This period witnesses a rapid growth in mortgages as well as housing prices.

The Bust Phase

Finally, at an unpredictable point in time, the bubble bursts. The primary reason behind the bust is the unsustainable economic condition in the economy. At this point in time, many borrowers are simply unable to make payments to their banks. As a result, the bank has to foreclose these homes and write down the losses. However, very few people know the fact that when banks write down these losses, they actually write the money out of existence. Since mortgages were what created the money in the first place, when these mortgages cease to exist so does the money. As a result, the total money supply in the system is reduced and as a result the prices appear to have gone down.

Thus, mortgages and real estate prices have a huge influence on the money supply of the economy. Since money supply is one of the fundamental economic parameters, the real estate prices end up having a huge influence on the entire economy.

Summary of Key Points

Introduction
- The paper explores the causes of the 2007 financial crisis using Richard Werner’s insights and the Quantity Theory of Credit.

- It highlights the misallocation of bank credit towards speculative investments rather than productive economic activities.

1. Financial Deregulation
- Financial deregulation, initiated by the Thatcher government in the late 1970s, allowed banks to create new credit money without adequate oversight.
- This led to increased indebtedness and a disconnection between credit growth and GDP growth.

2. Credit Money Creation by Banks
- Banks create credit money primarily through lending, not just by using deposits.
- The period leading up to the crisis saw significant increases in bank lending, contributing to asset price inflation.

3. The Quantity Theory of Credit
- The theory posits that the impact of credit creation depends on whether the lending supports GDP transactions or speculative activities.
- A shift towards lending for non-GDP transactions can lead to asset bubbles and financial instability.

4. Central Bank Policies Post-Crisis
- The Bank of England responded to the crisis by reducing interest rates and implementing quantitative easing.
- These policies aimed to maintain liquidity and support asset prices but did not effectively promote lending for productive investment.
- Criticism exists regarding the lack of targeted measures to direct credit towards GDP-enhancing activities.

Conclusion
- The paper argues for a structural change in the UK banking system to prioritize lending for productive investments over speculative activities.
- It warns that without addressing these imbalances, future financial crises could be more severe.

Are we Looking for and have we been looking for solutions?

In this response, it is assumed The Committee is seeking to further the public interest, even where this may conflict with the private interests which usually dominate the analysis and debate. This will pose a major challenge to those who have learned their analysis exclusively through channels devoted to promoting private interests, and must unlearn erroneous but pervasive assumptions and "unlearn" erroneous but pervasive assumptions and principles."
Roger Lewis , CEO Home@ix, After Dr Adrian Wrigley.

the distinction between Bank, Building society and Other lending in all the stats is key, followed up by the Distinction between, Mortgage for New or Existing homes as 1st Mortgages,Mortgages for Remortgages and finally mortgages for Letting investments. The other very important distinction is Mortgage Funds secured in the Money Markets and Mortgages originated as Bank credit. Northern Rock of course famously became a casualty of the former and The Market itself is in my opinion enslaved to the latter. One further Stratification category would be the Element of Value attributable to Site or Land Value. All of my recent researches point to Land Value Tax, and the Late Dr Adrian Wrigley's work.
This paragraph is sandwiched between Two Quotes from Adrian's work.

"Evidence of a real housing shortage is absent. A real shortage would show up as overcrowding nationwide. People would be walking the streets in the hope of finding a room. Room prices would be high, and there would be no empty houses. We have a crisis of affordability and allocation. People are borrowing eight times their income to get on the housing ladder yet there are 700,000 derelict houses, 500,000 second homes, and hundreds of thousands of pensioners homes with at 's Irrational least three bedrooms spare. The overheated Spanish housing market shows that rapid building programmes do not cure price bubbles".
Dr Adrian Wrigley writing in the Ecologist magazine 2008.

For an Affordable Product to work the appropriate supply of newly created credit needs to be accessible for new first time buyers. It is the successive failure to solve or even address this piece of the puzzle that has led to the Market as we see it today. By some estimations (Werner et al) the cause of the Gyrations we call the property cycle, is the availability of Credit, Bankers and Policy makers/regulators are to blame.
At this point separating the Flows of Credit into the Housing Market is a non trivial task As one has to Factor in The Production Side of the equation; House builders/Developers etc. with financing of Land Acquisition, Planning and Construction. Understanding these flows and incorporating them into a model to see how the Split between; Newly created Credit and Institutional Equity Funding expressed as Developer Payments, Insurance Company Liability cover , and Other risk Capital from the Players in the Model Transaction create a complex dynamic system where much of the Devil is found in the detail. Simple indices, median prices and Stylized Facts all contribute to the confusion and ultimately have succeeded in throwing the Baby out with the bathwater.
I think if workable solutions have or can be developed then any workable solutions should all satisfy one proviso.
• **Higher LTV lending and also Lending at Higher Joint income Multiples is a necessary combination if First Time buyers are to see sufficient credit allocation.**

The Macro Prudential framework as it currently exists , will I think frustrate even prudent and attractive Mortgage products for First Time buyers. My Latest Blog touches on the Problem. Per Kurowski who I quote in the Blog is an ex director of the World Bank and If the Good Ship Sonia is to set sail, we could do a lot worse than pay heed to Pers message which he has oft repeated in the letters section of the FT.

“With lower bank capital requirements for residential mortgages than for loans to the entrepreneurs or SMEs, those who can create the jobs needed in order to service utilities and mortgages, you will not have a functional economy, and houses have morphed from being affordable homes into being the main risky-investment of way too many families.” @PerKurowski https://teawithft.blogspot.com/2020/09/thou-shall-not-sell-environmental.html

The Stylized Facts of the Macro Prudential Literature , succeeds in doing what Stylized Facts do. That is The decoupling of The Entry levels of the Market from Fundamentals has gone un-diagnosed. I am not convinced that this is not condoned by implicit policy, where being seen to be trying to do something is enough, Actually doing something is not the standard of success, a triumph of Stylized Facts over Substance, Perhaps?

https://notthegrubstreetjournal.com/2020/12/18/a-ship-in-harbor-is-safe-but-that-is-not-what-ships-are-for-setting-sail-on-the-good-ship-sonia-perkurowski/

“ A ship in harbor is safe, but that is not what ships are for “,. @PerKurowski

Tackling the UK housing crisis: is supply the answer?

5. The collapse in home ownership was mainly due to withdrawal of mortgage finance from FTBs, which suggests policymakers face a trade-off.
“This paper has argued that, while high house prices affect home ownership, the dominant driver of its recent collapse was a sudden stop on mortgage lending to FTBs. And in keeping with that explanation, the recent return to a more normal pace of FTB lending has seen the home ownership rate stabilise and perhaps begin to recover”.
Ian Mulheirn August 2019

The new focus of RLD "placemaking" is as described in the recent article in Property Week. More Specifically. Over the past 25 years a Gap has opened in the market between what is affordable

and what is built to address the shortage of Affordable Residential property.

The Definition of help to buy in london is a range up to 600k. Development has gone high rise and targeted at the Buy to rent markets often specifically for investors in the Far East. Or Buy to Let landlords in the UK. S.106 provision of Affordable Social Housing has not addressed the dynamics of a housing market where the children of families can remain within communities. This problem has been known about with attempts to address it in Rural areas where Holiday home and second home buyers price out Villagers. In Urban Centres Commutes have got longer and more expensive. This recent "Action on Empty homes" report nails the problem in my opinion.

Action on Empty Homes campaigns for more empty homes to be brought into use for people in housing need. Our aims are to: Raise awareness of
■ Raise awareness of the waste of long-term empty homes. Campaign for changes to national
■ Raise awareness of empty homes. Campaign for changes to national policy.
■ Raise awareness of local communities in transforming their neighbourhoods. Provide
■ Raise awareness of advice for those seeking to bring empty homes back into use.
■ Raise awareness of Research and develop ideas for bringing long-term empty homes back into use for those in housing need.

https://www.actiononemptyhomes.org/Handlers/Download.ashx?IDMF=24ace1b7-b428-4fee-8dcc-6a7638f32eaa

If people make places and communities (I think that they do), then the provision of the basic spaces for communities to "Make their own" over time is the essence of our new concept. Our Budget Live Work Thrive "Be the event" comprehensive development approach of Placemaking Basics by for and of the people and their community. In Urban contexts and in Suburban or rural contexts the same basic principles apply.

Barbara Castle Steel House Debate Hansard Jan 1947

More serious than that is the question of size. This is only an 880 square feet house. It is true it has got some outbuildings which add another 100 square feet, but those outbuildings were only added as a kind of afterthought. They are of lighter and cheaper construction than those in the traditional brick house. It is a three bedroomed house, yet how does it compare with the traditional type of three bedroomed house? The steel house has an

area of 880 square feet plus outbuildings against 1,059 square feet for the traditional house. So even if we take the outbuildings into consideration we have got 80 square feet less in area: a matter of serious consideration in a small house when there is a family. But—and this is a point which gives us considerable concern—what are we paying for this house with its diminished area and inferior design? I am informed that the cost to my local authority is going to be £1,307 "above the slab," and yet we are building brick houses in Lancashire of the three bedroomed type, the area of which is considerably greater, for £1,170. So for the smaller steel house we are paying £137 more. The cost per square foot works out considerably higher. Frankly I cannot see where the money is going to, and I do hope that the Parliamentary Secretary will give us some kind of indication, by breaking down these figures, of how this cost is reached. It is no good his saying that the additional burden will not fall upon the local authority because, after all, what the ratepayers do not pay, the taxpayers will have to pay, and it all comes out of the same pocket in the end.

This house is supposed to have a 60-year life, but we are not particularly clear on what basis that is argued. The Burt Com- 559mittee have given their scientific consideration to the merits of this house under the different headings, and I must say that, after reading their report with some care, they do not seem to me to be wildly enthusiastic about it. They point out—and this concerns us in Lancashire where we have very inclement weather to contend with—that the avoidance of corrosion will be an important factor in the durability of the house. They go on to suggest that, for protection against corrosion, certain types of paint will have to be selected and applied and, in conclusion, they say: Although the degree of maintenance necessary in the latter part of the life of the buildings cannot be foreseen, this type of house is considered suitable for a 6o-year loan, provided that satisfactory precautions are taken against corrosion of the frames and claddings. In other words, if we are to have any kind of durability for the house, we have got to add on to this initial high cost an unknown factor of maintenance which may work out at a tremendous figure and add, accordingly, to the total cost.

Having seen these houses recently in one of the finest rainstorms that Lancashire can produce, with all the elements battering their

fury against the steel walls no thicker than a motorcar body, I must say that I share the doubts of my own local housing officials as to the 6o-year life of this house, even with all the paint in the world put upon it for its protection. Yet apparently, even the initial cost of this house has not yet been settled, and this is a point on which I wish to be enlightened this afternoon. With the question of maintenance still in the dark hereafter, the constructional price of this house has, apparently, yet to be settled. The cost is to be reviewed after the completion of the first 10,000, in order to find out whether the figure that has been quoted is likely to prove sufficient or not.

I want to ask the Parliamentary Secretary whether, when this review of the price takes place, there is any likelihood of that review being in an upward direction. Are we likely to go into even more astronomical spheres in reaching the price of this 880 square feet steel box? After all, as my hon. Friend the Member for Hornchurch has been explaining, this has not proved a smooth process of construction. All sorts of difficulties and delays 560have occurred on the site. Are those difficulties and delays going to be taken into consideration in reassessing the cost, and are the taxpayers to carry the burden of the breakdown in the efficiency of the British Iron and Steel Federation's plans? Secondly, if the cost is revised, will it be revised retrospectively, and shall we find that, the first 10,000 having been erected under a guarantee of swift and efficient performance which has not been fulfilled, there will be a retrospective additional payment?

I am sure that my hon. Friend the Parliamentary Secretary is aware that, on the different sites up and down the country where this house is now being erected, all kinds of additional touches are having to be put to it. This is the outcome of testing out the construction in the light of practical experience, and the local officials, or maybe the contractors themselves, have found that they have had to add a bit here and there. In my own area, for example, the Borough Engineer, on his own responsibility, has painted with bitumastic paint the interior walls of certain parts of the building to protect them against the condensation we fear

will occur. That is not included in the £1,307 which is supposed to be the total cost of the house.

I want, in my final word, to suggest to my hon. Friend the Parliamentary Secretary that the principle on which we are basing prices for these prefabricated houses is quite wrong. Apparently, what happens at present is this: the inventor or potential manufacturer of the prefabricated house submits his priced bills of quantities to the Ministry, and these bills of quantities are examined and approved by an expert committee; and on that total sum the price is based. That, of course, must mean that one tends to get a higher price for a prefabricated house than one would get for a brick house. Surely, it means that we are getting all the disadvantages of prefabrication without any of the advantages.

Let me give an example in relation to the steel house. It is a steel framed house, to which steel cladding is applied externally. The very construction of the steel frame adds £137 to the cost of the house. We know it is bound to do that, because the frame gives us a duplication of the function of the wall. In the brick house, the wall does the job of keeping the house 561together, of keeping out the cold and so on. When there is a steel frame, plus steel cladding, there is duplication of function, which does add to the cost. But to offset that we ought to be having two advantages—less manhours taken on the site for construction of the house, and, also, the advantage of the saving in skilled labour of various kinds. But are these advantages being reflected in the present costing system on which the price is being based? We are getting increasingly alarmed at the high price of these prefabricated houses that are supposed to have all the merits of mass production and all the merits of scientific knowledge behind them. But what is happening? These merits are merely being reflected in rising prices, of which, possibly, we have not yet seen the ceiling. Therefore, I want to ask the Parliamentary Secretary if any scientific analysis of the building process in the construction of the prefabricated houses is being considered, and whether we are likely to see a rather more balanced and rigorous method of costing applied to these houses in the future.

I suggest to the House that in the lesson of the B.I.S.F. house, we have a classic example of private enterprise being given its head, a super edition of private enterprise at that. We often hear the Minister of Health taunted because he does not give private enterprise its head. It is said on the benches opposite that if only it were, houses would spring up like mushrooms, and all the homeless would be under a roof tomorrow. Here is an example of some of the most reputable private firms in the country having staked their reputations on a rapid, smooth flow of production of houses, cost no bar. Well, we were prepared to pay the cost, but they have not produced the goods, and I hope that the right hon. Gentleman will learn from this lesson not to trust private enterprise again.

#Moduloft, The Affordable Housing Manufacturers. Defining the Terms of and Boundary Conditions of our Domain. Dec 13 2020

GrubStreet in Exile

#Moduloft, The Affordable Housing Manufacturers. Defining the Terms of and Boundary Conditions of our Domain.

first published 2020/12/13

Summary of Key Points from "Moduloft, The Affordable Housing Manufacturers"

1. **Introduction to the Housing Market**:

   - The housing market involves buying and selling houses, which are significant assets for many individuals.

   - In the UK, two-thirds of households own their homes, with half still paying off mortgages.

2. **Market Size and Structure**:

   - As of the end of 2020, the total value of residential mortgage loans in the UK was £1,527.3 billion.

   - There were approximately 28.5 million dwellings, covering around 29 billion square feet.

3. **Model Effectiveness**:

   - The effectiveness of housing models depends on data integrity and the definition of boundary conditions.

   - Understanding the housing market requires knowledge of its size and components.

4. **Valuation Considerations**:

   - Median house price to income ratios are crucial for assessing housing affordability.

   - Regulatory bodies like the FCA and PRA monitor mortgage lending and statistics.

5. **Lending Trends**:

   - There has been a notable increase in high loan-to-value (LTV) mortgages, raising concerns about market stability.

   - The share of mortgages with LTV ratios exceeding 90% was 3.5% in Q3 2020.

6. **Economic Influences**:

   - Economic factors such as debt service ratios, unemployment rates, and negative equity significantly influence mortgage possession rates and arrears.

   - Historical data suggests that rapid increases in asset prices often precede financial crises.

7. **Government Objectives**:

   - The UK government aims to improve housing affordability and restore financial stability.

- Expanding residential land supply is seen as a potential solution to housing market issues.

8. **Long-Term Implications**:

- Sustainable housing prices relative to household financial capabilities are necessary to mitigate future crises.

- Economic policies should be informed by historical trends to effectively manage housing markets.

Overview

This summary encapsulates the main themes and findings related to the affordable housing market, emphasizing the importance of understanding market dynamics, regulatory frameworks, and economic influences.

Affordable Homes and "Changed Labour" If Labour is changed will the Talking Shop?
PUBLISHED DATE:MAY 7, 2023

Summary of Key Points

1. Affordable Housing Crisis:

- The article discusses the challenges in the affordable housing sector, specifically focusing on Legal & General Modular Homes.

- It critiques the company's approach and highlights its failure to meet sales expectations despite ambitious targets.

2. Company Performance:

- Legal & General Modular aimed to build 3,000 homes annually by 2024 but faced significant financial losses and operational challenges.

- As of December 2021, losses totaled £181.86 million, with cash injections failing to stabilize the business.

3. Employee Morale and Management Issues:

- Employee reviews indicate low morale due to unclear strategies and micro-management from leadership.

- While the company offered good benefits, concerns about pay and career advancement were prevalent.

4. Comparison with Katerra:

- The collapse of Katerra, a US modular construction company, is compared to Legal & General's struggles, emphasizing the risks of unsustainable business models.

Katerra Model and Bale out File.

https://drive.google.com/drive/folders/17qUpEFHVnr7WbaT6WXgmxtLzuoLqn-5P?usp=drive_link

5. Financialization of Housing:

- The article explores how financialization affects housing production, prioritizing shareholder profits over building more homes.

- It notes that major investors often hold shares in multiple housebuilders, influencing industry practices negatively.

6. Market Dynamics:

- The housing market is characterized by a lack of engagement with customers and a need for a more direct-to-consumer approach.

- The author advocates for a shift in focus towards customer needs and innovative solutions to address the housing crisis.

7. Policy Recommendations:

- The article calls for policy interventions to mitigate the negative impacts of financialization on housing production and affordability.

- It suggests that companies should prioritize sustainable practices and better engage with their workforce and customers.

This summary encapsulates the main points discussed in the article regarding the challenges and dynamics of the affordable housing sector and the specific case of Legal & General Modular Homes.

Housing Wealth , Mortgage Debt, Bank Balance Sheets and Solvency Update March 2023 to March 2024, Is Bailey still at the BOE, Sack him Now!!!!!

Summary of Key Points

1. **Housing Wealth and Mortgage Debt**:
   - As of March 2023, the total value of UK housing stock reached approximately £8 trillion.
   - Mortgaged owner-occupied homes surpassed £2.5 trillion, while homes owned outright totaled £2.88 trillion.

2. **Bank Balance Sheets**:
   - Outstanding mortgages accounted for 38.05% of bank balance sheets and 46.76% of the Sterling M3 money supply.
   - The value of outstanding residential mortgage loans was £1,675.8 billion at the end of Q4 2022.

3. **Market Trends**:
   - Government support and longer mortgage terms have increased homeownership.
   - The value of unmortgaged owner-occupier homes has been growing faster than mortgaged properties.

4. **Potential Risks**:
   - A hypothetical 35% drop in housing values could lead to significant increases in loan-to-value ratios, impacting banks' solvency ratings.

5. **Housing Market Dynamics**:
   - Two-thirds of UK households own their homes, with half still paying mortgages.
   - The housing market's structure includes both private and social renting, with a significant portion of residential stock being unmortgaged.

6. **Economic Context**:

- The document discusses the implications of monetary policies and economic conditions on housing markets, emphasizing the risks posed by rising interest rates and inflation.

7. **Quotes and Philosophical Insights**:

- The text includes a quote by Taylor Caldwell, reflecting on the dangers of internal treachery in governance, paralleling it with economic challenges.

This overview encapsulates the critical insights regarding housing wealth, mortgage debt, and their implications on the UK economy.

A Home@ix Research Report
The Home@ix Formula, a Function and Accounting identity analysis of Affordable Housebuilding in The United Kingdom. (England and Wales)

Summary of Key Points

Introduction

- The report analyzes the UK housing market, focusing on the affordability crisis and contributing factors.

- Core findings highlight a significant shortfall in housing supply and the need for a comprehensive approach to address both supply and demand.

The Home@ix Formula and Accounting Identity

- **Mortgage Lending**: Calculated as 75% of the M3 money supply.

- **Affordable Housing Need (AHN)**: Estimated at 10 million homes, with an annual supply of 87,500 homes.
- **Absorption Rate**: Currently at 0.6, indicating it would take approximately 190 years to meet the affordable housing need.

Historical Context and Policy Implications

- Post-World War II policies shifted from public to private sector housing, increasing unaffordability.
- Current fiscal policies disproportionately benefit wealthier homeowners.

Demographics and Market Dynamics

- Changing demographics, including an aging population and immigration, affect housing demand.
- Younger generations face growing inequality in homeownership opportunities.

Standard Method for Local Housing Needs

- A new method aims to better align planning with actual demand, emphasizing the need for affordable housing in urban areas.

Proposed Changes to the NPPF

- Suggested changes could reduce housing supply by approximately 77,000 homes annually, exacerbating the crisis.

Conclusion

- The affordability crisis is multifaceted, requiring immediate action from government and stakeholders to create sustainable solutions.

Financial Analysis

- To reduce the housing gap by 10% each year for 10 years, £250 billion in new credit is needed annually, totaling £2.5 trillion.
- Developer contributions and the financialization of housing play critical roles in addressing the crisis.

Key Definitions

- **HomeMaker Effective Demand (HD)**: Demand for affordable housing.

- **Affordable Housing Need (AN)**: Total need for affordable housing.

- **New Circuit of Credit Creation (NCC)**: A mechanism for providing credit specifically for affordable housing without expanding overall debt.

This summary encapsulates the main findings and recommendations of the report, highlighting the urgent need for strategic interventions in the UK housing market.

The Ending of the Long Monetary Expansion Cycle and a Brave new world of Housing Realism.

Published on May 23 2023

Summary of Key Points

Introduction

- The essay addresses the UK's housing affordability crisis, emphasizing the need for a balanced analysis of both supply and demand factors.

Housing Affordability Crisis

- Common belief attributes unaffordability primarily to a supply shortage, neglecting demand-side issues like interest rates and income inequality.

Key Themes in the UK Housing Crisis

1. **Demographics**: Population growth and aging demographics increase housing demand and change housing needs.

2. **Wages and Employment**: Stagnant wages and unemployment affect affordability and increase the risk of repossessions.

3. **Mortgage Market**: Tighter lending criteria hinder first-time buyers’ access to homes.

4. **Cash Buyers**: Investors and foreign buyers drive up prices, making homes less accessible.

5. **Bank of Mum and Dad**: Parental financial support creates inequality in homeownership opportunities.

6. **Housing Ladder**: Rising prices restrict movement up the property ladder, impacting social mobility.

7. **Generation Rent**: Young people face barriers due to student debt and high living costs.

8. **Housing Stock**: There is a critical shortage of affordable homes, especially in urban areas.

Amberfield Land

- A new classification proposed to identify 'ready to go land' to increase housing supply.

Misallocation of Credit

- Examines how credit practices contribute to housing market issues.

Supply-Side Challenges

- The construction industry faces inefficiencies and slow build-out rates, requiring reforms and strategic planning.

Key Reports and Strategies

- Historical reports highlight the need for collaboration and innovation in the construction sector.

Build Out Rates

- Current build-out rates are slow, driven by land acquisition, planning complexity, and skills shortages.

Letwin Review

- Highlights the importance of absorption rates in understanding housing supply dynamics.

Mortgage Market Dynamics

- Changes in the mortgage market have led to tighter credit conditions, impacting affordability.

Intergenerational Polarization

- Housing policies must consider the wealth distribution impacts across generations.

Conclusion

- A multifaceted approach is necessary to address the housing crisis, involving cooperation among government, industry, and society to ensure affordable housing for all.

Overview

- The essay provides a comprehensive analysis of interconnected issues surrounding housing and finance, advocating for a nuanced understanding of the UK housing market.

UPDATE Memo from Rog Supply Chain.

Key Points Summary

1. **Meeting Overview**

- John Thomas and Roger held a Zoom meeting on June 30 to discuss establishing a supply chain framework and design team for the Chassis Range.

2. **Supply Chain Insights**

- Interest in speaking with Helena from Lindbäcks and Gerry McCaughey regarding homebuilding insights.

- Emphasis on the value of manufacturers in creating marketable products.

3. **Industry Challenges**

- The off-site construction industry requires visionary teams to innovate and integrate conventional construction with manufacturing processes.

- Current housing markets in Sweden and the U.S. face crises due to a lack of supply and affordability issues.

4. **Lindbäcks Approach**

- Lindbäcks balances customization (20%) with standardization (80%) to maintain efficiency while allowing for creativity.

- They engage architects early in the design process to minimize costly changes.

5. **Production Optimization**

- A synergistic relationship between human capital and machinery is crucial for efficient production.

- The production process should evolve to allow for more standardized designs, similar to the automotive industry.

6. **Housing Market Conditions**

- Both Sweden and the U.S. are experiencing a decline in owner-occupied households and face a significant housing shortage.

- Sweden's housing market is strained by high construction costs and a mismatch between supply and demand locations.

7. **Off-Site Construction**

- Sweden employs panelized construction for single-family homes, while Lindbäcks uses modular construction for multifamily projects.

- Lindbäcks aims to increase production capacity significantly with a new factory.

8. **Financial and Policy Considerations**

- The withdrawal of mortgage finance for first-time buyers has led to a collapse in home ownership rates.

- There is a need for integrated financing solutions to address the affordability crisis.

9. **Future Directions**

- Emphasis on creating a customizable chassis range that balances manufacturing and assembly.

- Exploration of partnerships with companies like Mitek and the importance of a practical design team.

This summary encapsulates the critical discussions and insights from the document regarding supply chain strategies, industry challenges, and housing market conditions.

RESEARCH AND POLICY

Housing Development Dashboard

Terner Center

PUBLISHED ONMay 30, 2016

Summary of Key Points

- **Housing Development Dashboard**: An interactive platform designed for policymakers, developers, and the public to understand how land use measures and market conditions affect housing production.

- **Focus Areas**: The Dashboard highlights high-impact policies such as:
  - Impact fees
  - Density requirements
  - Parking regulations

- Permitting times
- Inclusionary zoning
- Discretionary approvals

- **Calculators**:
  1. **Development Calculator**: Estimates the likelihood of a development project being built based on specific policies and economic conditions.
  2. **Policy Gauge**: Assesses the cumulative impact of policy changes on housing production across jurisdictions, using parcel-level data and local market conditions.

- **Current Scope**: The Policy Gauge has been developed for four Bay Area cities: San Francisco, Oakland, Pleasanton, and Menlo Park, with plans for expansion.

- **Updates**: The Dashboard has undergone updates, including a new approach to policy simulation modeling.

- **Related Resources**: Additional articles and briefs on housing development feasibility and construction costs are available on their website.

1. **RESEARCH AND POLICY**

Modeling New Housing Supply in Los Angeles: Simulations from the Terner Housing Policy Dashboard

ALEX CASEY, BEN METCALF, DAVID GARCIA, HALEY REBECCA TIU, ISSI ROMEM

PUBLISHED ONOctober 28, 2022

Summary of Key Points

Overview:

The Terner Center for Housing Innovation presents a brief on modeling new housing supply in Los Angeles, emphasizing the need

for increased housing development to meet the city's growing needs.

Key Points:

1. **Housing Demand:** California, particularly Los Angeles, faces a significant housing shortage, necessitating the construction of approximately 57,000 units annually to meet Regional Housing Needs Allocation (RHNA) goals.

2. **Challenges in Policy:** Current policies often lack data-driven insights, making it difficult to assess the impact of regulatory changes on housing supply. Factors like floor area ratios and parking requirements heavily influence feasibility.

3. **Terner Housing Policy Dashboard:** This new tool allows local officials and the public to simulate various housing policy scenarios, helping to understand potential impacts on housing supply.

4. **Policy Scenarios:** The analysis includes six prohousing policy scenarios aimed at increasing housing production, such as:
   - Increasing allowable density
   - Streamlining approval processes
   - Lowering building fees
   - Reducing parking requirements

5. **Modeling Insights:** No single policy change significantly boosts housing units; a combination of several policies is necessary to achieve substantial increases in supply.

6. **Impact of Policies:**
   - Increasing density and building size yields more than a 15% increase in expected units.
   - Comprehensive solutions combining multiple policies can lead to over a 70% increase in expected units from baseline estimates.

7. **Location of New Units:** Different policies affect where new housing is built, with some promoting development in high-resource areas.

8. **Future Work:** The Dashboard aims to expand its capabilities, including modeling for-sale housing and testing policies in other jurisdictions.

This brief underscores the importance of data-driven policy-making to address the housing crisis in Los Angeles effectively.

From Homes for Heroes to Exponential Zeroes.

Summary of Key Points

Title: From Homes for Heroes to Exponential Zeroes: Neglected Actors in the Housing Crisis Narrative

Overview:

The document explores the complexities of the housing crisis in the UK, emphasizing the interplay between supply and demand, economic policies, and demographic changes.

1. **Historical Context:**

   - Discusses housing policies post-World War I and II, including the "Homes fit for Heroes" initiative.

   - Analyzes various economic booms and busts from the 1970s to the pandemic, highlighting the cyclical nature of the housing market.

2. **Supply-Side Factors:**

- Examines land and planning regulations, the role of housebuilders, and the decline of small and medium enterprises (SMEs) in housing construction.

- Highlights the financialization of housing and the concentration of power among large housebuilders.

3. **Demand-Side Factors:**

- Investigates the owner-occupation and rental markets, social housing, and the impact of cash buyers and the "Bank of Mum and Dad."

- Discusses the implications of student debt on housing tenure and affordability.

4. **Policy Analysis:**

- Critiques the dominant narrative that a supply shortage is the primary cause of housing unaffordability, arguing for a more nuanced understanding that includes demand-side factors.

- Reviews think-tank perspectives and their influence on policy discourse, noting the political feasibility of proposed solutions.

5. **Demographic Trends:**

- Analyzes the effects of immigration, aging populations, and changing household sizes on housing demand.

- Points out the challenges faced by younger generations in accessing affordable housing.

6. **Economic Considerations:**

- Discusses the role of fiscal policies, including stamp duty and mortgage interest relief, in shaping the housing market.

- Highlights the importance of understanding capital flows and the financial mechanisms behind housing production.

7. **Conclusion:**

- Calls for a comprehensive approach to address the housing crisis, integrating both supply and demand perspectives.

- Emphasizes the need for innovative solutions to improve housing affordability and accessibility for all demographics.

This summary encapsulates the document's critical insights into the multifaceted nature of the housing crisis and the various actors involved in shaping its narrative.

Housing shortage: Scale of UK's housing gap revealed

Share
Simon Gompertz
Personal finance correspondent, BBC News

Overview of the UK's Housing Shortage

- **Current Housing Gap**: The UK faces a housing shortage of over one million homes, which is expected to grow as the population increases.

- **Impact on Renters**: Many renters, like Zoe McKendree, are heavily burdened by high rents and face no-fault evictions, making it difficult to save for a home.

- **Mental Health Effects**: A poll indicated that 13% of adults feel their mental health is affected by their housing situation, with a higher percentage among those in unaffordable housing.

- **Construction Shortfall**: The BBC estimates that 1.2 million fewer homes have been built than needed, and current building rates will not close the gap for at least 15 years.

- **Young Adults Living with Parents**: More young adults are living with family due to housing affordability issues, impacting their mental well-being.

- **Government Response**: The government claims to have delivered over 464,000 new affordable homes since 2010 and aims to build more, but challenges remain.

This summary highlights the critical issues surrounding the housing crisis in the UK, focusing on its impact on individuals and the broader implications for society.

Housing supply; net additional dwellings, England: 2020-21

Summary of Key Points

Overview:

- In 2020-21, England saw a total of **216,490 net additional dwellings**, an **11% decrease** from the previous year (2019-20).

Key Components:

- **New Build Homes:** 194,060 (90% of net additions)
- **Change of Use:** 23,790 (11% of net additions)
- **Conversions:** 3,870 (2% of net additions)
- **Other Gains:** 530 (0.2% of net additions)
- **Demolitions:** 5,760 (resulting in a net loss)

Permitted Development Rights:

- 10,603 net additions from change of use were through permitted development rights.
- 697 new builds were also completed under these rights.

Trends:

- Net additional dwellings peaked at **242,700** in 2019-20 before declining.
- The current level is **3% below** the 2007-08 peak and **74% above** the trough in 2012-13.

Geographic Variability:

- Significant variation in net additions across local authority areas.

- High rates of net additions were observed in regions like Tower Hamlets and Salford.

Communal Accommodation:

- A net increase of **2,670 units** in communal accommodation, including student and other types.

Affordable Housing:

- **52,100 affordable homes** delivered, representing **23%** of total new additions.

Data Sources:

- The statistics are based on local authority estimates and cover various sources including council tax data and building control.

This summary encapsulates the essential findings and trends from the housing supply report for England in 2020-21.

Statistics on net additional dwellings in England up to 2020 to 2021

Accredited official statistics

Housing supply: net additional dwellings, England: 2020 to 2021

Dwelling stock data: notes and definitions (includes HFR full guidance notes and returns form)

Summary of Key Points

Purpose:

Guidance for local authorities on compiling annual dwelling stock data, including information on vacant properties and net housing supply.

Published by:

Ministry of Housing, Communities and Local Government (MHCLG)

Key Sections:

1. **Total Stock Calculations:**
   - Estimates are based on Census data, adjusted annually for net housing supply.
   - Historical adjustments align with Census estimates from 1991, 2001, and 2011.

2. **Tenure:**
   - Annual stock figures compiled by tenure during non-Census years.
   - Definitions available in the Housing statistics and English Housing Survey glossary.

3. **Net Change in Dwelling Stock:**
   - Annual net additional dwellings calculated from new builds, conversions, and other changes, minus demolitions.
   - Data sourced from local authorities and Greater London Authority.

4. **Vacant Dwellings:**
   - No specific statistical release; data available through live tables on dwelling stock.

5. **Housing Flows Reconciliation (HFR) Form:**

- Used to record changes in dwelling stock within local authorities, with accompanying guidance notes.

Related Content:

- Links to relevant statistical releases and live tables for further information on housing statistics.

Published 29 November 2023

Summary of Key Points from Housing Supply Report (2022-2023)

Overview:

The report presents National Statistics on net additional dwellings in England for the financial year 2022-2023.

Key Statistics:

- Total net additional dwellings: **234,400**
- Slight decrease from 2021-2022 (down by 70 dwellings, or 0%).
- Breakdown of new dwellings:
  - **New builds:** 212,570
  - **Change of use:** 22,160
  - **Conversions:** 4,500
  - **Other gains:** 640
  - **Demolitions:** 5,470

Trends:

- The annual net additions peaked at 248,590 in 2019-2020 and have since fluctuated.
- The current figures are 6% below the 2019-2020 peak but 79% above the 2012-2013 low.

Components of Net Additional Dwellings:

- New builds accounted for **91%** of net changes.

- Change of use contributed **9%**.

- Conversions and other gains were minimal contributors.

Regional Figures:

- Variability in net additions per 1,000 dwellings across different regions.

- 163 out of 309 local authorities saw increases in net additions from the previous year.

Communal Accommodation:

- Net change included **980** units in student accommodation and **400** in other communal settings.

Comparison with Affordable Housing:

- Affordable housing figures for 2022-2023 will be published later, but previous data indicated that affordable homes made up about **25%** of total new additions.

Technical Notes:

- Data is based on local authority estimates and may be revised over time.

This summary encapsulates the essential findings and trends regarding housing supply in England for the specified period.

This collection brings together all documents relating to housing supply: indicators of new supply statistics.
Housing supply: indicators of new supply statistics

Housing supply: indicators of new supply statistics

Live tables on dwelling stock (including vacants)

Social housing sales (including Right to Buy and transfers)
Information and publications on the English Housing Survey.

English Housing Survey

The Treasury has made £47bn from Right to Buy but we have paid a price in lost social housing

COMMENT29.03.21BY JOHN PERRY

Redfern review into the decline of homeownership

On Wednesday 16 November 2016 the 'Redfern review into the decline of homeownership' was published, described as the most comprehensive review into home ownership in over a decade, and drawing on bespoke polling, focus group evidence, expert analysis and modelling. This came just after publication of the Lyons Housing Commission report 'What more should Government do to promote the building of new homes'

The Redfern Review was commissioned in October 2015 by Labour MP John Healey, Shadow Secretary of State for Housing, and was led by Pete Redfern, Chief Executive of Taylor Wimpey, supported by an independent advisory panel and Oxford Economics.

The Review highlights the fact that whilst 80% of people see home ownership as the preferred form of tenure, there has actually been a significant fall in home ownership in England, from 70.9% in 2003 to 63.6% in 2014/15. This has been as a result of the higher cost of mortgage lending for first time buyers and the rapid increase in house prices, exacerbated by the decline in the incomes of younger people, aged 28-40, relative those aged 40-

65. The decline in home ownership amongst young people has been more than 20% in 12 years.

However, rather surprisingly, the Review suggests that high property prices are a result of rising household incomes, high employment and falling interest rates rather than a lack of housing supply, which it argues has been broadly in balance with new household formation over the last 20 years. It suggests that if conditions remain broadly the same, the rate of decline in home ownership will actually stabilise in the near term.

The Review calls for a cross-party approach to housing issues and proposes the establishment of an independent Housing Commission to take a non-partisan approach to long-term housing decisions. This would be analogous to the National Infrastructure Commission, and its primary role would be to make recommendations about the impact of policy changes on long-term supply and the reasons for house price trends.

It encourages Governments to focus on all tenures, supporting both a healthy private rented sector and a supportive social housing sector.

Pete Redfern said: “The detailed analytical work of the Review reveals the challenges that young people face in buying their first home and highlights the impact on them of long-term falls in relative incomes and ability to borrow. We must focus on supporting today’s younger generation and creating a genuine long-term housing strategy independent of short-term party politics if we are to improve the position in a sustainable way for future generations.”

John Healey MP, the Shadow Secretary of State for Housing, said: “Housing is at the heart of widening wealth inequality in our country. Labour is determined to get to grips with the falling number of home owners and this Review gives us, and politicians of all parties, the foundation to do that.”

Related articles on **Designing Buildings Wiki**

- Affordable housing.
- Conservative party conference affordable housing.
- Housing and Planning Act 2016.
- Housing and Planning Bill 2015.
- Housing shortage.
- Interview with Labour's Shadow Housing Minister.
- Lyons Housing Commission report.
- Lyons Housing Review.
- Lyons Inquiry.

•Nationally significant infrastructure projects and housing briefing note.
•Private rented sector PRS.
•Public attitudes to new house building: Findings from the 2013 British Social Attitudes Su

The Finance Insurance and Real Estate (FIRE) burning down the free market in Housing.#AbsorptionRate #Dividends #Sharebuybacks #TopPay #SalesIncentives #LandBanking.

ROGERGLEWIS MAY 8, 2023

https://open.substack.com/pub/grubstreetinexile/p/the-finance-insurance-and-real-estate?r=l1oox&utm_campaign=post&utm_medium=web&showWelcomeOnShare=true

Summary of Key Points

****Title:** The Finance Insurance and Real Estate (FIRE) Burning Down the Free Market in Housing**

Author: Roger G. Lewis

Published Date: May 8, 2023

1. **Financialization of Housing:**

   - The housing market is increasingly influenced by financial interests, leading to a focus on maximizing shareholder value rather than addressing housing needs.

2. **Investor Influence:**

   - Major investment firms hold significant shares in multiple housebuilders, allowing them to exert considerable influence over industry practices and decisions.

3. **Global Investment:**

- A large portion of investments in UK housing comes from overseas, complicating local efforts to manage housing supply and affordability.

4. **Local Authority Housing:**

   - There is a call for building local authority housing funded at the local level to address the housing crisis effectively.

5. **Market Dynamics:**

   - The discourse around housing often overlooks demand-side factors like interest rates and income inequality, focusing instead on supply shortages.

6. **Critique of Policies:**

   - Current policies and practices are criticized for failing to meet the needs of the housing market, resulting in forced demand rather than genuine market desire.

7. **Merger Implications:**

   - Recent mergers in the housing sector, such as Vistry and Countryside, are seen as moves that could potentially enhance housing delivery but also raise concerns about market concentration.

8. **Crisis of Affordability:**

   - The rising costs of renting and buying homes are leading to a crisis, with many individuals facing financial strain and limited options.

9. **Calls for Reform:**

   - There is a strong push for re-evaluating the current housing finance models and implementing reforms that prioritize affordable housing solutions.

```
This summary highlights the critical issues surrounding the
financialization of housing and the urgent need for systemic
changes to address the ongoing crisis in the housing market.

Literature Review on UK Housing Market Financialization
```

Research Overview

This literature review examines the financialization of the UK housing market, focusing on developments from the 1980s onwards. The research aims to analyze how financial deregulation, changes in mortgage lending practices, and government policies like the Right to Buy scheme have transformed the nature of housing in the UK. This topic is significant as it relates to broader issues of housing affordability, social inequality, and economic stability.

Literature Analysis

Theoretical Framework

The financialization of housing can be understood through several theoretical lenses:

1. Neoliberal economic theory, which advocates for deregulation and market-based solutions.
2. The concept of housing as a financial asset rather than solely a social good.
3. Theories of social change and residualization in public housing.

These frameworks help explain the shift from viewing housing primarily as a social need to seeing it as an investment opportunity and economic driver.

Key Findings

Financial Deregulation and Mortgage Market Changes

- The 1980s saw significant deregulation in the UK financial sector, leading to increased competition in mortgage lending (mortgage-lending-and-the-housing-market.pdf).
- Building societies faced new competition from banks entering the mortgage market, resulting in a shift from retail to wholesale funding for mortgages (the-development-of-the-building-societies-sector-in-the-1980s.pdf).
- The removal of credit controls and the abolition of the "corset" in 1980 allowed banks to expand their mortgage lending significantly (financial-deregulation-and-household-saving.pdf).

Impact on Housing Market and Prices

- Financial deregulation contributed to a substantial rise in UK house prices over the last thirty years (builtplace_com_digging_deeper_housing_crises_financialisatio.pdf).
- The increased availability of mortgage credit and relaxed lending criteria (higher loan-to-income and loan-to-value ratios) fueled house price inflation.
- The financialization of housing led to it being increasingly viewed as a financial asset rather than just a home.

Right to Buy and Public Housing

- The Right to Buy scheme, introduced in 1980, led to the sale of over 2.2 million council houses by 1996 (RP99-36.pdf).
- This policy significantly reduced the stock of social housing and changed the social mix on many estates.
- The sale of council housing raised more capital than any other government privatization to date.

Social and Economic Consequences

- The financialization of housing has contributed to increased wealth inequality, with homeowners benefiting from rising prices while renters face affordability challenges.
- There has been a residualization of social housing, with remaining council housing increasingly occupied by lower-income households.
- The growth of the private rented sector, partly fueled by buy-to-let mortgages, has changed the structure of the housing market.

Methodological Evaluation

The literature reviewed employs a mix of quantitative and qualitative methods:

- Statistical analysis of house prices, mortgage lending, and housing tenure changes.
- Policy analysis of government interventions like the Right to Buy scheme.
- Theoretical discussions of the implications of financialization.

Strengths of these approaches include comprehensive data on housing market trends and detailed policy analysis. However, limitations include potential difficulties in isolating the effects of financialization from other economic factors.

Research Gaps and Future Directions

Research Gaps

1. Long-term social consequences of housing financialization, particularly on intergenerational wealth transfer and social mobility.
2. Comparative studies between the UK and other countries to understand the unique aspects of UK housing financialization.
3. The role of technology and fintech in further financializing the housing market.

Future Research Recommendations

1. Longitudinal studies tracking the long-term effects of financialization on housing affordability and social cohesion.
2. Interdisciplinary research combining economic, sociological, and urban planning perspectives.
3. Investigation into potential policy interventions to address negative consequences of financialization while maintaining market stability.

Discussion

Research Contributions

This literature review contributes to the field by:

1. Synthesizing diverse strands of research on UK housing financialization.
2. Highlighting the interconnections between financial deregulation, mortgage market changes, and housing policy.
3. Identifying the broader social and economic implications of treating housing primarily as a financial asset.

Theoretical and Practical Implications

Theoretically, this review underscores the need for more integrated models of housing markets that account for both economic and social factors. Practically, it suggests that policymakers need to consider the long-term consequences of financial deregulation and housing policies on social equity and economic stability.

Conclusion

The financialization of the UK housing market, driven by financial deregulation, changes in mortgage lending, and policies like the Right to Buy, has profoundly transformed the nature of housing in the UK. While it has created opportunities for wealth accumulation for some, it has also contributed to housing affordability issues and social inequalities. Future research and policy development must grapple with balancing the economic benefits of a dynamic housing market with the social need for affordable and accessible housing.

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The financialization of rented homes: continuity and change in housing financialization

•Gregory W. Fuller

Review of Evolutionary Political Economy volume 2, pages 551–570 (2021)

Original Paper

•Open Access

•Published:

Abstract

This paper has two purposes: the first is to offer an empirical account of how rented homes have become more entangled in financial markets over the past two decades, particularly through the advent of real estate investment trusts (REITs) and listed real estate operating companies (REOCs). The second is to assess whether conceptualizing this as a process of “rental housing financialization” – distinct from but connected to the broader concepts of “housing financialization” and “financialization” – offers value to the scholarly community.

Summary of "The Financialization of Rented Homes: Continuity and Change in Housing Financialization"

Introduction:

- Financialization marks a significant trend in capitalist development, particularly in housing.
- Traditionally, homeownership financialization involved mortgages; post-2000s, rental housing financialization has emerged.
- Real estate investment trusts (REITs) and listed real estate operating companies (REOCs) are central to this new trend.

1. Financialization and Conceptualization:

- Financialization involves the growing influence of financial markets, actors, and institutions on economies and societies.
- Definitions by Aalbers and Epstein highlight its broad, multi-level impact.
- Financialization connects diverse academic disciplines and levels of analysis, fostering a comprehensive understanding of economic transformations.

1.1 Housing Financialization:
- Housing financialization treats housing as a commodity and a financial asset, often detaching it from its social function.
- Initially focused on homeownership, the concept expanded with the rise of mortgage-backed securities.
- The financialization of housing links various scholarly discussions, though mainstream economics often overlooks the term.

2. Rental Housing Financialization:
- Initially focused on mortgage markets, housing financialization now includes rental properties.
- Gertjan Wijburg identifies two phases: early private equity investments (financialization 1.0) and the rise of REITs and REOCs post-2008.
- REITs and REOCs offer investors liquid shares in rental income, providing access to diversified real estate investments without direct property ownership.

2.1 The Case of Vonovia:
- Vonovia exemplifies the evolution from state-owned housing to private equity and finally to a listed REOC.

- The shift reflects broader trends in rental housing financialization, with REITs and REOCs becoming major landlords.

3. Listed Real Estate Around the World:
- REITs have expanded globally, with significant growth in residential markets.
- Regional perspectives highlight variations in REIT strategies and impacts:
  - **USA:** Major residential REITs focus on high-income areas and quality properties, often linked to gentrification concerns.
  - **Europe:** Investment is concentrated in wealthy metro areas, with Germany leading in residential REITs.
  - **East/Southeast Asia:** Japan has a well-developed residential REIT market, while China is exploring REIT structures.

4. Continuity and Change in Housing Financialization:
- **Continuity:** Both owned and rented housing financialization connect local housing markets to global financial systems, though the mechanisms differ.
- **Change:** Rental financialization may increase housing supply, offers greater transparency, and affects tenant-landlord relationships differently compared to mortgage-based homeownership financialization.

5. Conclusion:
- Rental housing financialization impacts housing availability and affordability, particularly for middle-income earners.

- Benefits are skewed towards asset-poor, education-rich urban professionals, potentially exacerbating inequalities for lower-income renters.
- Understanding rental housing financialization helps address its implications for housing markets and social equity.

References:
- The paper cites various scholars and sources, including Aalbers, Epstein, and Piketty, to support its analysis.

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Buy-to-Rent Investors and the Market for Single Family Homes

•Walter D'Lima &
•Paul Schultz

The Journal of Real Estate Finance and Economics (2022) | Cite this article

volume **64**, pages 116–152

Abstract

We examine the impact of house purchases by large buy-to-rent investors on local real estate markets. First, we present micro-level evidence of positive externalities from institutional entry. We show that returns on repeat sales of properties near purchases by buy-to-rent investors are significantly greater if the repeat sale concluded after the buy-to-rent purchase rather than before. Secondly, we highlight the potential channel underlying such an externality as a supply side effect. Specifically, we show that

properties outside the price range normally paid by buy-to-rent investors experienced smaller gains after nearby buy-to-rent purchases. Thus, buy-to-rent investors appear to increase the value of properties in an area by reducing the local supply. Lastly, we document mortgage market effects due to institutional purchases and related supply effects. We show that mortgage use increased after the buy-to-rent purchases of nearby properties and that the increase arises from existing lenders that operate in the market rather than new lenders entering the market.

This is a preview of subscription content, access via your institution.

Notes

1. Information is incomplete for some Georgia counties before the financial crisis. Hence, we do not include Georgia in Figures 1 and 2.
2. The algorithm matches based on the “spelling distance” between the institution name and buyer name specified in the deed transactions. The matching algorithm is not perfect and does a better job for full names rather than acronyms.
3. These regressions are run using Stata. In Stata, when fixed effects are used, the intercept is the average fixed effect.
4. Georgia is omitted because lender identities are seldom included in the mortgage data.

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Chicago and the University of Notre Dame for comments. The authors declare that they have no conflict of interest. Data provided by Zillow through the Zillow Transaction and Assessment Dataset (ZTRAX). More information on accessing the data can be found at http://www.zillow.com/ztrax. The results and opinions are those of the authors and do not reflect the position of Zillow Group.

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Ethics declarations

Conflicts of Interest/Competing Interests

The authors declare that they have no conflict of interest.

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Download citation

RESIDENTIAL LETTINGS

2.9 million homes in private rented sector need upgrade to reach EPC C2"Over half (2.9 million) of homes in the private rented sector need upgrading to meet proposed regulations to bring all properties to EPC C"

https://web.archive.org/web/20230809191743/https://www.savills.co.uk/insight-and-opinion/savills-news/349900/2.9-million-homes-in-private-rented-sector-need-upgrade-to-reach-epc-c

UK BTR market update

Summary of Key Points: UK Build to Rent Market Update Q2 2024

- **Investment Growth**: The UK Build to Rent (BTR) sector saw £1.3 billion in investments in Q2 2024, a 38% increase year-on-year, bringing H1 totals to over £2.6 billion, surpassing previous highs.

- **Single Family Housing (SFH)**: SFH accounted for 56% of total investment in Q2, driven by significant transactions like Vistry’s £580 million sale to Leaf Living. The number of completed SFH homes is projected to double by 2026.

- **Market Dynamics**: Smaller deal sizes indicate greater liquidity and a shift in investor focus towards diverse sub-sectors within BTR, including co-living.

- **Completions and Supply**: There are currently 114,207 completed BTR homes, with potential for record-breaking deliveries in 2024. BTR homes now make up 7.6% of net additional dwellings.

- **Market Value**: The value of the UK rental accommodation market is estimated at £79 billion, expected to rise to £127 billion by 2029.

- **Rental Trends**: Annual BTR asking rents outside London rose by 4.2%, indicating a return to sustainable growth levels after recent surges.

- **Future Outlook**: Economic improvements, including potential interest rate cuts, are anticipated to boost transaction activity and investor confidence in the BTR sector.

Overview

The UK BTR market is experiencing robust growth, driven by increased investment in single-family housing and a diverse range of offerings, while rental growth is stabilizing amidst ongoing demand pressures.

Spoytlight: The challenges of unlocking Section 106 deliver

Summary of Key Points on Section 106 Delivery

Overview:

The demand for Section 106 homes has significantly declined due to constrained financial capacity among Registered Providers and a focus on existing stock investment. This decline poses risks to overall housing delivery in the UK.

Key Challenges:

1. **Financial Constraints:** Over half (53%) of Housing Associations are reducing or eliminating their requirements for Section 106 homes, driven by financial pressures, rising costs, and commitments to existing stock.

2. **Shift in Development Focus:** Larger Registered Providers are prioritizing grant-funded developments over Section 106, which is expected to account for over 50% of future affordable housing delivery.

3. **Market Mismatch:** There is a disconnect between what developers are building and what Housing Associations want, particularly regarding build standards and sustainability.

Survey Insights:

- 75% of Housing Associations indicated that financial capacity affects their appetite for Section 106 homes.

- 67% expect financial challenges to persist for at least two to five years.

- Enhanced sustainability and energy efficiency standards are crucial for encouraging demand for Section 106 homes.

Solutions Proposed:

1. **Supporting Demand:** Increase financial capacity through long-term rent settlements and grant funding.

2. **Improving Supply Quality:** Enhance build standards and engage Registered Providers earlier in the planning process.

3. **Planning Flexibility:** Introduce more adaptable planning policies to facilitate housing delivery, allowing for alternative tenures if Section 106 homes are not viable.

Conclusion:

Immediate interventions are needed to address the lack of demand for Section 106 housing to prevent further disruption in new home delivery. Collaboration between local authorities and developers is essential to create a more sustainable housing market.

THE SAVILLS BLOG

What can the rural sector expect from a Labour government?

11 JULY 2024

At the start of the year the Labour party quoted that a new deal for farmers had to be delivered as over 6,000 agricultural businesses had ceased since 2017.

In the run-up to the general election, the party acknowledged the rural sector had endured its fair share of change and required a steadying of the ship. Meanwhile, members of the Labour party repeatedly referred to their ambition to grow the economy, specifically a ‘kick-start for rural growth’ with a recognition that rural communities have been in decline.

So, a week on from the election, what can we expect to hear from the new government about a new deal for farmers? Steve Reed has been appointed Secretary of State for Environment, Food and Rural Affairs and has released his top five priorities:

1. Clean up our rivers, lakes and seas
2. Zero waste economy
3. Boost food security
4. Nature recovery
5. Protecting communities from flooding

Environmental priorities, commitments and pledges came to the fore in the Labour manifesto and although there was mention of food and food production, it was light.

The environment

Mr Reed recently stated that ‘Labour will invest in the natural world’. Much was mentioned in the manifesto about protection and restoration of the environment with a commitment to deliver the Environment Act targets through the Environmental Improvement Plan. The manifesto made a pledge to make the Environmental Land

Management Scheme and Biodiversity Net Gain work and further statements in recent months have made reference to Natural Flood Management Schemes with the proposed introduction of a Cobra-style cross-government group. In addition, we could see new green policies specifically on National Parks and Landscapes. Tree planting continues to be high up the agenda and Labour appears alive to the fact that a Land Use Framework is essential, stating that ‘without it, it is difficult to take granular decisions and the need is to get the balance right on the demands of land’.

Food

While the headline of food security is national security made it into the manifesto, we await the detail of what this actually means. One commitment was a focus on food procurement for the public sector with 50% of all food purchased across the public sector to be locally produced or certified to higher environmental standards. Labour has said they will look to slash red tape at the borders with the aim to increase the flow of exports.

Two areas in which we are likely to see significant change for the rural sector are energy and planning.

Energy

Labour plans to establish GB Energy with the premise of lowering energy bills for the rural sector. Their aim is to create a clean energy revolution with the British Infrastructure Council looking to unlock private investment for national infrastructure projects. Labour would enact their Warm Homes Plan and invest an extra £6.6bn over the next parliament to upgrade 5 million homes.

Planning

Labour has been explicit in its manifesto to reform planning for homes and infrastructure; to speed up brownfield site development and unlock land in the grey belt. Labour cites a housing crisis but states houses will not be built at the expense of the environment. Additionally, Labour is looking to speed up planning decisions in other areas such as renewable energy.

What next?

A big unknown is the budget. The agricultural budget was £3.7bn for the UK and £2.4bn for England; Labour has said it will make decisions on the future of the budget based on the first spending review later this year. So how will Labour fund their commitments to the UK? Two areas mentioned are:

1. Revenue from closing further non-domiciled (non-dom) tax loopholes and investment in reducing tax avoidance.
2. Revenue from applying VAT and business rates to private schools.

Labour intends to transfer the power from Westminster to rural communities and do away with in the words of Mr Reed ‘dictatorship’. Farmers, landowners and investors need certainty for confidence particularly as they continue to work through the agricultural transition and I would suggest the government will do well to provide clear leadership at this time and generate the confidence needed.

JULY 19, 2024

The UK’s Broken Housing Market

Overview of "The UK’s Broken Housing Market"
Key Points:
Housing Crisis: The UK faces a severe housing crisis characterized by high prices, low rates of owner-occupation, and increasing rents, primarily due to inadequate housebuilding.

Causes:

Planning System: The post-war planning regime, established in 1947, restricts land availability and fails to respond to market demands.
Supply and Demand Imbalance: There is a significant imbalance between housing supply and demand, exacerbated by misconceptions about land scarcity and the planning system's inefficiencies.
Consequences:

Economic Impact: The deficiencies in the housing market hinder economic growth, increase inequality, and negatively affect quality of life.
Social Issues: Rising house prices contribute to social instability, affecting family formation and leading to increased living with parents among young adults.
Policy Recommendations:

Reform Planning System: Transition to a rules-based system that encourages development, particularly on brownfield sites and some green belt land.
Increase Supply: Implement measures to significantly increase housing stock through reforms and incentives for local authorities and developers.
Land Value Tax (LVT): Consider introducing an LVT to discourage land banking and promote efficient land use.
Financial Incentives: Enhance the New Homes Bonus and adjust council tax to encourage development and support local authorities.
Long-term Vision: A reformed housing market should aim for stable house prices aligned with earnings, ensuring housing affordability and enhancing overall economic performance.

Political Feasibility: Achieving these reforms requires overcoming vested interests and building a cross-party consensus to address the housing crisis sustainably.

This summary encapsulates the critical issues and proposed solutions regarding the UK's housing market as discussed in the report.

Build-to-Rent Q2 2024 Prepared by Savills for the British Property Federation.

Overview of Build-to-Rent Q2 2024

Key Points

Under Construction:
- Units under construction decreased by 19% from Q2 2023.
- London has 13,200 homes under construction; regions have 32,000.

Completions:
- Over 115,000 units completed, a 24% increase year-on-year.
- London reached 50,000 completions; regions surpassed this with 65,100.
- Annual completions are at record levels, 2.5 times the 2017-19 average.

Planning:
- Homes in planning fell slightly by 2% to 102,500.
- London has 35,700 homes in planning; regions have 65,000.
- Detailed permissions remain high at 57,000, supporting future construction.

Sector Pipeline:
- Total pipeline (completed, under construction, in planning) stands at nearly 262,000.
- The sector grew by 4% over the past year.

Statistics Comparison (Q2 2024 vs. Q2 2023):
- **Completed:** 115,778 (up 24%)
- **Under Construction:** 45,410 (down 19%)
- **In Planning:** 100,681 (down 2%)

Regional Growth:
- London saw a 15% increase in completions but a 21% decrease in construction.
- Regions experienced a 31% increase in completions but a 19% decrease in construction.

Future Outlook:
- The number of local authorities with Build-to-Rent projects remains stable at 208, with expectations for growth in Single Family Housing across the UK.

BRICK BY BRICK

A PLAN TO DELIVER THE SOCIAL HOMES WE NEED

Venus Galarza, Hannah Rich, Charlie Trew, Sam Bloomer, Charlie Berry and William Matthews.

Overview of Key Points from the "Brick by Brick" Report

1. **Housing Emergency**: The report emphasizes the growing housing crisis in England, highlighting the urgent need for action to provide affordable social housing.

2. **Current Situation**: Millions live in inadequate conditions, with 1.3 million households on social housing waiting lists and over 145,000 homeless children in temporary accommodation.

3. **Social Rent Homes**: A call for the construction of at least 90,000 social rent homes annually for the next decade is presented as a solution to the housing emergency.

4. **Economic Benefits**: Building social rent homes is linked to significant economic benefits, estimated at £51.2 billion over 30 years, including savings on housing benefits and health care costs.

5. **Six-Point Plan**:
   - **Set Clear Ambition**: Establish a clear government goal for social housing.
   - **New Affordable Homes Programme**: Revamp funding to prioritize social rent homes.
   - **Unlock Land System**: Reform land acquisition processes to reduce costs.
   - **Revitalize Planning System**: Streamline planning to ensure timely approvals for new homes.
   - **Boost Council Housing**: Encourage local councils to build more social homes.
   - **Innovative Delivery Methods**: Explore alternative ways to deliver housing, such as converting empty homes and supporting community land trusts.

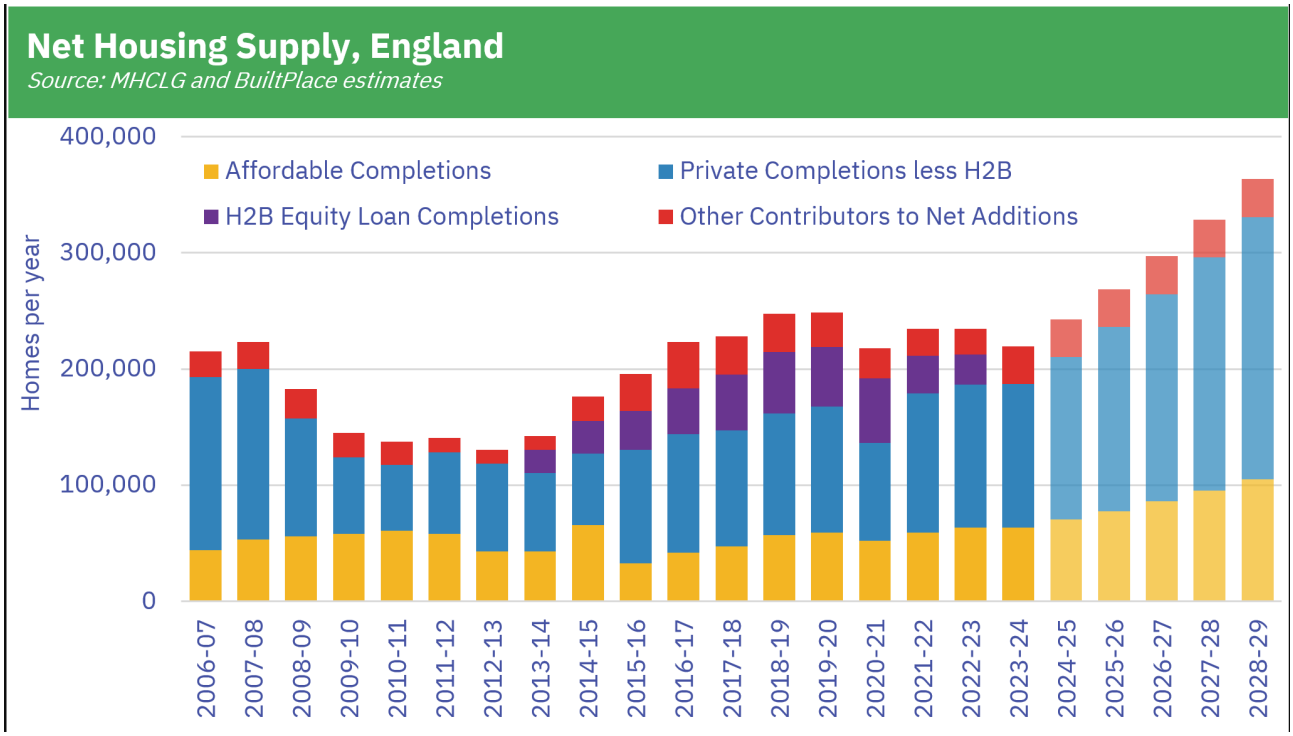
6. **Community Involvement**: Emphasizes the role of community-led housing initiatives, such as Community Land Trusts (CLTs), in addressing local housing needs.

7. **Long-term Strategy**: Advocates for a comprehensive and sustainable approach to housing that includes retrofitting existing homes for energy efficiency and tackling climate change.

8. **Conclusion**: The report stresses that a coordinated effort from the government, local authorities, and communities is crucial to reversing the current housing crisis and achieving the proposed targets for social housing.

https://builtplace.com/wp-content/uploads/2024/07/Chart-of-the-Week-2024.07.12-1.png

Table Housing Supply By Sector 2006-2028-29



Accredited official statistics

Updated 28 June 2024

Accredited official statistics
UK monthly property transactions commentary
Updated 28 June 2024.

Headline statistics
Headline statistics from the latest transactions data include:

- the provisional seasonally adjusted estimate of the number of residential transactions in May 2024 is 91,290, 17% higher than May 2023 and 2% higher than April 2024
- the provisional non-seasonally adjusted estimate of the number of residential transactions in May 2024 is 91,660, 24% higher than May 2023 and 18% higher than April 2024
- the provisional seasonally adjusted estimate of the number of non-residential transactions in May 2024 is 10,130, 6% higher than May 2023 and 1% higher than April 2024
- the provisional non-seasonally adjusted estimate of the number of non-residential transactions in May 2024 is 10,110, 9% higher than May 2023 and less than 1% lower April 2024

The latest data tables on housing market and house prices.

Live tables on housing market and house prices

Bank Rate maintained at 5.25% - June 2024
Monetary Policy Summary and minutes of the Monetary Policy Committee meeting

Summary of Key Points from the Monetary Policy Summary and Minutes (June 2024)

Monetary Policy Decision:
- The Monetary Policy Committee (MPC) voted 7-2 to maintain the Bank Rate at 5.25%.
- Two members preferred a reduction to 5.0%.

Inflation and Economic Indicators:
- CPI inflation fell to 2.0% in May, down from 3.2% in March.
- UK GDP grew stronger than expected in the first half of 2024, with a growth rate of 0.6% in Q1.
- Short-term inflation expectations for households have moderated.

Labour Market:
- The labour market continues to loosen but remains tight by historical standards.
- Employment growth has slowed, with a decline in vacancies.

Consumer Prices and Services:
- Services inflation was 5.7% in May, slightly above projections.
- There are signs of rising consumer demand, but households remain cautious about major purchases.

Monetary Policy Outlook:
- The MPC believes monetary policy needs to remain restrictive to sustainably return inflation to the 2% target.

- Future adjustments to the Bank Rate will depend on economic data and inflation persistence.

International Economic Context:
- Global GDP growth is steady, with contributions from major economies like the US and Euro-area.
- Commodity prices, particularly oil and gas, have seen increases recently.

Operational Considerations:
- The stock of UK government bonds held for monetary policy purposes was £696 billion.

Conclusion:
- The MPC is prepared to adjust monetary policy based on ongoing economic data and inflation trends, emphasizing the importance of maintaining price stability.

Land Matters: The Critical Role of Sales Outlets in Boosting Housing Supply

20 JUNE 2024

Summary of Key Points

Overview:
The report emphasizes the critical role of sales outlets in enhancing housing supply, outlining the challenges faced and the necessary actions for the new Government to address declining planning consents and sales outlets.

Key Findings:

1. **Decline in Planning Consents:** The number of sites gaining planning consent has reached a 15-year low, particularly affecting smaller sites, which poses a significant threat to housing delivery.

2. **Sales Rates:** Housebuilder sales rates have stabilized between 0.5 and 0.6 sales per outlet per week since mid-2022, down from an average of around 0.7. A return to higher sales rates will require demand support or bulk sales.

3. **Need for Smaller Sites:** Urgent action is required to reverse the decline in smaller sites gaining consent, as these sites are crucial for the growth of housebuilders, especially SMEs and new entrants.

4. **Market Conditions:** Local planning authorities must adapt to changing market conditions, as housebuilders seek to open more outlets to maintain delivery volumes, but are hindered by a lack of available sites.

5. **Recommendations for Planning Policy:**
   - Implement immediate measures to grant consent for a large number of smaller sites.
   - Revise the National Planning Policy Framework (NPPF) to ensure a diverse range of site sizes and types.

6. **Housing Targets:** Achieving the goal of delivering 1.5 million homes within five years will require a substantial increase in smaller sites early in the next parliament.

7. **Financial Challenges:** The financial capacity of Housing Associations has decreased, impacting affordable housing provision. Restoring this capacity should be a priority.

8. **Future Outlook:** Planning consent for one million new homes on sites with fewer than 250 plots is necessary to support the total delivery of 1.5 million homes between 2025 and 2030.

9. **Strategic Planning:** A diverse range of site allocations is essential to avoid over-reliance on large sites, which can lead to delays in housing delivery.

10. **Conclusion:** Swift intervention is needed to reverse the trend of falling planning consents and ensure a sufficient land supply for new housing developments.

Overview of the of the Main Macro variables for Residential Property Values Autumn 2023.

Stock

> **The outstanding value of all residential mortgage loans was £1,527.3 billion at the end of 2020** Q3
>
> **two thirds of households own the house they live in; half of these are still paying off their mortgage**
>
> **28,536,000 Dwellings 29,180,071,800 sq ft 29 Billion Sqft** .

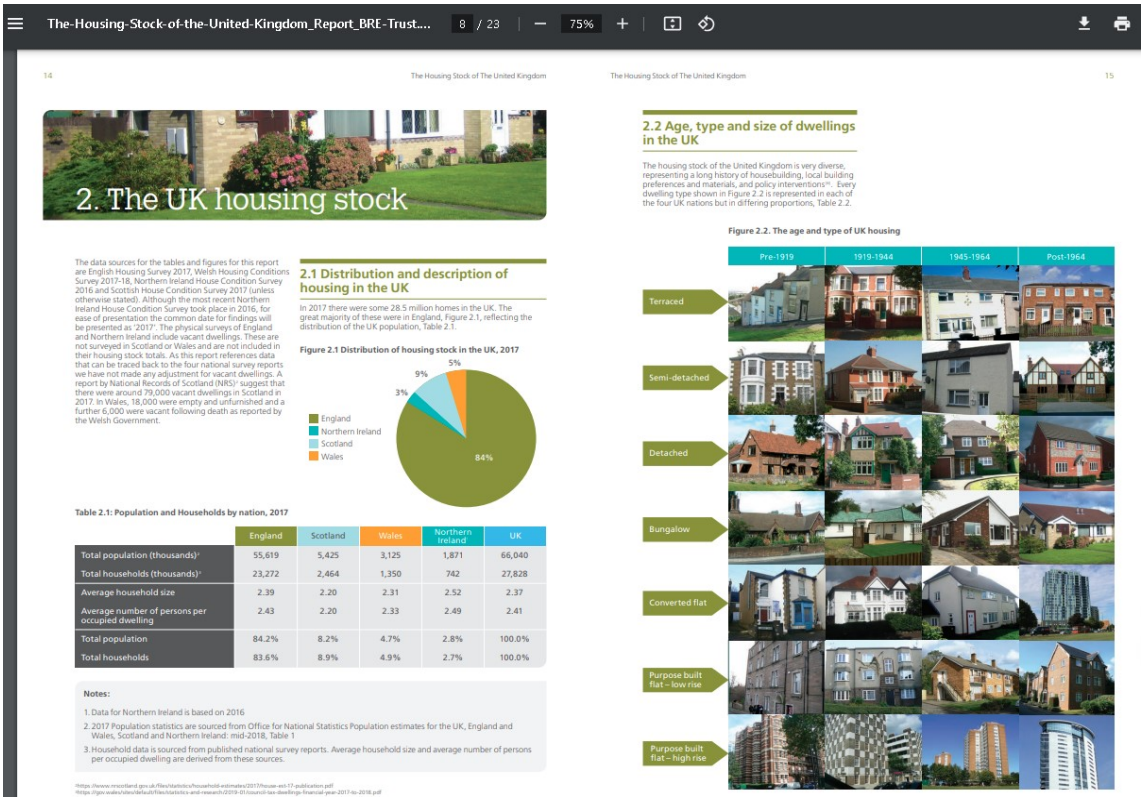
Total Value of Stock £8.4 Trillion

Public Housing (H.A’s Council)

Buy To Let / Build to rent (PRS)

Apartments (Leasehold)

Houses (freehold)



The-Housing-Stock-of-the-United-Kingdom_Report_BRE-Trust.... 8 / 23 75%

14 The Housing Stock of The United Kingdom

2. The UK housing stock

The data sources for the tables and figures for this report are English Housing Survey 2017, Welsh Housing Conditions Survey 2017-18, Northern Ireland House Condition Survey 2016 and Scottish House Condition Survey 2017 (unless otherwise stated). Although the most recent Northern Ireland House Condition Survey took place in 2016, for ease of presentation the common date for findings will be presented as '2017'. The physical surveys of England and Northern Ireland include vacant dwellings. These are not surveyed in Scotland or Wales and are not included in their housing stock totals. As this report references data that can be traced back to the four national survey reports we have not made any adjustment for vacant dwellings. A report by National Records of Scotland (NRS)[2] suggest that there were around 79,000 vacant dwellings in Scotland in 2017. In Wales, 18,000 were empty and unfurnished and a further 6,000 were vacant following death as reported by the Welsh Government.

2.1 Distribution and description of housing in the UK

In 2017 there were some 28.5 million homes in the UK. The great majority of these were in England, Figure 2.1, reflecting the distribution of the UK population, Table 2.1.

Figure 2.1 Distribution of housing stock in the UK, 2017

Table 2.1: Population and Households by nation, 2017

	England	Scotland	Wales	Northern Ireland[1]	UK
Total population (thousands)[3]	55,619	5,425	3,125	1,871	66,040
Total households (thousands)[3]	23,272	2,464	1,350	742	27,828
Average household size	2.39	2.20	2.31	2.52	2.37
Average number of persons per occupied dwelling	2.43	2.20	2.33	2.49	2.41
Total population	84.2%	8.2%	4.7%	2.8%	100.0%
Total households	83.6%	8.9%	4.9%	2.7%	100.0%

Notes:

1. Data for Northern Ireland is based on 2016
2. 2017 Population statistics are sourced from Office for National Statistics Population estimates for the UK, England and Wales, Scotland and Northern Ireland: mid-2018, Table 1
3. Household data is sourced from published national survey reports. Average household size and average number of persons per occupied dwelling are derived from these sources.

[2] https://www.nrscotland.gov.uk/files/statistics/household-estimates/2017/house-est-17-publication.pdf
[3] https://gov.wales/sites/default/files/statistics-and-research/2019-01/council-tax-dwellings-financial-year-2017-to-2018.pdf

The Housing Stock of The United Kingdom 15

2.2 Age, type and size of dwellings in the UK

The housing stock of the United Kingdom is very diverse, representing a long history of housebuilding, local building preferences and materials, and policy interventions[4]. Every dwelling type shown in Figure 2.2 is represented in each of the four UK nations but in differing proportions, Table 2.2.

Figure 2.2. The age and type of UK housing

https://files.bregroup.com/bretrust/The-Housing-Stock-of-the-United-Kingdom_Report_BRE-Trust.pdf

Table 2.2: The UK housing stock, by nation, 2017 (thousands of dwellings / %)

	England	Scotland	Wales	Northern Ireland	UK
Dwelling age					
Pre 1919	4,972	467	351	82	5,871
1919-1944	3,793	291	133	68	4,284
1945-1964	4,582	544	219	126	5,472
1965-1980	4,689	515	304	189	5,698
1981-1990[4]	1,895	194[4]	99	99	2,287[4]
Post 1990	4,019	452[5]	235	216	4923[6]
Dwelling type					
Terrace	6,669	534	376	221	7,829
Semi-detached	6,100	481	369	180	7,129
Detached	4,093	554	296	164	5,107
Bungalow	2,195	inc. within other categories	154	164	2,512
Flat	4,864	895	147	52	5,958
Dwelling tenure					
Owner occupied	15,089	1,491	924	512	18,016
Private rented	4,789	346	180	146	5,460
Social rented	4,072	626	238	122	5,058
Location[7]					
Urban	19,796	2,055	900	503	23,254
Rural	4,154	409	441	277	5,281
Total dwelling stock	23,950	2,464	1,342	780	28,536
Average dwelling size	94m²	98m²	102m²	105m²	95m²
Dwelling age					
Pre 1919	20.8%	19.0%	26.2%	10.5%	20.6%
1919-1944	15.8%	11.8%	9.9%	8.7%	15.0%
1945-1964	19.1%	22.1%	16.3%	16.2%	19.2%
1965-1980	19.6%	20.9%	22.7%	24.3%	20.0%
1981-1990[4]	7.9%	7.9%[4]	7.4%	12.8%	8.0%[4]
Post 1990	16.8%	18.4%[6]	17.5%	27.7%	17.3%[6]
Dwelling type					
Terrace	28.0%	21.7%	28.0%	28.3%	27.4%
Semi-detached	25.5%	19.5%	27.5%	23.0%	25.0%
Detached	17.1%	22.5%	22.1%	21.0%	17.9%
Bungalow	9.2%	inc. within other categories	11.5%	21.0%	8.8%
Flat	20.3%	36.3%	11.0%	6.7%	20.9%
Dwelling tenure					
Owner occupied	63.0%	60.5%	68.9%	65.6%	63.1%
Private rented	20.0%	14.0%	13.4%	18.7%	19.1%
Social rented	17.0%	25.4%	17.7%	15.6%	17.7%
Location[7]					
Urban	82.7%	83.4%	67.1%	64.0%	81.5%
Rural	17.3%	16.6%	32.9%	36.0%	18.5%

Notes:

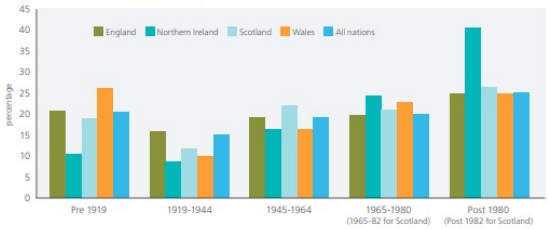
1. Data for Northern Ireland is based on 2016
2. 1982-1990 for Scotland
3. 1982-1990 figures modelled from post 1982 Scotland figures based on distributions in England, Wales and Northern Ireland
4. 1981-1990 UK figures estimated as Scotland figures for 1982-1990 are modelled
5. Post 1990 figures modelled from post 1982 figures based on distributions in England, Wales and Northern Ireland
6. Post 1990 UK figures estimated as Scotland figures for 1982-1990 are modelled
7. Location statistics are based on different definitions. Wales use an ONS definition, where an area is considered rural if it is outside of settlements with a population of more than 10,000. Scotland use a definition based on settlement size and remoteness. England and Northern Ireland are based on surveyor judgement
8. Dwelling size = Internal floor area in square metres based on the UK Building Regulations definition
9. Scotland and Wales figures are for occupied stock only (England and Northern Ireland figures include vacant dwellings)

Dwelling age

While the housing of the four UK nations has developed in parallel, it is noticeable that Wales has the oldest housing stock, with over one quarter (26%) of homes being around 100 years old or more, Figure 2.3, while Northern Ireland has the most modern, with 40% of homes being built since 1981. Wales' older housing stock is largely due to the legacy of terraced houses built for workers during its rapid nineteenth century industrialisation, based on the exploitation of the coalfields.

Photo: Wales has the oldest housing stock in the UK, largely due to its legacy of pre 1919 terraced houses

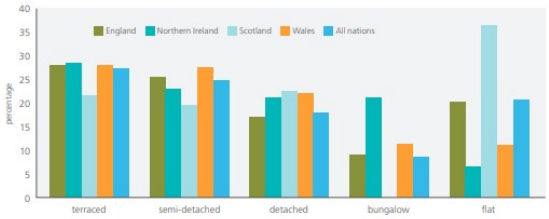
Figure 2.3 Dwelling age by UK nations, 2017



Dwelling type

The UK housing stock is dominated by houses, with over half (52%) of homes being conjoined (built in terraces or in pairs) and just under one fifth (18%) being detached. Just over a fifth (21%) of UK dwellings are flats, Table 2.2.
Within the UK, there are subtle differences between the housing stocks of the four nations. Scottish workers' housing was traditionally provided in tenements rather than terraces, and flatted accommodation still dominates in urban areas. Northern Ireland has a much higher proportion of bungalows, Figure 2.4.

Figure 2.4 Dwelling type by UK nations, 2017



Note: Bungalows are included in terraced, semi-detached and detached house types for Scotland

https://www.wolframalpha.com/input?i=1675800000000%2F3584011000000+as+percentage

Outstanding Mortgages are 46.76% of Stirling M3

Total Value of UK Housing Stock. 12 MARCH 2021

https://www.savills.co.uk/insight-and-opinion/savills-news/311889-0/uk-housing-value-hits-record-%C2%A3 7.56-trillion-high

Mortgaged ownership rises again

Government support for homeownership and funding from the Bank of Mum and Dad have combined to support mortgage owner occupation, while longer mortgage terms mean households remain mortgaged for longer.

For the first time ever, the value of mortgaged owner occupied homes passed the £2.5 trillion mark, rising by £170 billion to £2.62 trillion in 2020.

Despite this rise, the value of owner occupied homes with no mortgage was higher still at £2.88 trillion, with the total value of homes owned outright rising by 5.8% in the year. 20% of this value was concentrated in the South East. A further 17% was in London.

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Total Value of UK Housing Stock.

UK housing value breaks £8 trillion barrier

31 JANUARY 2022

Growth by tenure

Government support for home ownership via the stamp duty holiday and record funding from Bank of Mum and Dad combined saw the total value of mortgaged owner occupied homes pass £2.9 trillion for the first time ever, increasing by £297 billion in 2021 alone.

Despite this, the value of housing owned by unmortgaged owner occupiers continued to be the fastest growing housing tenure in 2021, up 12.0% on the year to reach a total of 3.3 trillion.

Increased institutional investment in the private rented sector saw the tenure grow by £86 billion in 2021 – more the double the increase seen the year before. Over the past decade, this sector has increased +77.6%, or £605 billion.

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Mortgage Lenders and Administrators Statistics: 2022 Q4

Key findings

- The outstanding value of all residential mortgage loans was £1,675.8 billion at the end of 2022 Q4, 3.9% higher than a year earlier **(Table A)**. footnote[1]
- 1,675,800,000,000 Value of Outstanding Mortgages on Bank Balance Sheets
- Secured against By Savills Figure for Jan 2022 £2,900,000,000,000 £2.9 Trillion of Value

1675.8/2900 = 57.786% LTV

If as some commentators Claim Values Fall by 35% in real terms

The Value of all Mortgaged Property would fall to 1.875 Trillion and the Loan to value ratio on Bank Balance sheets would rise to 88.9% This would have very severe consequences on the rating of Mortgage Debt held by banks as secured collateral for Tier 1 Basel 3 Solvency purposes.

Regarding Falling Prices at the End of 2021 “unmortgaged owner occupiers continued to be the fastest growing housing tenure in 2021, up 12.0% on the year to reach a total of 3.3 trillion”.

53.2% of the UKs Residential Housing Stock in private ownership is not Mortgaged this figure suggests why Prices for Property are much stickier going down than going Up.

New Supply of Homes

A New Normal for Housebuilding?

The importance of sales outlets in a market without Help to Buy

Savills Research Report for Richborough Estates and LPDF 1

st March 2023 3

Land Supply and Outlets
The number of outlets reached its lowest level in at least 20 years in 2022 and is likely to continue falling as the number of sites
gaining planning consent has fallen every year since 2017. The reduced number of sites gaining consent is masked by the
number of plots gaining consent, which until recently had been fairly stable at an annual average of 314,000 between 2016 and
2021. The same number of plots have been gaining consent but on increasingly large sites.
The fall in the number of sites gaining consent has been greater than the fall in the number of consented plots over the last three
years. The number of consented plots was 15% lower in 2022 compared to 2017, while the number of consented sites was 31%
lower. The fall in the number of sites with fewer than 100 plots was greater still, 38% down in 2022 compared to 2017.
The lack of sites with consent has been noted by some of the major housebuilders who have stated that they have struggled to
open as many outlets as they wished. It is therefore a barrier to growth and even to maintaining current operations in some areas.
The lack of new sites, particularly smaller sites, gaining planning consent is also a barrier to SME housebuilder growth and to new
entrants into the housebuilding industry.
Impact on delivery

At the end of 2022, the average sales rate fell to a level not seen since the depths of the GFC and, with fewer outlets, this is will
result in a fall in new homes completions. Even if the number of outlets remained constant at 2021/2 levels, a sales rate of 0.5
would reduce the annual number of new homes sales from 145,000 to 90,000. If a sales rate of 0.6 per outlet per week can be
achieved, this would result in a total of 110,000 new homes sales from the same number of outlets. New homes sales have averaged 70% of total new housing delivery in England over the last decade, so this would have a
substantial impact and make the Government's target to deliver 300,000 new homes per year unattainable.

Major Volume House Builders, Pivot to BTR sales.

Redrow Year end July reported 13th september

Our Heritage Collection remains at the centre of our strategy, differentiating us from both new - build competitors and the much larger second-hand market. We continue to offer a unique proposition to homebuyers: the character of older homes combined with quality, energy efficiency and modern open plan interiors. These selling points appeal to those moving to larger homes as well as those who are downsizing. Once again, we saw the evidence of this with cash buyers representing 35.7% (2022: 33%) of all private reservations.

Cost of living and mortgage affordability continue to have a negative impact on the market. Where appropriate, we've used targeted sales incentives to convert buyer interest into reservations. Foll owing several consecutive Bank of England base rate increases, we remain hopeful that, as inflation eases, we will see some stability in mortgage rates. The reduction in mortgage volatility will enable potential customers to progress the purchase of their home with financial certainty. Reflecting the macroeconomic picture and the tougher sales market, our average private reservation rate per week for the year was 0.46 compared to 0.68 in 2022 (excluding bulk deals 0.45 and 0.66)

There are signs of economic stability, particularly with mortgage rates, following a sharp and painful period of adjustment for the country. The strong fundamentals underpinning the new homes market remain the same. There is a chronic shortage of new homes to keep pace with the country's current and future needs. In the first ten weeks of trading for the current financial year the reservation per outlet per week was 0.34 (2023: 0.61).

Barratts.
6 September 2023

BARRATT DEVELOPMENTS PLC

Annual Results Announcement for the year ended 30 June 2023

Current trading

Whilst there remains a clear need for increased housebuilding in the UK, short-term demand has been impacted by mortgage affordability challenges.

We entered FY24 with a solid forward sales position and as at 27 August 2023 we were 49%6 forward sold with respect to private wholly owned home completions for FY24 (28 August 2022 for FY23: 62%7).

The net private reservation rate per active outlet per average week from 1 July 2023 through to 27 August 2023 was 0.42, (FY23: 0.60), including a contribution of 0.02 (FY23: 0.05) from the private rental sector and additional sales to registered providers of social housing.

As outlined in our trading update of 13 July, based on current market conditions, we are targeting total home completions of between 13,250 and 14,250 in FY24.

The average selling price (ASP) of wholly-owned completions increased by 6.5% to £319.6k (FY22: £300.2k). The private ASP increased by 7.9% to £367.6k (FY22: £340.8k), up 13.6% in the first half, benefitting from the strong private order book position carried into FY23, as well as steady pricing during the first quarter. Following the turbulence in mortgage markets, the private ASP in the second half only grew by 3.2% reflecting the softening in demand seen following the September fiscal event and increased sales incentives.

Within our private completions, we completed 258 homes (FY22: 36) for Citra Living. The ASP of these PRS completions was £280.9k (FY22: 172.3k) with the significant step up in the PRS ASP reflecting a more typical mix of the 2 and 3-bed homes being sought and acquired by Citra Living relative to the limited, and apartment dominated, completions in FY22.

Affordable ASP increased by 4.9% to £167.2k (FY22: £159.4k), reflecting site mix and an increased proportion of completions from our outer London operations. We anticipate that the affordable ASP in FY24 will be at a similar level to that reported in FY23.

Land and planning

As market conditions changed, we stepped back from the land market in September 2022. We have adopted a highly selective approach to buying land, particularly as prevailing land prices have not yet adjusted to the changed market conditions. As a result, gross site approvals increased by 31 new sites during the year, including two sites through planning amendments. These were offset by 33 previously approved sites which are no longer economically viable, resulting in a net decrease of two sites in the year (FY22: net approval of 102 sites). Given our current view of the market, land prices and our existing development pipeline, we do not expect our approach to land acquisition to change for the foreseeable future.

The approved sites along with planning amendments added 4,821 plots, at a cost of £345.2m, with 5,633 plots removed with respect to the sites no longer proceeding, at a previously agreed cost of £360.1m. The result was a net reduction of 812 plots in the year (FY22: net addition of 19,089 plots) and a net decrease in our land approval commitments of £14.9m (FY22: net increase of £1,396.1m).

We invested £822.8m (FY22: £1,036.0m) on land acquisitions and the settlement of land creditors during the year and we now expect to spend between £500m and £700m on land in FY24, largely settling existing commitments.

We continue to target a geographically balanced land portfolio in the medium term with a supply of owned land of c. 3.5 years and a further c. 1.0 year of controlled land. We are broadly in line with

this target with the land bank comprising 3.6 years of owned land (30 June 2022: 3.9 years) and 0.7 years of controlled land at 30 June 2023 (30 June 2022: 0.8 years).

More than 81% (30 June 2022: 75%) of our owned and unconditional land bank plots have detailed planning consent, supporting our sales outlets position and future home completions.

Our land bank at 30 June comprised:

Our land bank	30 June 2023	30 June 2022
Plots with detailed planning consent	**48,270**	51,009
Plots with outline planning consent	**9,658**	15,957
Plots with resolution to grant and other	**1,320**	721
Owned and unconditional land bank (plots)	**59,248**	**67,687**
Conditionally contracted land bank (plots)	**11,142**	13,239
Total owned and controlled land bank (plots)	**70,390**	**80,926**
Number of years' supply	**4.3**	**4.7**
JVs owned and controlled land bank (plots)	**4,356**	4,548
Strategic land bank (acres)	**16,431**	15,537
Strategic land bank (plots)	**101,784**	91,440
Promotional land bank (plots)	**96,844**	93,696
Land bank carrying value (£m)	**3,139.9**	3,339.9

At 30 June 2023, the estimated ASP of plots in our owned land bank was £331k (30 June 2022: £322k) and the estimated gross margin in our land bank based on current estimated sales prices and build costs, is 19.7% (30 June 2022: 25.8%).

Taylor Wimpey Half year results 2023 (2 August 2023)

Half Year Results Presentation for the six months to 2 July 2023 2 August 2023
First half Group completions of 5,120, slightly ahead of expectations ● Delivered a strong operational performance in variable market conditions ● Sales rate of 0.71 (H1 2022: 0.90), sales rate excluding bulk deals of 0.62 (H1 2022: 0.88) ● Proactive approach with tight WIP management, highly selective land additions and cost action to reduce overheads ● High-quality short term landbank of c.83k plots including c.6k plots converted from strategic pipeline which now stands at c.140k potential plots

UK performance summary

	H1 2023	H1 2022	Change	FY 2022
Legal completions – excl JVs	**4,854**	**6,587**	**(26.3)%**	**13,551**
Private	3,743	5,137	(27.1)%	10,675
Affordable	1,111	1,450	(23.4)%	2,876
Average selling price – excl JVs	**320**	**300**	**6.7%**	**313**
Private £000	366	337	8.6%	352
Affordable £000	166	169	(1.8)%	166
Legal completions – JVs	38	132	(71.2)%	222
Share of results – JVs £m	(0.3)	10.0	-	15.9
Gross profit margin %	**21.2**	**25.1**	**(3.9)ppt**	**25.5**
Operating profit £m	**215.9**	**406.6**	**(46.9)%**	**890.8**
Operating margin %	**13.8**	**20.2**	**(6.4)ppt**	**20.7**

Performing well in the current market

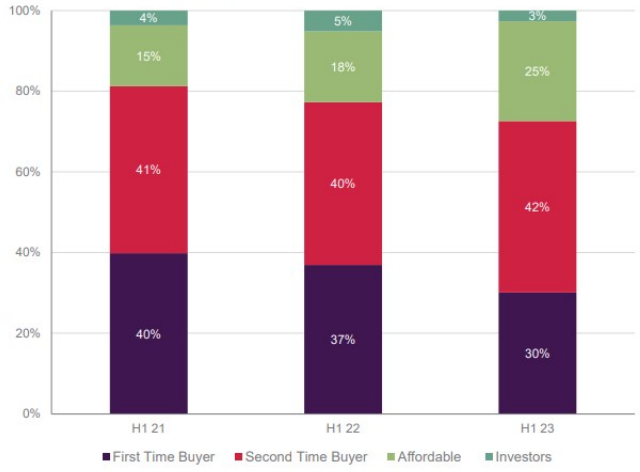
	H2 2023 (w/e 30 July 2023)	H1 2023	H2 2022	H1 2022
Average outlets open	234	244	235	228
Private sales rate (net)	0.47	0.71	0.48	0.90
Underlying private sales rate excl. bulk (net)	0.47	0.62	0.43	0.88
Private sales price £000	350	352	377	354
Cancellation rate (private)*	24%	16%	23%	15%

- Total order book of 7,900 homes with a value of £2,175 million as at 30 July 2023 (2022 equivalent period: 10,392; £2,893 million), excluding joint ventures
- Pricing has remained resilient with incentives at around 5%
- Down valuations remain low
- Of reservations taken in July 2023, 69% came from prospects first registered from 1 May 2023 onwards

Data based on reservations excluding JVs
* Private cancellation rate is defined as cancellations divided by gross reservations in the period

Our customers

Reservations by buyer type



c.18% of customers were cash buyers

Average FTB LTV was 81%

Mortgage terms of above 36 years increased substantially from 2021

68% bought jointly – 66% with average joint income of £50k – 100k, 18% with over £100k

Fixed rate mortgages are most popular

Majority of customers taking mortgages choose a 5-year fixed

Data for the H1 2023 period from TW data and IFAs

UK completions mix

UK completions H1 2023	<£200k	£201k – £250k	£251k – £300k	£301k – £450k	£451k – £600k	£601k – £1m	>£1m	Total
Price band	21%	14%	14%	34%	12%	4%	1%	100%

UK completions	H1 2023	FY 2022	H2 2022	H1 2022	FY 2021	H2 2021	H1 2021
First time buyers	31%	35%	35%	35%	41%	39%	43%
Second time buyers	39%	39%	39%	39%	37%	38%	36%
Affordable*	26%	21%	20%	21%	18%	20%	17%
Investor	4%	5%	6%	5%	4%	3%	4%
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Help to Buy	3%	17%	17%	17%	30%	23%	36%

Private completions	H1 2023	FY 2022	H2 2022	H1 2022	FY 2021	H2 2021	H1 2021
Apartments	11%	9%	9%	8%	8%	8%	8%
1 / 2 / 3 bed houses	49%	52%	53%	52%	50%	51%	49%
4 / 5 / 6 bed houses	40%	39%	38%	40%	42%	41%	43%
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

*Includes private sales to housing associations
Data based on completions excluding JVs

Persimmon

Persimmon

About Us Investors Media Sustainability Lo

Financial highlights

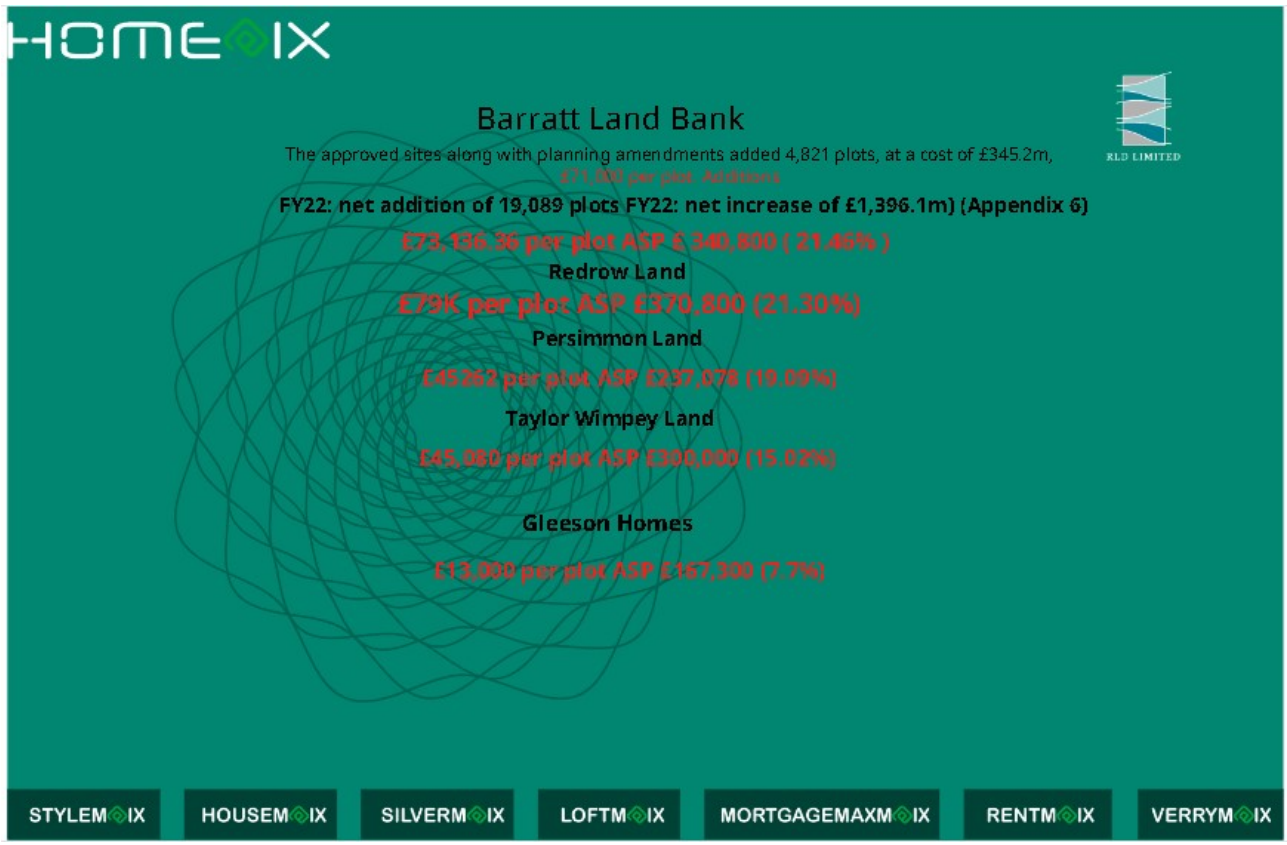
	H1 2023	H1 2022
New home completions	**4,249**	6,652
New home average selling price	**£256,445**	£245,597
Total Group revenue[1]	**£1.19bn**	£1.69bn
Underlying new housing gross margin[2]	**21.5%**	31.0%
Underlying operating profit[3]	**£152.2m**	£440.7m
Underlying operating margin[4]	**14.0%**	27.0%
Profit before tax	**£151.0m**	£439.7m
Earnings per share	**34.4p**	106.5p
Interim dividend per share	**20p**	-
Cash at 30 June	**£0.36bn**	£0.78bn
Land holdings at 30 June – plots owned and under control	**84,751**	89,052
Underlying 12 month rolling return on average capital employed[5]	**21.1%**	30.9%

Trading highlights

- 4,249 new home completions in H1 (2022: 6,652), reflecting the lower forward order book coming into the year following the market challenges after last Autumn's 'mini-Budget'
  - Group private average selling price of £288,327, up 8% year on year, partially reflecting a greater proportion of larger homes sold
  - Group average selling price of £256,445 up 4% year on year

- Sales rate of 0.59 for the period (2022: 0.91), broadly sustaining the higher than expected rates seen in the first quarter and secured with the controlled use of incentives and investor deals
    - Average incentive levels of 3.2% in the period on the Group's private sales (H2 2022: 1.5%)
    - Investor deals accounted for 0.03 of the sales rate in the period; continue to assess approaches from interested parties on a case-by-case basis

INSERT ASP AND PLOT COST SLIDE DBW PRESENTATION.



SME’s

S.106 Affrdable

Market Volumes New Homes to Established home turnover

Effective Demand,
Cash Buyers
Bank of Mum and Dad
Mortgages

Money Supply Measures

M3 and M4

Bank Balance Sheets

The Amount of Housing wealth Equity and the overall level of Mortgage lending in the economy is also of some importance.
Total risk-weighted assets of which:
Credit and counterparty risk
£ billions £ billions

2,940 2,138

1 676 mortgages
57.00% 78.40%
Mortgage Loans make up 57% of total Banks risk weighted assets and 78.4% of the Credit and counter party risk component of Banking sector regualtory capital requirements(BOE)

Mortgage Lending, Deposits and Bank of Mum and Dad

Key findings

- The outstanding value of all residential mortgage loans was £1,675.8 billion at the end of 2022 Q4, 3.9% higher than a year earlier **(Table A)**. footnote[1]
- 1,675,800,000,000 Value of Outstanding Mortgages on Bank Balance Sheets
- Secured against By Savills Figure for Jan 2022 £2,900,000,000,000 £2.9 Trillion of Value

1675.8/2900 = 57.786% LTV

If as some commentators Claim Values Fall by 35% in real terms

The Value of all Mortgaged Property would fall to 1.875 Trillion and the Loan to value ratio on Bank Balance sheets would rise to 88.9% This would have very severe consequences on the rating of Mortgage Debt held by banks as secured collateral for Tier 1 Basel 3 Solvency purposes.

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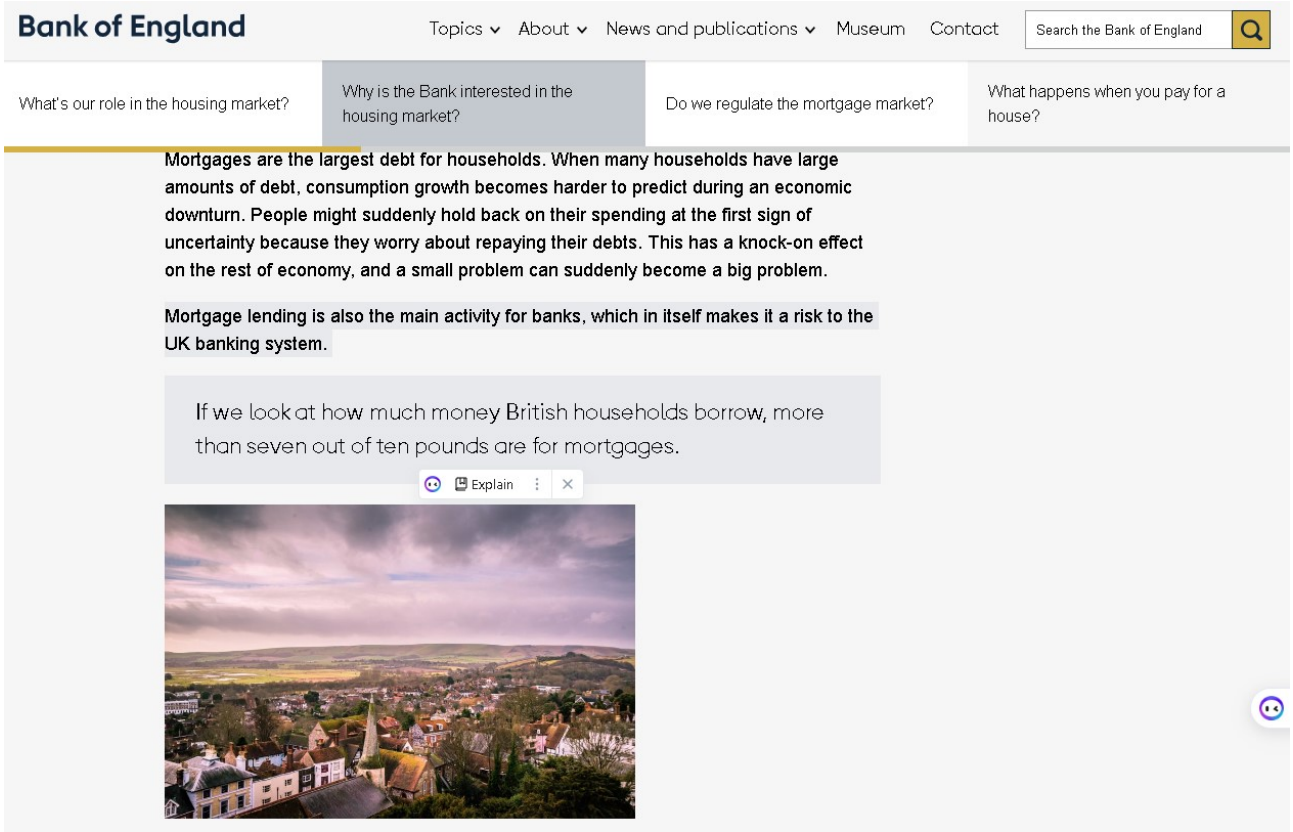
53.2% of the UKs Residential Housing Stock in private ownership is not Mortgaged this figure suggests why Prices for Property are much stickier going down than going Up.



https://www.bankofengland.co.uk/explainers/whats-the-bank-of-englands-role-in-the-housing-market#chapter-1

Consumer Confidence

Inflation

Planning Policy and Building/Energy Regulations

Real Estate and Money Supply

There is a direct relationship between the amount of money supply that is available in the system and the amount of money that finds its way into the real estate market. This is because real estate is one of the most preferred investment classes in the world. It is considered to be a safe haven and one of the safest hedges against inflation.

However, very few people are aware of the fact that real estate also ends up creating more money supply! This is because of the way the modern fractional reserve banking system works. The more real estate is created, the more mortgage loans are made and the higher the money supply goes. This recursive relationship between real estate and money supply as well as how they propel each other higher has been detailed in this article

Self Perpetuating Money Supply

The modern system of real estate investing creates a situation where in real estate catapults the money supply available in the system. This increased money supply then finds its way once again into the real estate sector. This never ending back and forth between the banking system and the real estate system creates an environment of rising real estate prices.

Since the fundamentals of the economy i.e. income levels are not changing, these rising prices are often a real estate bubble. This bubble bursts bringing the prices down for a short period of time. However, in the long run, due to the very nature of the process, real estate investments end up propping up the money supply and creating a self-enforcing and amplifying loop.

Mortgages Create Money

About 80% of the house purchases across the developed nations in the world take place on borrowed money. Hence, the term “house purchase” can be considered to be synonymous with the word “mortgage”. This seems to be a normal thing until one considers how the modern banking system works.

Banks do not lend out existing money, instead they create new money when they make loans. Therefore, whenever a bank makes a mortgage loan, it ends up creating that money and pumping it into the system. Therefore, the more mortgages there are, the more money there will be in the system.. This fact can be easily empirically verified by comparing the growth of mortgage loans in

the banking industry to the amount of money supply in the economy. The two charts almost move simultaneously!

Money Creates High Inflation

Now, the problem with more money getting created is the fact that this newly created money revolves in the system. It derives its value by reducing the value of the other money in circulation. Therefore, in countries like the United States when the mortgage markets were booming, there was extremely high inflation in the market. The high inflation coupled with mediocre wages growth creates a scenario wherein the workers are losing real wages!

Inflation Creates High Prices

The money that was created as a result of the mortgages finds its way largely into the real estate sector once again. This is because increasing demand for real estate takes the prices higher causing buyers to queue up to buy what appear to be “profitable investments”

Now, excess money as well as excess demand in the system leads to the growth in the prices of real estate units. This further increases investor confidence that real estate is indeed an extremely profitable investment. The real estate prices which initially appeared to be disproportionately high given the economic fundamentals stay that way and the illusion begins to turn into reality! The inflated real estate prices become the new normal.

Speculation Creates More Mortgages

When speculators observe that some of their peers have made money by speculating on real estate, they too make an attempt to join the party. This further exerts an upward pressure on the real estate sector as excess money and excess demand now meet speculative intentions!

This is the perfect recipe for a bubble. Speculators drive the prices sky high through self reinforcing feedback loops. Higher prices in the past become the justification for even higher prices in the future! This period witnesses a rapid growth in mortgages as well as housing prices.

The Bust Phase

Finally, at an unpredictable point in time, the bubble bursts. The primary reason behind the bust is the unsustainable economic condition in the economy. At this point in time, many borrowers are simply unable to make payments to their banks. As a result, the bank has to foreclose these homes and write down the losses. However, very few people know the fact that when banks write down these losses, they actually write the money out of existence. Since mortgages were what created the money in the first place, when these mortgages cease to exist so does the money. As a result, the total money supply in the system is reduced and as a result the prices appear to have gone down.

Thus, mortgages and real estate prices have a huge influence on the money supply of the economy. Since money supply is one of the fundamental economic parameters, the real estate prices end up having a huge influence on the entire economy.

The stock of housing equity is the proportion of housing wealth which does not have lending secured on it. In other words, the stock of housing equity equals the stock of housing wealth minus the stock of lending secured on housing.
Further details about the Bank's estimate of

Overview

The stock of housing equity can change in three main ways:

1. Changes in the stock of secured lending when households take out or repay debt;
2. Changes in the stock of housing wealth, e.g. when new properties are built or improvements are made to existing properties,
3. Revaluations of the stock of housing wealth due to changes in house prices.

The balance of the first two ways of changing equity, i.e. excluding revaluations, in each period is classed as housing equity withdrawal (HEW).

When households, in aggregate, are withdrawing more equity than they are injecting, HEW is positive. When they are injecting more than they are withdrawing, HEW is negative.

For a more practical interpretation of these concepts, please refer to an article in the 2011 Q2 Quarterly Bulletin.

Housing equity withdrawal since thefinancial crisisBy Kate Reinold of the Bank’s Structural Economic Analysis Division.(1)

Published on 13 June 2011

By Kate Reinold of the Bank’s Structural Economic Analysis Division.

The amount of housing equity withdrawal (HEW) has swung from being significantly positive before the financial crisis and recession, to negative over the past few years. The net effect of a chain of housing transactions is typically a large equity withdrawal. The fall in the number of housing transactions is therefore likely to have been a key driver of the fall in equity withdrawal

since the financial crisis. There is little sign that, at the aggregate level, households are making an active effort to pay down debt more quickly than in the past.

To explain what is meant by housing equity withdrawal (HEW), it is useful to first define housing equity itself. The stock of housing equity is the portion of housing wealth which does not have lending secured on it: Stock of housing = stock of housing – stock of lending equity wealth secured on housing The stock of housing equity can change in three main ways: through changes in the stock of secured lending when households take out or repay debt; through changes in the stock of housing wealth when new properties are built or improvements are made to existing properties;(2) and from revaluations of the stock of housing wealth due to changes in house prices. The balance of the first two ways of changing equity (ie excluding revaluations) in each period is classed as HEW, which is calculated by the Bank of England.(3)(4) In 2008, HEW turned negative for the first time since the 1990s. That signified that the household sector as a whole was injecting equity into housing after a long period of withdrawals. While it might be tempting to interpret this as an active effort by households to pay down debt more rapidly than in the past, it is not clear that this is the case.

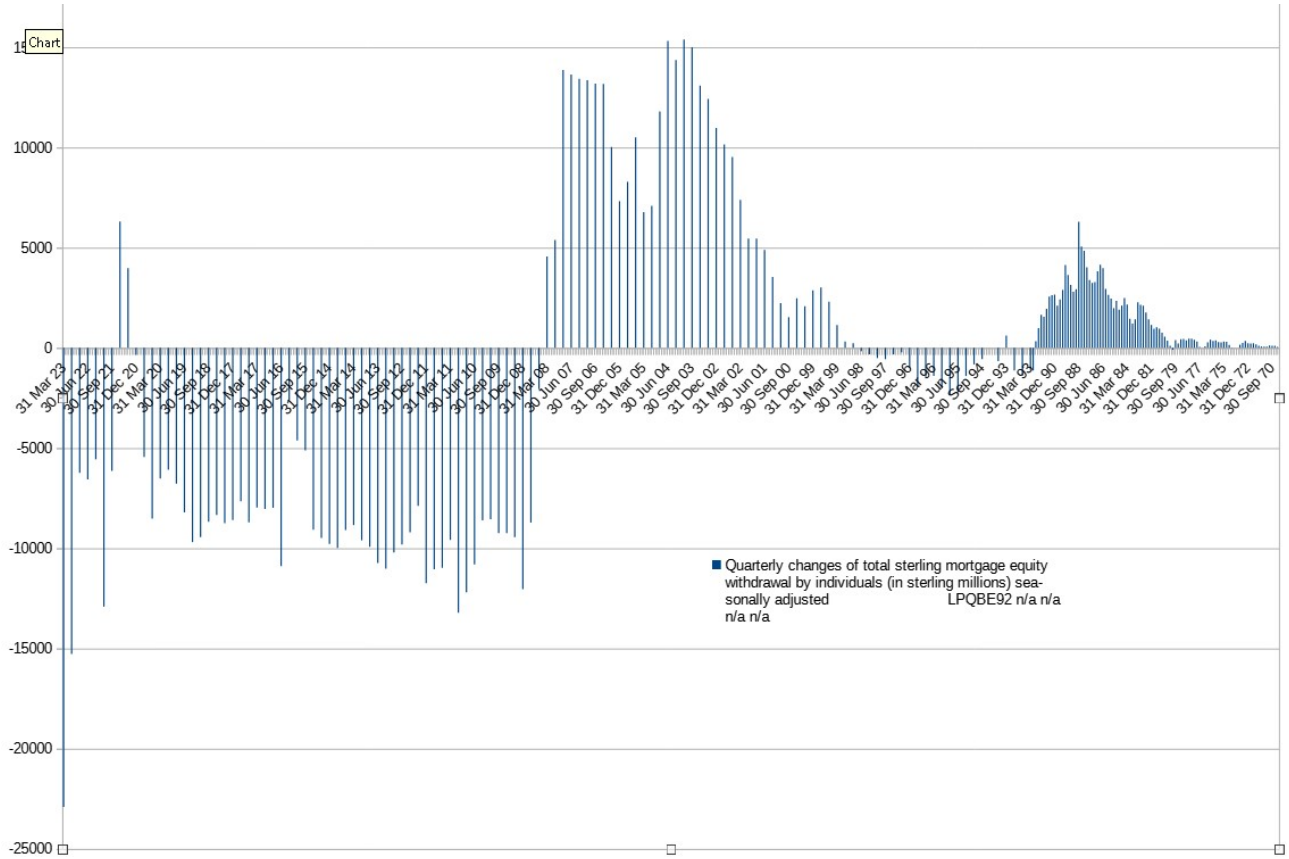
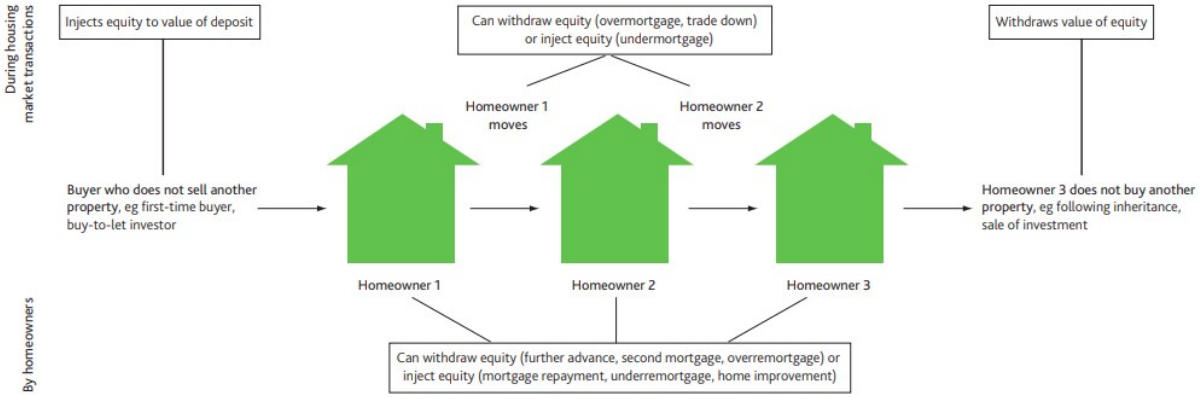


Figure 1 Housing chains and housing equity withdrawal



So movements in HEW will be closely related to turnover in the housing market. And indeed, Chart 1 shows that there is a close comovement between HEW and housing market transactions. HEW related to housing market transactions will also be influenced by house prices. House price rises increase the size of a homeowner's equity and so with the same number of housing chains, the size of total withdrawals by last-time sellers will be larger.

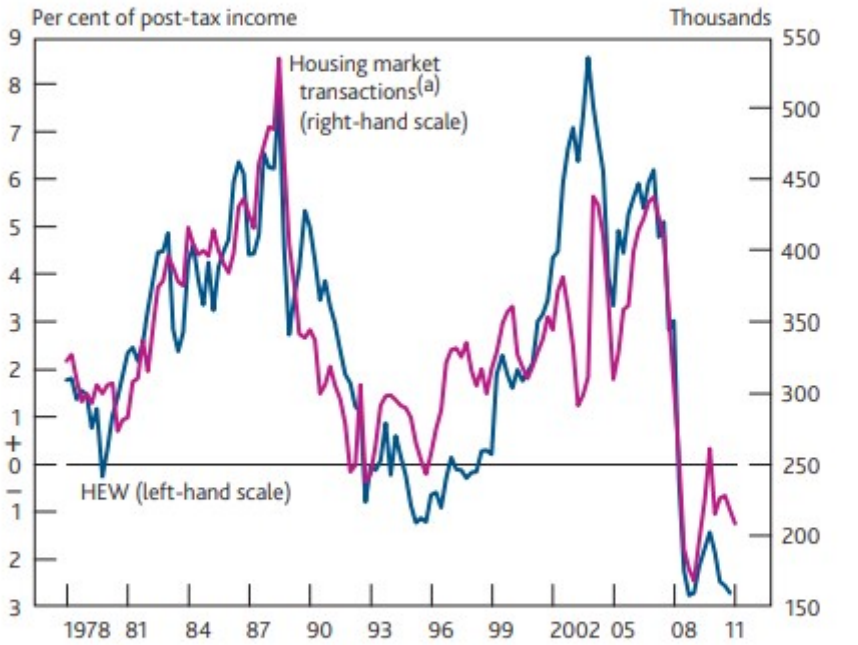
Table A Methods of withdrawing and injecting equity

Withdrawals		Injections	
During housing market transactions			
Last-time sales	A seller does not buy a new property, so the proceeds of the sale are released from the housing market.	Buyers who do not sell another property, eg first-time, buy-to-let purchases	The deposits paid by first-time buyers and buy-to-let investors.
Overmortgaging	A moving owner-occupier increases their mortgage by more than the difference between the old and new house prices.	Undermortgaging	A mover changes their mortgage by less than the difference between the old and new house prices.
Trading down	A seller moves to a cheaper property but reduces the mortgage by less than the difference between the old and new property prices, so leaving a cash sum.		
By homeowners			
Further advances and second mortgages	A borrower raises a further advance on an existing mortgage or takes a second mortgage without improving the property to the same extent.	Repayments of mortgage debt	Regular and lump-sum repayments of principal and the redemption of mortgages, except on sale or remortgaging.
Overremortgaging	A borrower taking a new mortgage increases their debt without improving the property to the same extent.	Underremortgaging	A borrower takes a new mortgage and reduces their debt without moving properties.
		Home improvements	Home improvements paid for with non-secured funds.

Chart 2 shows that between 1997 and 2007 withdrawals of equity were increasing at a faster pace than injections. This meant that withdrawals began to exceed injections and so HEW was positive. But since the financial crisis, there has been a large fall in withdrawals. With broadly unchanged injections, withdrawals have been smaller and so HEW turned negative. There are two factors which have driven the fall in withdrawals: the fall in withdrawals by last-time sellers and down traders (lilac bars), and the fall in further advances (pink bars). Indeed, the fall in the lilac bars is large enough to account for the entire move to net equity injections. That is, the move to aggregate injections can be accounted for by a fall in the number of people withdrawing large amounts of equity through last-time sales and trading down. And that is likely to reflect the large fall in housing transactions (and to a lesser extent the relatively smaller fall in house prices). Further advances on mortgages also fell by around two thirds between 2007 and 2010. This could indicate that households are unable or unwilling to withdraw equity as they have done in the past. It is impossible to judge from the data which of these factors are at play but survey responses suggest

that both are contributing. In the 2010 NMG household survey, 22% of all households reported that they were credit constrained suggesting that some households were unable to acquire more debt (Nielsen et al (2010)). And a third of all households were avoiding taking on more debt, suggesting that some were also unwilling, perhaps due to heightened uncertainty. While withdrawals have fallen sharply since the crisis, injections have been little changed. The green bars and purple bars in

Chart 1 Housing market transactions and housing equity withdrawal



Sources: Bank of England, HM Revenue and Customs (HMRC) and Bank calculations.

(a) Number of residential property transactions in the United Kingdom with a value of £40,000 or above per quarter from 2005 Q2. Prior to that date, the series has been assumed to grow in line with quarterly HMRC data on particulars delivered in England and Wales.

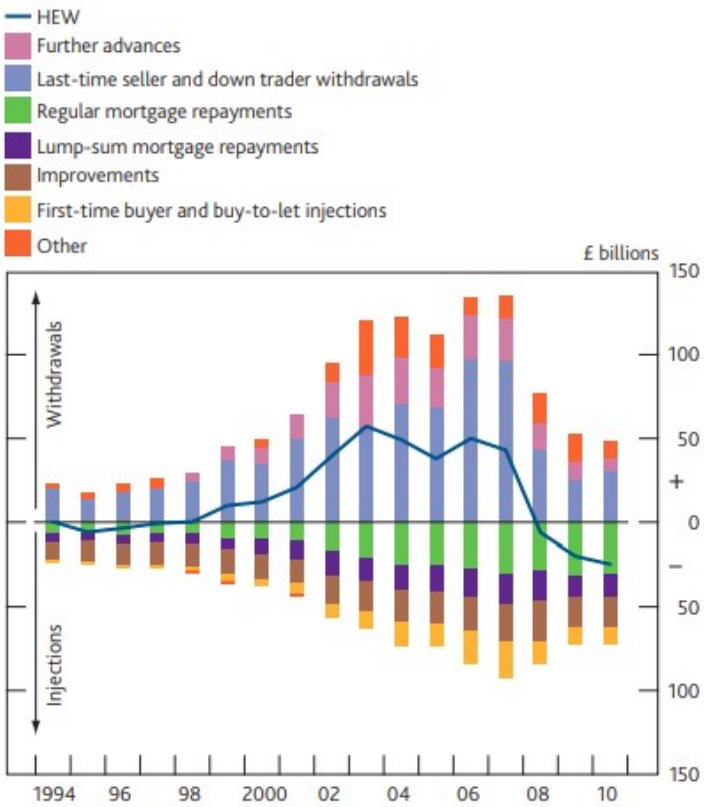
Chart 2 show that injections of equity from regular and lump-sum repayments of mortgage principal have been relatively stable since the start of the crisis. This suggests that, as a whole, the household sector has not been actively paying down debt more quickly than in the past (although some individuals may have been). This is consistent with intelligence from the major UK lenders that there had not been widespread overpayments of mortgages in 2010. The total injections of equity by first-time buyers and buy-to-let investors are also little changed. Since the crisis, the deposit required for each house purchase has risen. But there has also been a sharp fall in the number of first-time buyers and buy-to-let investors. So while each buyer may be making a larger injection of equity, the yellow bars in Chart 2 show that the gross flow of injections from first-time buyers and buy-to-let investors has actually fallen.

Conclusion

The calculations of the gross flows underlying HEW presented in this article suggest that the weakness in housing market transactions is likely to have been the key driver of the move from equity withdrawals to equity injections. Fewer homeowners trading down and selling a property without buying another mean that a large source of equity withdrawal has disappeared. Flows of injections have changed little over the period. So the move to injections does not by itself suggest

that the household sector as a whole is paying down debt more rapidly than in the past. Further advances Last-time seller and down trader withdrawals First-time buyer and buy-to-let injections Improvements Lump-sum mortgage repayments Regular mortgage repayments HEW + – Withdrawals Injections Sources: Bank of England, CML, Halifax, HMRC, Nationwide, ONS and Bank calculations. (a) Data on further advances and buy-to-let injections are only available after 1998 and 1999 respectively. Before these dates, these flows will be captured in 'other'. Chart 2 Gross flows of housing equity withdrawals and injections(a) (1) It is not straightforward to compare the gross flows presented here with the series used by the Bank to estimate the HEW statistic. Most of the flows (further advances, last-time seller and down trader withdrawals, first-time buyer and buy-to-let injections, and mortgage repayments) will be captured in net secured lending. Improvements to the housing stock are one part of the investment series used in the Bank's calculations. But investment also includes other series such as new build which, as is discussed above, is not an individual gross flow.

Chart 2 Gross flows of housing equity withdrawals and injections[a]



Sources: Bank of England, CML, Halifax, HMRC, Nationwide, ONS and Bank calculations.

(a) Data on further advances and buy-to-let injections are only available after 1998 and 1999 respectively. Before these dates, these flows will be captured in 'other'.

Housebuilding Market Report – UK 2018-2022

https://www.amaresearch.co.uk/report/housebuilding-market-report-uk-2018-2022/

Introduction and Overview

There are several key additions in the 13th edition of the housebuilding market report, including a review of residential & change of use conversions; an analysis of construction methods – masonry, timber frame steel/concrete mainframe and offsite; contractor reviews by region and a review of housing associations that build homes.

Key issues analysed in the report:

- UK Housebuilding market size – contractors output, newbuild completions and conversions 2016/17, estimates for 2017/18.
- Forecasts for annual housebuilding completions and contractors output to 2021/22.
- Review of construction methods – including potential for offsite housing.
- A review of housing developers – overall market performance, company profiles, annual completions by tenure.

Areas of particular interest:

- Review of the impact of Help to Buy on the housebuilding market, which has been credited with a recent increase in completions and is now extended to 2021.
- Review of the progress of the Affordable Housing programme to deliver low-cost homes.
- Analysis of the use of Build-to-Rent to meet the housing shortage.
- Review of the residential/ change-of use conversions sector and the impact of permitted rights to meet new homes targets.
- Assessment of housebuilding methods and the potential for offsite construction to meet demand for homes. New entrants into offsite housing sector.
- Analysis of top 60+ housing developers including housing associations: 2017 turnovers, completions by tenure, average sales prices, regions served.
- Expansion of housebuilding operations and increase in capacity among housing associations and diversification into open market sale and rented homes.

Some of the companies included:

Abbey Homes, Avant Homes, Barratt Developments, Bellway Homes, Berkeley Homes, Bloor Homes, Bovis Group, Cala, Countryside Prop’s, Crest Nicholson, Fairview New Homes, Galliard Group, Gleeson Homes, Harron Homes, Hill Holdings, Jones Homes, Keepmoat Homes, Kier Living, Linden Homes, Lovell Partnerships, McCarthy & Stone, Miller Homes, Morris Homes, Persimmon Group, Redrow Homes, Springfield Properties, Strata Homes, Stewart Milne, St Modwen Homes, Story Homes, Taylor Wimpey, Telford Homes, Wates Residential, Westleigh Part’ships, Weston Homes, Willmott Dixon and more.

HOUSING CONSTRUCTION OVERVIEW

- Housebuilding completions & conversions and contractors output 2011/12 to 2017/18. Key market drivers and forecasts to 2021/22.
- Conversions 2011/12 to 2017/18 and forecasts to 2021/22. Key market drivers and mix by type of conversions.

- Market influences: macro-economic factors; housing policy and incentives e.g. Help to Buy and Affordable Housing programmes; new housing price trends; growth in Build To Rent; planning issues & land availability; skills shortages.

MARKET MIX BY TENURE

- Market mix by tenure; private sale; housing associations – affordable rent, local authorities-social rent, Build to Rent, self-build.
- Private sector housebuilding contractors output 2011-2017. Review of Help to Buy 2013-2017; comparison of completions and contractors output by region 2015 & 2017; review of Build to Rent sector including market size estimates 2013-2017 by volume & by value with forecasts to 2022; self-build market review 2011-2017.
- Public sector housebuilding – contractors output & completions 2011-2017; comparison of contractors output by region.
- Affordable Housing review -completions 2012/13 to 2016/17; key drivers; mix of completions by market segmentation e.g. affordable rent, social rent, shared ownership.

NEW HOUSING BY TYPE AND SIZE

- Overview of completions by type of housing 2017 i.e. detached, flats, terraced etc.
- England completions by bedroom numbers for total housing, all private housing and all social housing 2011/12 -2016/17 and underlying market factors.
- England completions by bedroom numbers for total flats, all private flats and all social housing flats 2011/12 -2016/17 and underlying market factors.
- Overview of housing construction methods – mix by method e.g. masonry, offsite etc.
- Reviews of masonry construction, timber frame, other offsite methods – market mix.

HOUSING DEVELOPERS REVIEW

- Overview of housing developers/builders industry – shares by types of developer e.g. larger private housebuilders, SME housebuilders, housing associations and self-builders.
- Review of 36 largest housing developers (500+ completions a year) – number of completions (private & affordable) and average sales prices; 2016 & 2017.
- Review of SME housing developers (<500 completions a year) by region.
- Review of 30 largest housing associations building homes – number of completions (affordable, open market sale and social rent) 2016 & 2017.
- Offsite housing systems manufacturers reviews.

Report Summary

The housebuilding market has performed well in recent years with 2016/17 representing a fourth successive year of growth following the start of the recovery in the housebuilding sector after the last recession. This growth has largely been driven by increasing activity levels in the private housing sector, underpinned by a combination of low interest rates, competitive mortgage deals and especially the Help to Buy equity loan scheme.

Average selling prices have also been increasing year on year over the same period, contributing towards strong growth in total contractors output, which nearly doubled between 2011/12 and 2017/18. **The key reason for this strong growth has been a marked shift away from 1-3**

bedroom flats towards higher value 4+ bedroom detached and semi-detached homes, particularly across London, the South East and East of England.

However, most other regions of the UK have also been affected by price increases, albeit to a lesser degree. While interest rates remain on the lower side, mortgage deals are likely to remain competitive although interest rate rises could easily reverse growth in the market. Affordability will therefore continue to be a key factor in sustaining demand, with the extension of Help to Buy equity loans in England through to 2021 expected to underpin demand for private sector new housing.

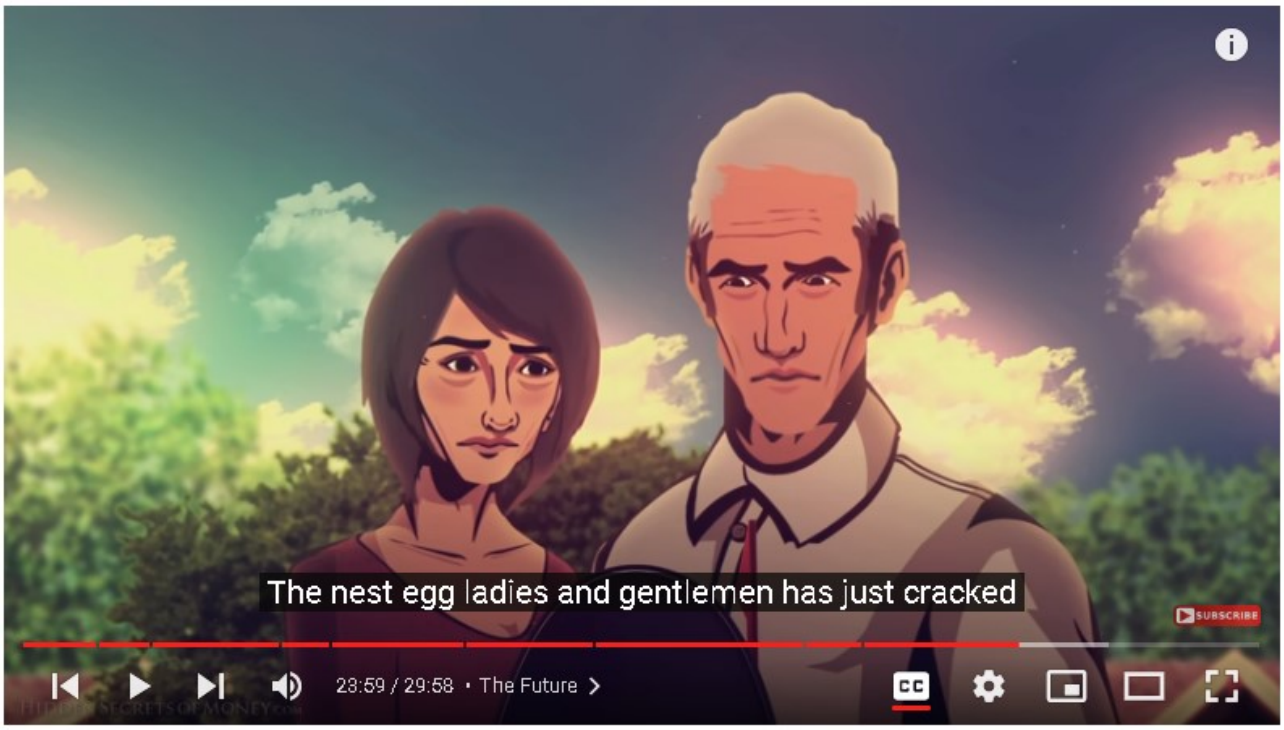
Partly due to high housing prices, the other notable trend has been a change in the mix in tenure, with a fall in home ownership and an increase in private rental and a decline in social rent, to be replaced by a rise in the levels of affordable rent. This decline in social rent has been brought about by government cuts to social housing providers capital budgets. This in turn has compelled the latter to shift their sources of funding towards affordable rent and open market sales, which in turn contributes towards funding new developments.

Property , Gold/Silver , Carbon , Monetary measures M3, Oil

STRIKE 3: USA's Day of Reckoning - Hidden Secrets Of Money Episode 7 - Mike Maloney

1,854,037 views Oct 5, 2016 Hidden Secrets Of Money - Mike Maloney_S1 E7
Watch the Bonus Feature here: https://goldsilver.com/blog/what-happ... History shows that once or twice in a generation a global crisis comes along that radically devastates people's way of life. A fundamental shift so big and drastic and overwhelming that it destroys their standard of living and impacts every area of their lives. We are about to experience one of those events…As Mike Maloney outlines in his brand new episode of the Hidden Secrets of Money, that next major event is deflation. And the culprit will be a relatively obscure monetary term that will impact virtually every area of your life: money velocity. You may not know exactly what money velocity means, but we will all soon experience it firsthand. In fact, money velocity will be the culprit of not just deflation, but the resulting inflation—and maybe hyperinflation—that will immediately follow. [Mike refers to it as "currency" velocity, a more accurate term, since true "money" is gold and silver.] The good news is, there is a way to protect yourself and even profit from these upcoming crises. History shows that on the opposite side of every crisis, there is an equal opportunity… If you enjoyed watching this video, be sure to check out the Hidden Secrets of Money website at https://www.hiddensecretsofmoney.com/... It's a world-leading educational series by Mike Maloney, the bestselling author of the Guide to Investing in Gold & Silver. As Mike explains in the series and his book, we live in an economic system that is made complicated by design. Basically, it's set up so most people don't even try to understand it. In Mike's videos, he breaks down these concepts using easy-to-follow analogies, real pages from history, and animations that tie it all together. And be sure to follow Mike on social media to stay up to date on his latest news and posts: Facebook: https://www.facebook.com/OfficialMike... Twitter: https://twitter.com/mike_maloney Mike Maloney is also the founder of GoldSilver.com (http://tinyurl.com/jq2sbx5), which was one of the first websites ever to sell bullion online. It is well known for outstanding customer service and its competitive prices. If you're a fan of Mike's YouTube channel and need help buying gold and silver, his team is standing by to answer all your questions and make it easy. You can find out more at http://tinyurl.com/jq2sbx5The video discusses the possibility of a third and worst financial crisis, with a wealth transfer taking place during this decade. It explains the relationship between currency

supply, velocity, and inflation, with a potential hyperinflation looming due to excessive currency creation. The importance of educating oneself on finance and history to navigate this crisis and take advantage of wealth transfer opportunities is emphasized.



STRIKE 3: USA's Day of Reckoning - Hidden Secrets Of Money Episode 7 - Mike Maloney

Detailed Summary for [STRIKE 3: USA's Day of Reckoning - Hidden Secrets Of Money Episode 7 - Mike Maloney](https://www.youtube.com/watch?v=P4_1pwsm5LY&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=7) by [Monica](https://monica.im)[00:00](https://www.youtube.com/watch?v=P4_1pwsm5LY&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=7&t=0.03) The world is entering the greatest financial crisis in history, but with education, it can be turned into a great opportunity.- The upcoming financial crisis will be bigger than 2008.- The greatest wealth transfer in history will take place during this decade.

- Education on finance, the global economy, and the history of money is the best investment one can make.

- The velocity of currency is controlled by psychology, and the economy runs in waves and cycles.

[04:19](https://www.youtube.com/watch?v=P4_1pwsm5LY&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=7&t=259.28) Inflation in Germany during the 1920s led to a loss of confidence in the economy and currency.

- Exchange rate between gold and mark rose from 100 to 2000 marks per ounce in 1920.

- Inflation slowed in 1920-21, but resumed due to war reparations and by July 1922 prices had risen by 700%.

- People lost confidence in their currency and started spending it immediately.

- The front page of the New York Times from 1923 contains articles on German hyperinflation, with parallels to today's news.[08:36](https://www.youtube.com/watch?v=P4_1pwsm5LY&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=7&t=516.74) The quantity of currency does not determine the country's level of prosperity.- GDP is determined by the velocity of money, not the quantity of currency.- Adding currency to the economy does not necessarily stimulate growth.- Hyperinflation often has a pre-hyperinflation phase where prices rise before skyrocketing.[12:52](https://www.youtube.com/watch?v=P4_1pwsm5LY&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=7&t=772.73) Hyperinflation is inevitable due to the creation of more currency and slowing velocity to compensate for it, but a feel-good period before the inflation kicks in is expected due to money illusion.

- Velocity has slowed to compensate for the creation of currency, but it will pick up and lead to hyperinflation.

- Money illusion creates a feel-good period before inflation kicks in, but it doesn't last long.

- Inflation is not solely a function of money supply, but also behavioral, based on confidence and feelings.

- To achieve the desired inflation, both money supply and behavioral factors need to come together, but the Fed has not been able to bend the velocity curve well.

[17:08](https://www.youtube.com/watch?v=P4_1pwsm5LY&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=7&t=1028.829) In 1998, the world was hours away from shutting down global bond and stock markets, and lessons should have been learned, but instead, banks were allowed to use more leverage and implement riskier practices, leading to a bigger catastrophe in 2008 and an imminent third strike.- In 1998, the world was close to shutting down global bond and stock markets, but it was brought in for a soft landing.- Banks should have learned lessons from the 1998 incident, but instead, they were allowed to use more leverage and implement riskier practices.- The failure to learn from the past has led to bigger catastrophes, and another one is imminent. [21:26](https://www.youtube.com/watch?v=P4_1pwsm5LY&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=7&t=1286.5) The world's central bankers will face horrors of a credit bubble implosion causing real deflation, and all efforts to pump the banking sector by buying up every kind of debt will fail.- Bankruptcies and foreclosures will cause the currency supply to contract.- People will save their currency, causing the economic engine to run out of oil.- The Federal Reserve will send out its Armada of money bomb dropping, but the bombs will have been defused.- The Fed will try pumping the banking sector by buying up every kind of debt, but it will not work.

- They will start buying stocks to buoy the stock market, but retail sales will continue to plunge.

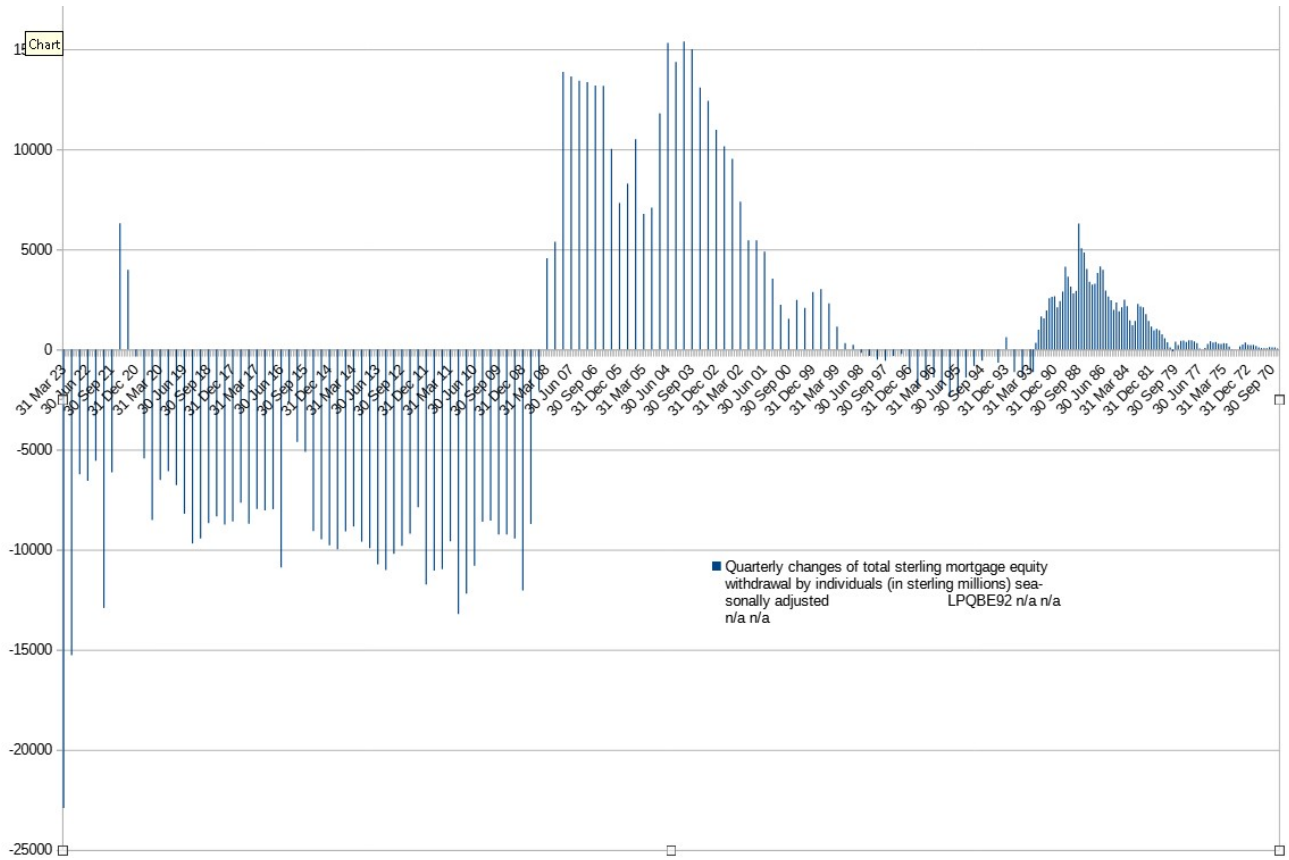
[25:45](https://www.youtube.com/watch?v=P4_1pwsm5LY&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=7&t=1545.7) In times of hyperinflation, the value of currency falls rapidly, causing an increase in the cost of living and loss of confidence in the currency. Governments have the choice to shut down the government or print more currency, but history shows that the latter leads to disaster.

- The Dow will crash and gold prices will rise during hyperinflation.

- Confidence in currency falls faster than it can be created.

- Governments have the choice to shut down the government or print more currency.

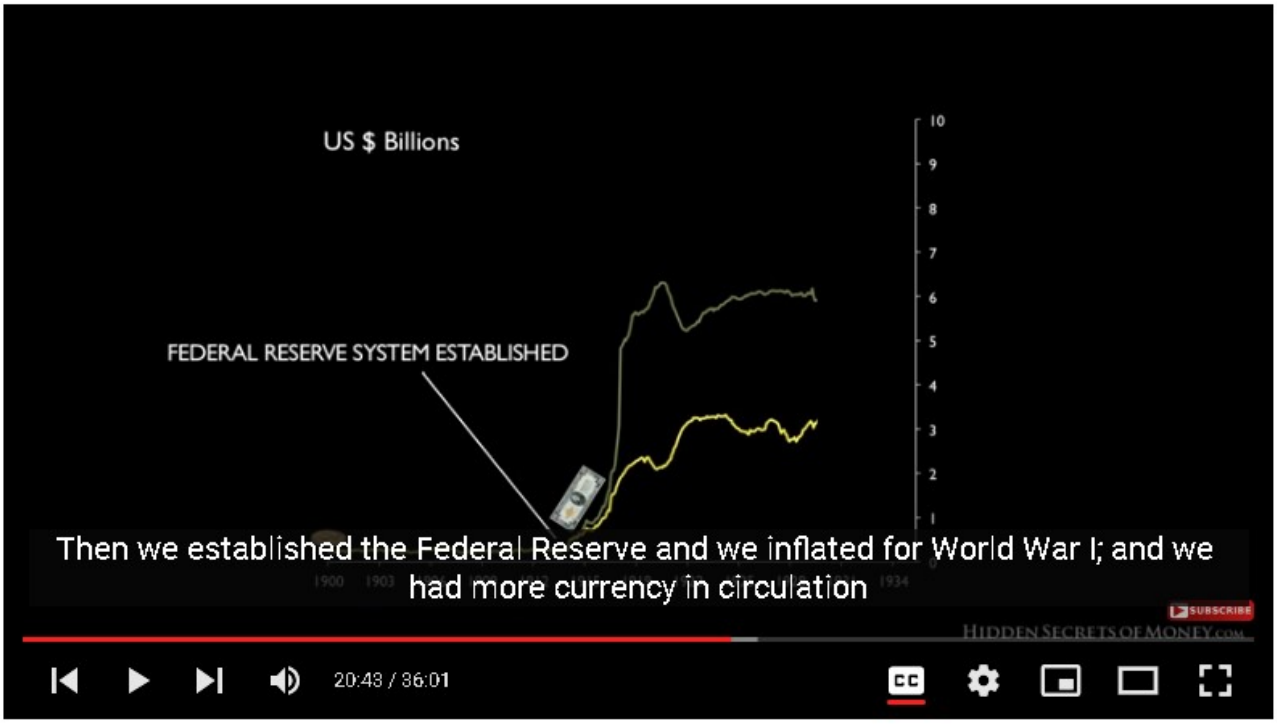
- All the dollars sent overseas to buy goods and services are waiting to be spent, which could trigger hyperinflation.



HEW home equity withdrawal.

Will Homes values reflate instead of Gold, or carbon/oilandgas

[DE-DOLLARIZATION - Death of the US Dollar Standard - Hidden Secrets Of Money Episode 3]



DE-DOLLARIZATION - Death of the US Dollar Standard - Hidden Secrets Of Money Episode 3

The video discusses the imminent collapse of the US dollar standard and the global loss of confidence in it, highlighting the need for individuals to protect themselves and consider alternative assets such as gold and silver. It also explains how the expansion of currency supplies worldwide will lead to higher gold and silver prices.
Detailed Summary for [DE-DOLLARIZATION - Death of the US Dollar Standard - Hidden Secrets Of Money Episode 3](https://www.youtube.com/watch?v=y-IemeM-Ado&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=3) by [Monica](https://monica.im)

[00:00](https://www.youtube.com/watch?v=y-IemeM-Ado&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=3&t=0.399) The global dollar standard is being abandoned, leading to a financial calamity and a wealth transfer opportunity.
- The global dollar standard was advantageous for the United States, but it has been abused by politicians.
- The rest of the world is turning their backs on the US dollar standard.
- This abandonment will cause a financial calamity and devastating consequences for most people.
- The wealth transfer that will occur during this crisis is the greatest in history.

[04:30](https://www.youtube.com/watch?v=y-IemeM-Ado&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=3&t=270.92) The US dollar is losing its value as the world's reserve currency.
- The US dollar comprises about 60% of the world's currency value.
- Many countries are avoiding the US dollar in trade and establishing bilateral agreements.
- Oil is priced in dollars, making it a reserve currency.
- Iran was banned from using SWIFT for trying to avoid using the US dollar.

[09:01](https://www.youtube.com/watch?v=y-IemeM-Ado&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=3&t=541) Multiple countries are bypassing the US dollar as the world's reserve currency, repatriating gold, and trading directly with each other, while the US is increasing its currency printing.

- Countries such as China, Russia, Iran, Venezuela, India, Japan, and Brazil are bypassing the US dollar for bilateral trade agreements and direct debt settlement.
- Utah and some European countries recognize gold and silver as money, while African countries ban the use of the US dollar.
- The Federal Reserve is increasing its currency printing from 40 to 85 billion dollars per month, which will create over a trillion dollars per year.
- The repatriation of gold reserves is demanded by citizens of Switzerland, the Netherlands, Austria, and Germany.

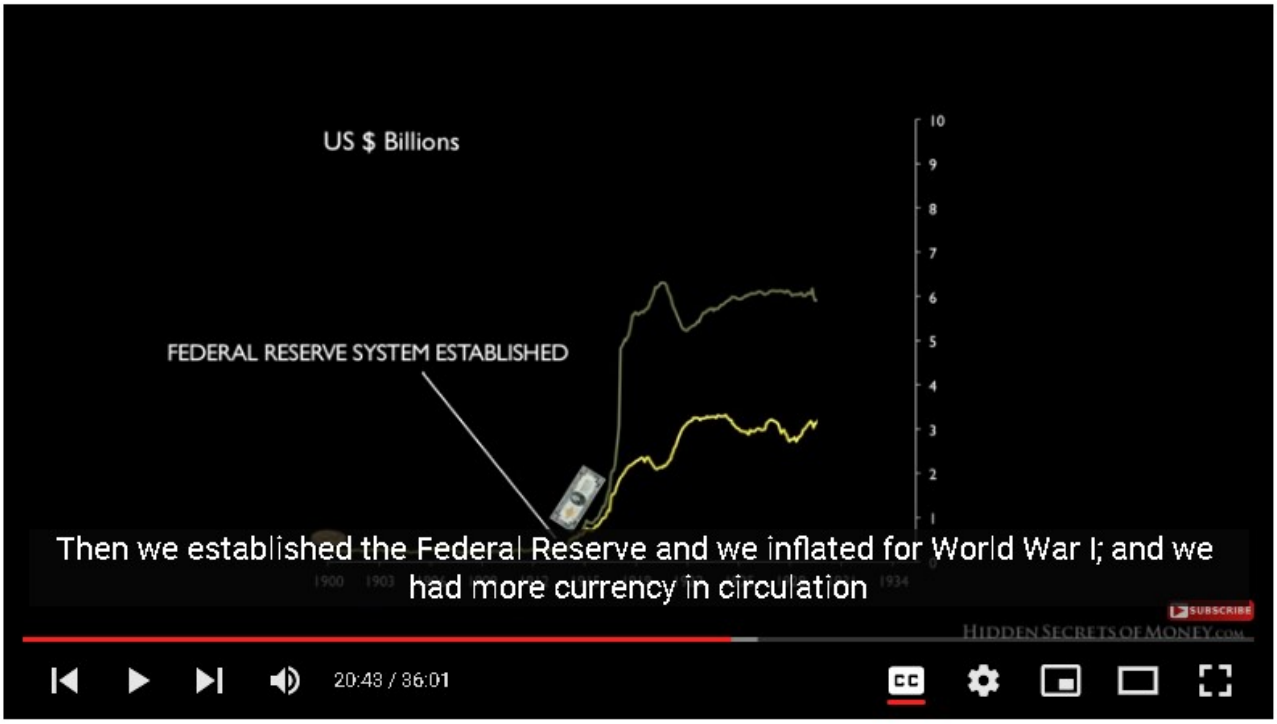
[13:31](https://www.youtube.com/watch?v=y-IemeM-Ado&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=3&t=811.27) China is accumulating gold and getting rid of US Treasury bonds to protect themselves from the end of the dollar standard.
- China's central bank holdings of gold have gone from about 700 tons to almost 6,000 tons since 2000.
- China is ramping up their buying of gold flowing through the Hong Kong exchange to protect themselves from the end of the dollar standard.
- The correlation between the dollar and a basket of currencies has decreased, indicating the end of the dollar standard.
- The four choices for a new monetary system include a world of multiple reserve currencies, but there is no anchor in that system.

[17:59](https://www.youtube.com/watch?v=y-IemeM-Ado&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=3&t=1079.58) The speaker discusses the possibility of returning to a gold standard and how it could prevent scams by limiting the government's ability to transfer wealth.
- The gold standard involves a one-to-one ratio of gold to currency.
- Governments can scam the public by printing more receipts than the gold that exists.
- Gold and silver can be easily transferred in small amounts through various means of payment.
- Returning to a gold-backed currency would require a significant amount of gold to cover the existing dollars.

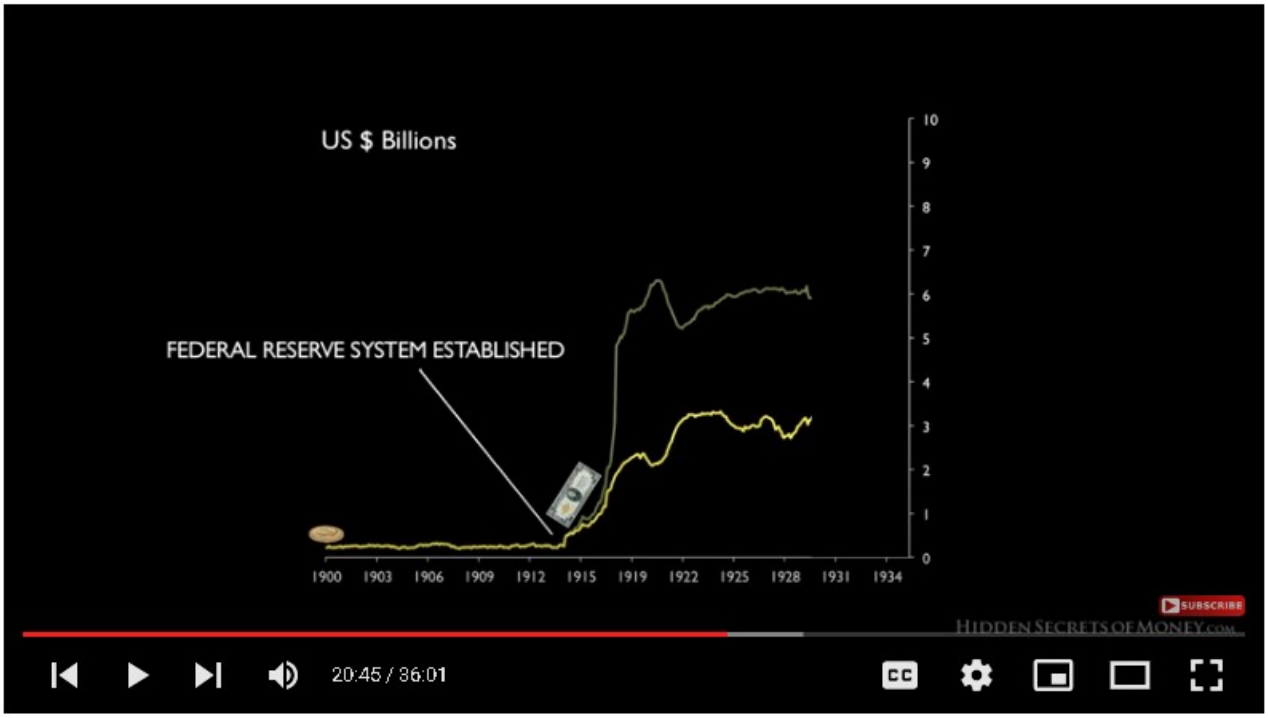
[22:29](https://www.youtube.com/watch?v=y-IemeM-Ado&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=3&t=1349.11) Credit cards are replacing cash in circulation and unpaid credit card balances are included as part of the cash in circulation.
- Nixon took US off the Bretton Woods system, the last vestiges of the gold standard in 1971.
- Outstanding credit card balances are called "Revolving Credit Outstanding".
- Banks create currency when you charge something on a credit card.
- Unpaid credit card balances are considered part of the cash in circulation.

[26:58](https://www.youtube.com/watch?v=y-IemeM-Ado&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=3&t=1618.99) Gold's value may rise significantly due to the collapse of currency supply, and it could buy 14 times more paper assets than it does today.
- Gold may rise to $26,000 or even $47,000 per ounce to cover deflation.
- Inflation could cause gold to reach $60,000 per ounce, but in any case, it would buy 14 times more paper assets than it does today.
- The value of gold will increase as the value of other assets goes down, and the size of the gold market will grow significantly in the next few years.

[31:33](https://www.youtube.com/watch?v=y-IemeM-Ado&list=PLE88E9ICdipidHkTehs1VbFzgwrq1jkUJ&index=3&t=1893.14) The global loss of confidence in the US dollar is accelerating and a change to a new monetary system is inevitable.
- Gold standards do not work over long periods of time, but gold itself does.
- The public contributes to massive amounts of currency creation by using credit cards and signing loans.
- National currencies have to continue losing value and it's not possible for them to maintain purchasing power over any reasonable period of time.



DE-DOLLARIZATION - Death of the US Dollar Standard - Hidden Secrets Of Money Episode 3



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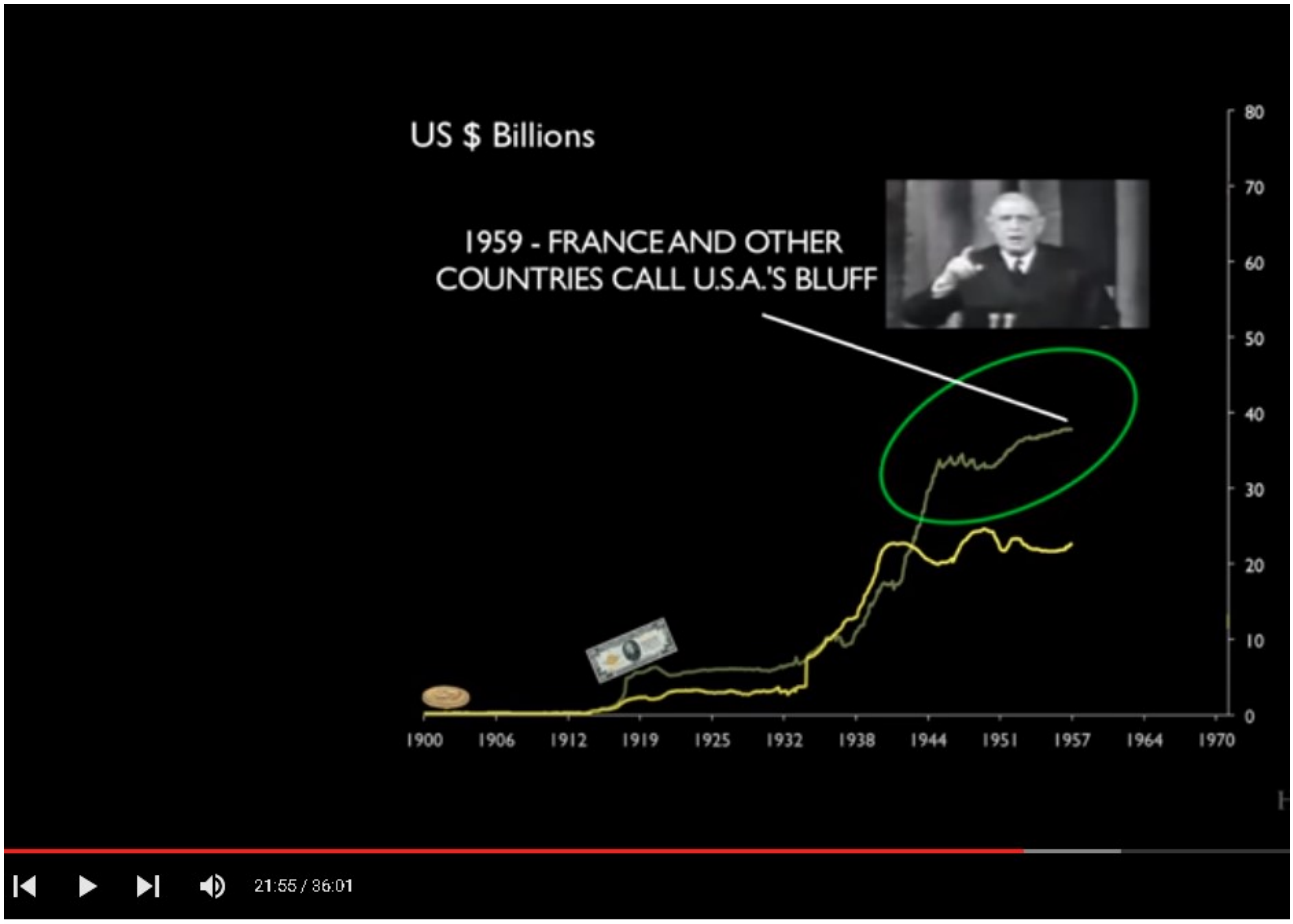

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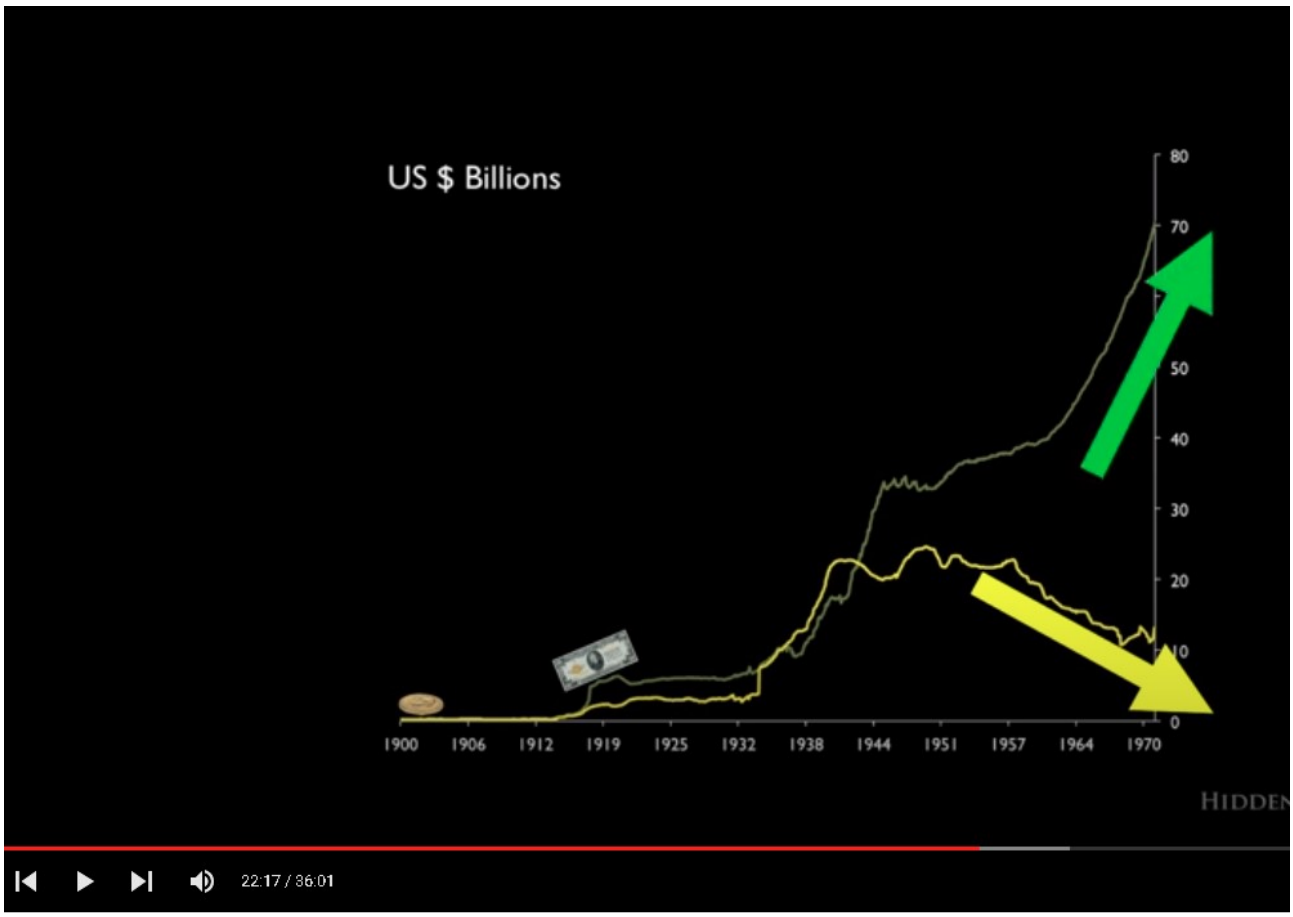

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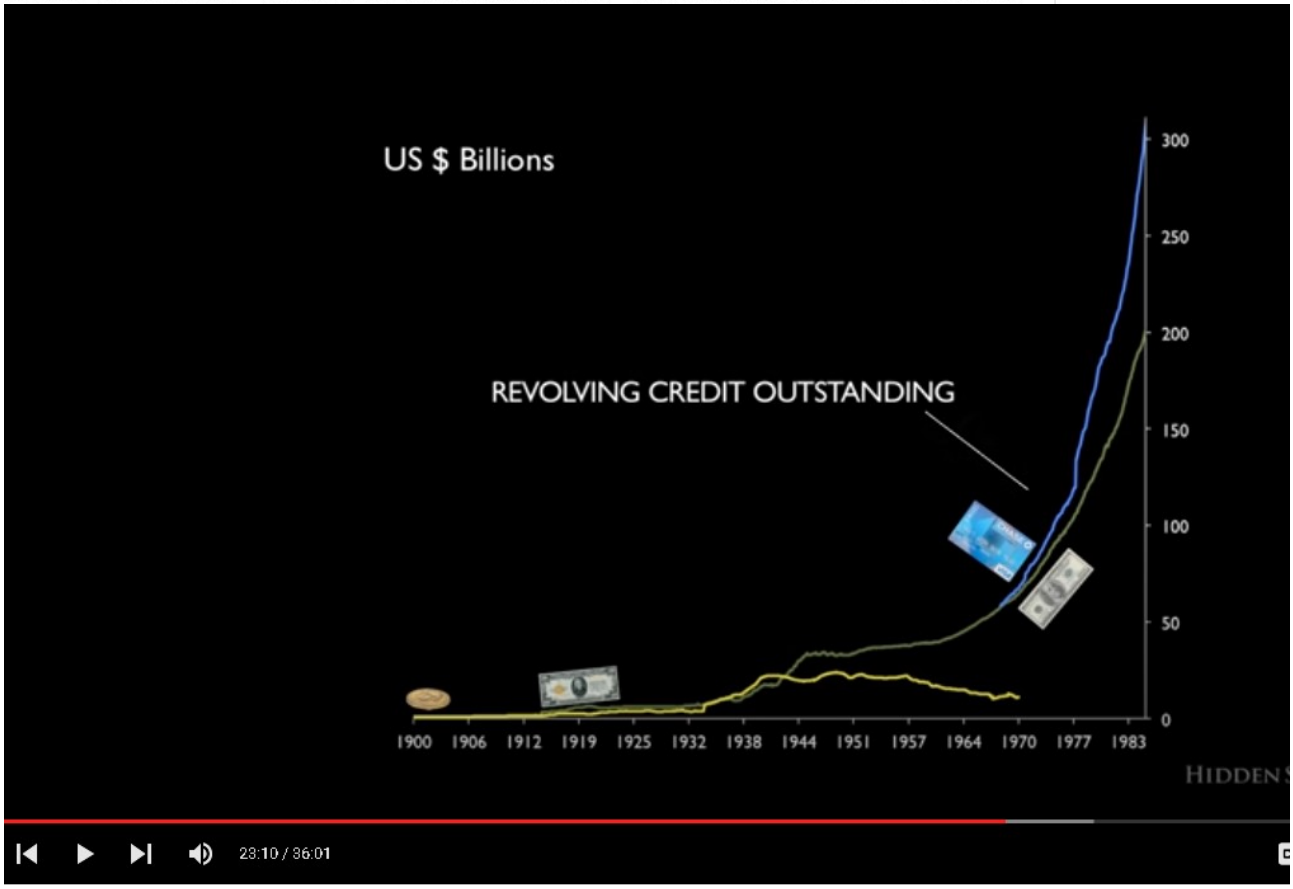

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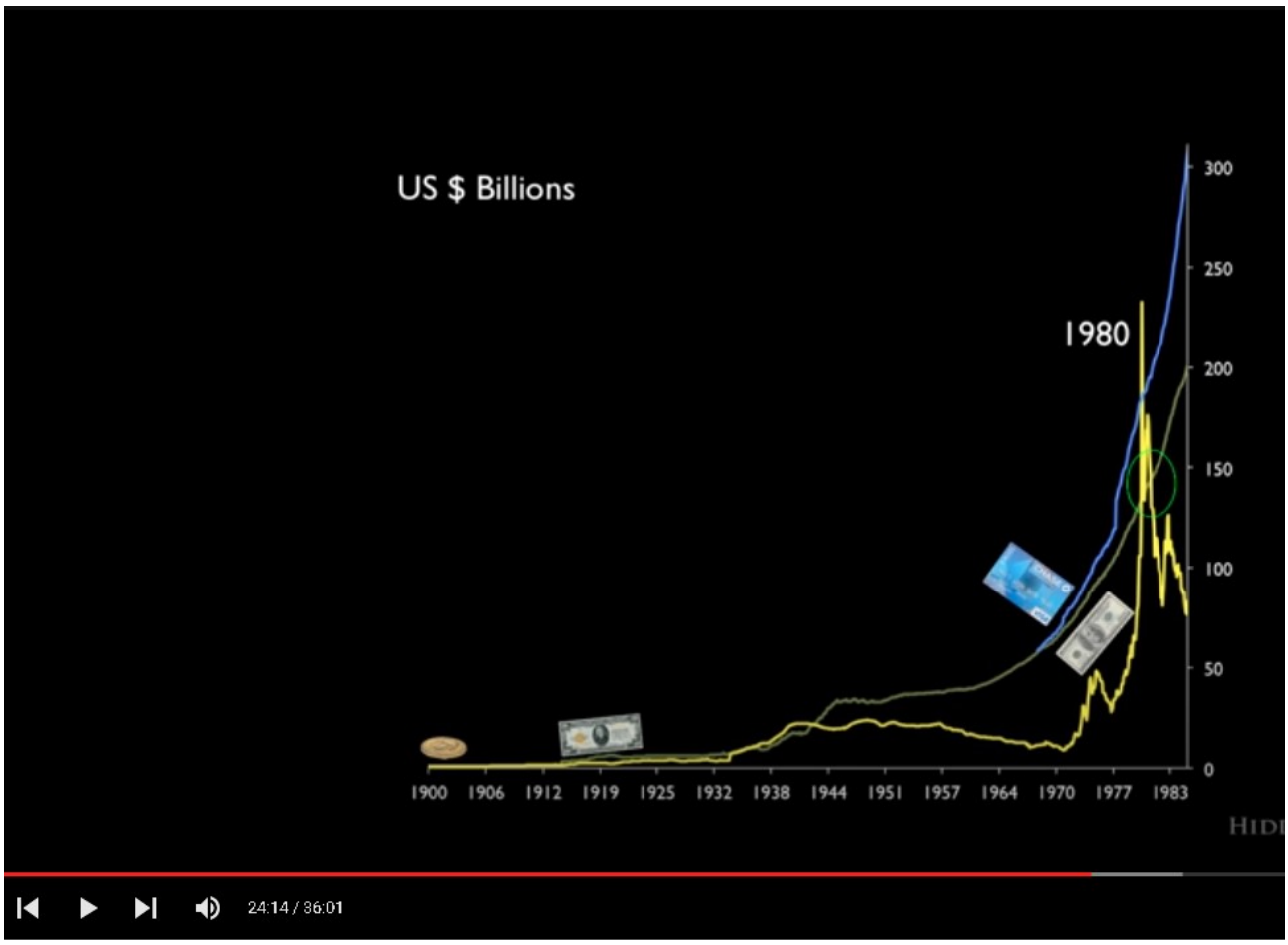

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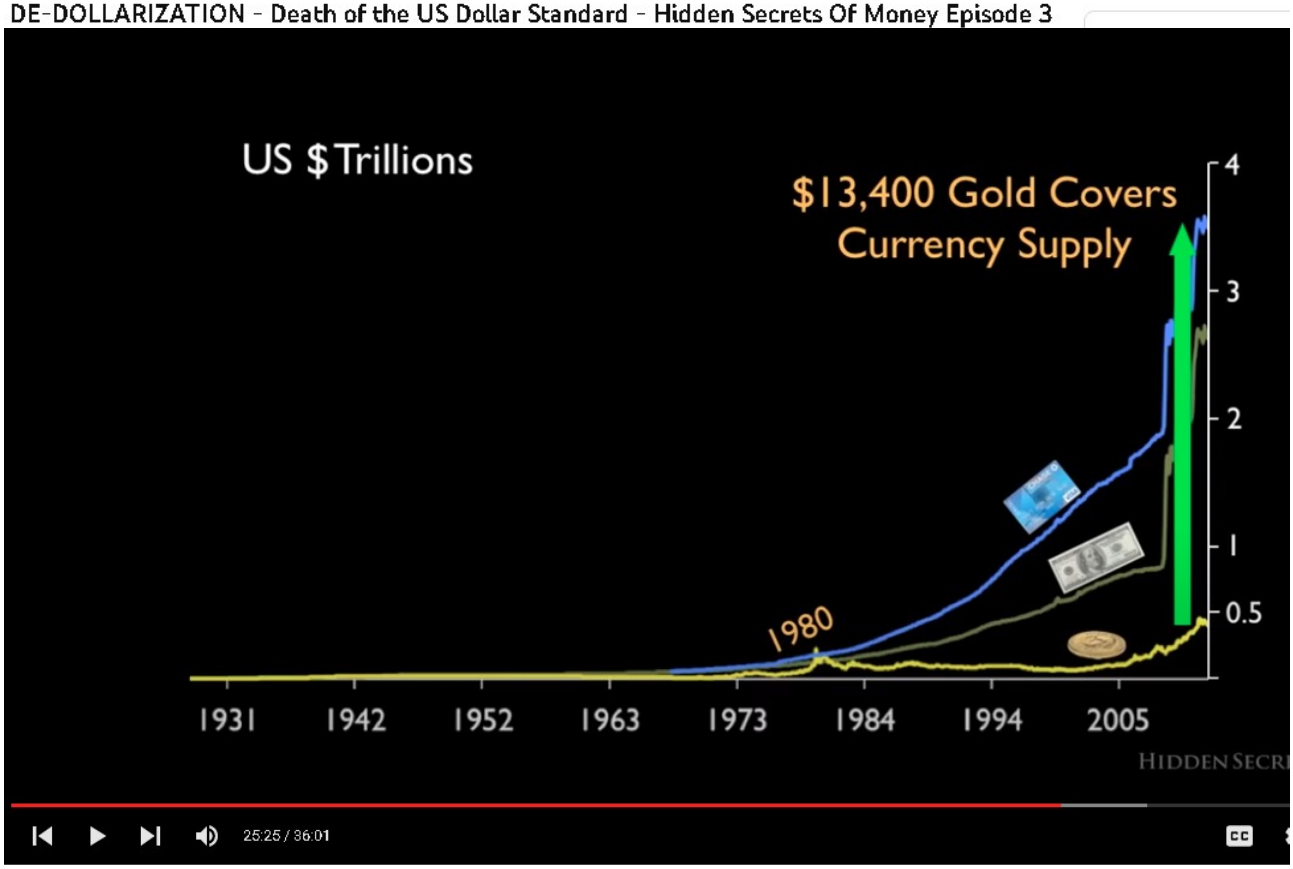

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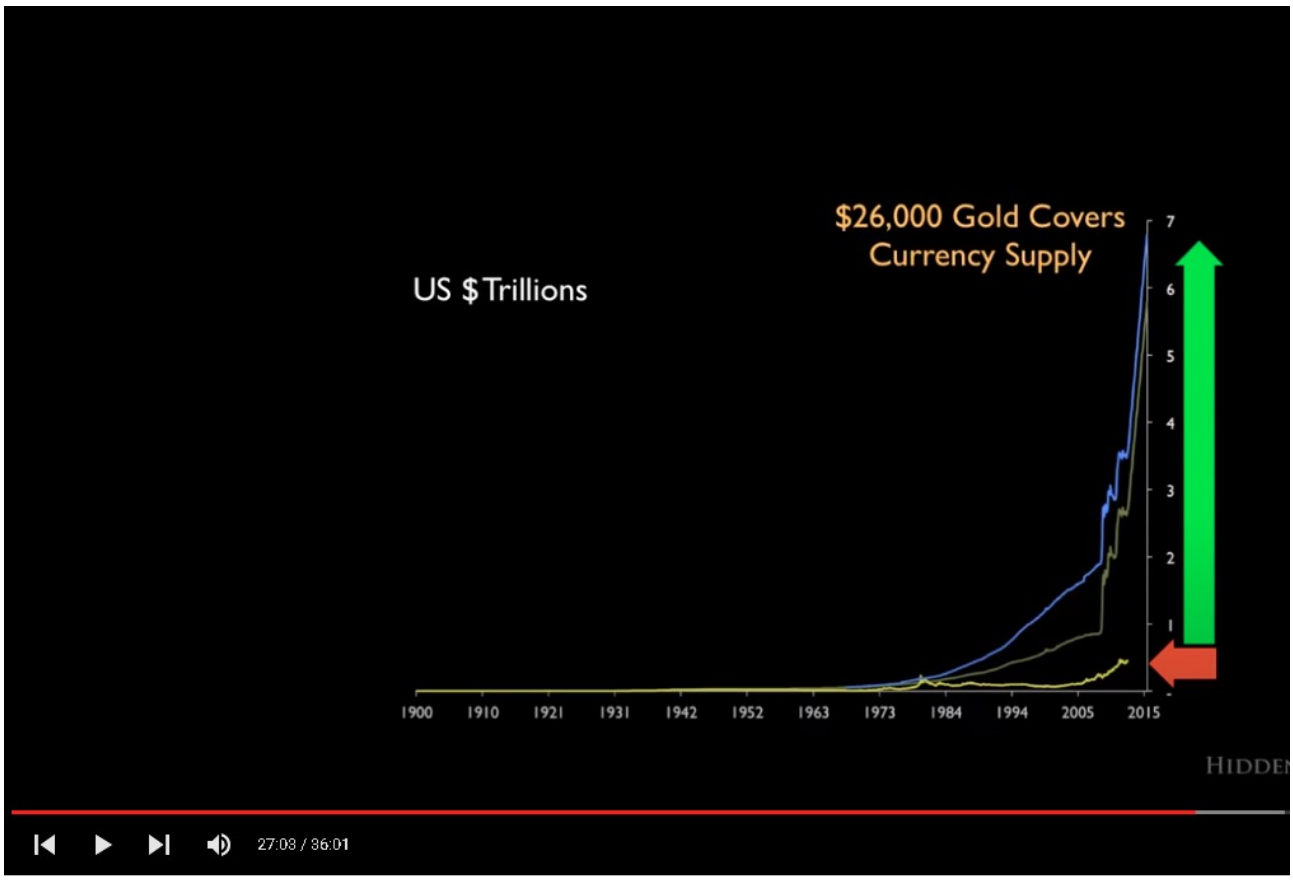

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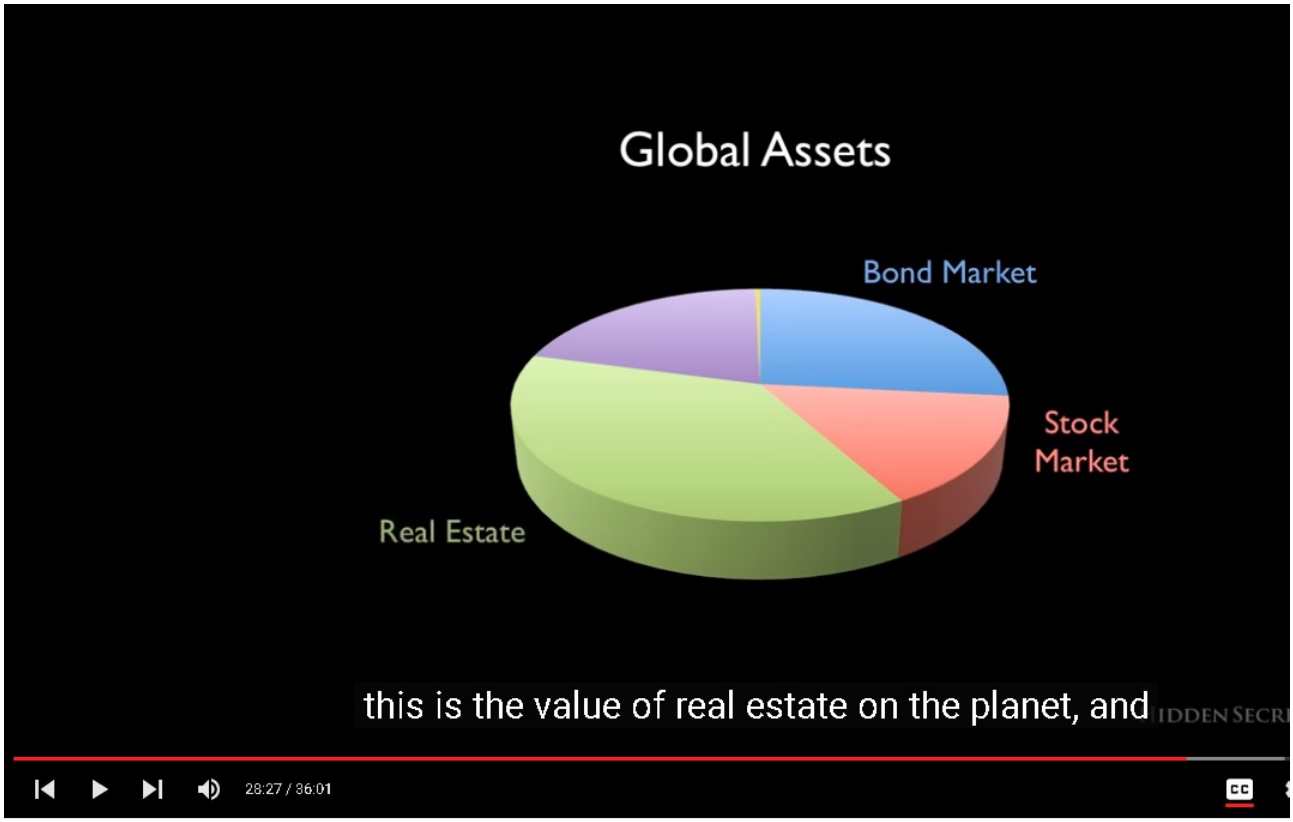

DE-DOLLARIZATION - Death of the US Dollar Standard - Hidden Secrets Of Money Episode 3

Case Study HUD New orleans Yes Men
https://www.youtube.com/watch?v=GG1XeixJqcI
In the wake of natural disasters, the response from government and private entities can have far-reaching consequences for affected communities. The aftermath of Hurricane Katrina in New Orleans serves as a poignant example of how policy decisions can impact the lives of individuals and families.

Following the devastation caused by the hurricane, there was a concerted effort to rebuild and revitalize the city. However, as highlighted in the provided text, the response was not without controversy. The decision to tear down the Lafitte Housing Project, despite its survival during the storm, sparked outrage among residents who sought to return and rebuild their homes.

The role of government agencies, particularly the U.S. Department of Housing and Urban Development (HUD), came under scrutiny for their approach to public housing in the post-disaster environment. The text sheds light on the contentious issue of privatizing public housing and the implications it has for low-income residents who are striving to regain a sense of normalcy in the aftermath of a catastrophic event.

The portrayal of a staged event, purportedly involving HUD officials announcing a change in policy regarding public housing, serves as a thought-provoking commentary on the complexities of post-disaster reconstruction efforts. The ensuing reactions from local officials, contractors, and residents underscore the deep-seated concerns and frustrations stemming from the perceived mishandling of the recovery process.

The text also delves into the broader ideological underpinnings that shaped the response to the disaster. It highlights the influence of free-market principles and privatization agendas in guiding post-disaster policies, raising questions about the balance between economic interests and the well-being of affected communities.

Ultimately, the narrative presented in the text prompts reflection on the ethical and moral dimensions of post-disaster governance. It underscores the need for a nuanced and empathetic approach that prioritizes the needs and voices of those directly impacted by such events.

As we consider the lessons learned from past experiences, it becomes evident that the pursuit of effective and equitable post-disaster recovery requires a comprehensive understanding of the social, economic, and political dynamics at play. It calls for a reevaluation of policy frameworks and a commitment to fostering resilience and empowerment within affected communities.

In conclusion, the text offers a compelling portrayal of the complexities inherent in post-disaster recovery efforts, urging stakeholders to engage in critical dialogue and collaborative action to address the multifaceted challenges faced by communities striving to rebuild in the aftermath of natural calamities.

Case Study Westferry Printing Works and Ealing

Westferry Printworks Parliamentary debate and Breakdown of Issues #NoThereThere

The video discusses the Westferry Printworks parliamentary debate, highlighting issues of planning decisions, accusations of political bias, and the complexities of affordable housing policies.

Detailed Summary for [Westferry Printworks Parliamentary debate and Breakdown of Issues #NoThereThere

Unlisted](https://www.youtube.com/watch?v=I_7f6XkaQ_k) by [Monica](https://monica.im)

[00:09](https://www.youtube.com/watch?v=I_7f6XkaQ_k&t=9.2) Debate on Westferry Printworks development scheme and affordable housing
- Intervention questioning Secretary of State's decision-making}
- Clarification on the affordable housing impact of the decision}
- Discussion on the proportion of the section 106 agreement}
- Questioning the use of viability assessments by developers}

[04:46](https://www.youtube.com/watch?v=I_7f6XkaQ_k&t=286.24) Discussion on the release of documentation related to planning matters
- Commitment to publish important documents for Select Committee review}
- Inclusion of all information sent to the cabinet secretary in the documentation}
- Importance of releasing documentation in accordance with rules for planning matters}
- Role of the Secretary of State in deciding planning applications and appeals}
- Ministers handling highly contentious and complex cases in planning decisions}

[09:32](https://www.youtube.com/watch?v=I_7f6XkaQ_k&t=572.17) Discussion on the housing deficit in Tower Hamlets and the failure of the council to make timely decisions
- Council with the highest housing deficit in England}
- Developer's appeal due to council's failure to make a decision}
- Criticism of Tower Hamlets Council for repeated failures in decision-making}
- Need for tough decisions due to the council and Mayor's inaction on housing}
- Secretary of State's decision impacted by Tower Hamlets Council's failures}

[14:17](https://www.youtube.com/watch?v=I_7f6XkaQ_k&t=857.68) Parliamentary debate on Westferry Printworks planning permission decision
- Reviewing advice and inspectors' recommendations on West Ferry}
- Requesting further advice on key questions, including impact on historic Greenwich}
- Consideration of significant housing contribution in unaffordable area}
- Discussion on frustration with department's intervention in delivering affordable housing}
- Reference to lack of applications called in by Honorable Judge}

[19:04](https://www.youtube.com/watch?v=I_7f6XkaQ_k&t=1144.97) Passionate speech by MP Sean Bailey on social housing issues
- MP Sean Bailey shares personal experiences related to social housing}
- Emotional recount of the struggles faced by individuals in social housing}
- Call for revolutionizing the planning system to improve social housing conditions}

[23:50](https://www.youtube.com/watch?v=I_7f6XkaQ_k&t=1430.81) Discussion on the issues surrounding the Westferry Printworks development
  - Debate on the allocation of funds for infrastructure and affordable housing}
- Complex equation involved in determining the levee amount}
- Use of big data and artificial intelligence in resolving evaluation complexity}
- Comparison between Zoopla and estate agents in property price accuracy}

[28:36](https://www.youtube.com/watch?v=I_7f6XkaQ_k&t=1716.19) Debate on the planning system and decision-making process
  - Discussion on the misconception of Tory sleaze}
- Critique of the decisions made by Tower Hamlets}
- Focus on community infrastructure and planning policies}
- Analysis of the viability study and affordable housing}
- Explanation of contributions and financial aspects}

[33:23](https://www.youtube.com/watch?v=I_7f6XkaQ_k&t=2003.83) Debate on the failure to build affordable housing in London boroughs and the issue of community infrastructure levy
  - Tower Hamlets collecting and spending millions through community infrastructure levy}
- Accusation that Sadiq Khan failed to build affordable housing in nine London boroughs}
- Discussion on community infrastructure levy as a wealth tax on developers}
- Differentiating between developers like Richard Desmond and Housing Associations in terms of financial support}
- Viability comparison tool developed by Tower Hamlets and Southwark for major redevelopment projects}

Case Study Yes Men Belfast.
Good craic: How to take over your city (Belfast edition)
https://www.youtube.com/watch?v=FJcfI5dkDTY
A representative from Castle Brook Investments announced at a Belfast conference that their luxury development, Tribeca, was canceled due to public pressure and will be replaced by the Sunflower Echo Village, a social housing project aimed at addressing homelessness in the city, showcasing a significant shift towards community-driven urban planning.
Detailed Summary for [Good craic: How to take over your city (Belfast edition)](https://www.youtube.com/watch?v=FJcfI5dkDTY) by [Monica](https://monica.im)

[00:09](https://www.youtube.com/watch?v=FJcfI5dkDTY&t=9.07) Planning to announce a change in development plans at a conference in Belfast
- Getting ready to represent Castle Brook Investments Limited at a conference}
- Discussing canceling a luxury development project and building social housing instead}
- Preparing to share the news at a manufacturing conference at the Titanic Exposition Center}
- Preferring two-day-old coffee over fresh coffee}

[03:17](https://www.youtube.com/watch?v=FJcfI5dkDTY&t=197.08) Discussion of a new sustainable housing development in Belfast
- Introduction to the new Tribeca luxury development by Castle Brook Investments}
- Cancellation of the Tribeca project by Belfast City Council}
- Announcement of the Sunflower Echo Village social housing project in West Belfast}
- Statistics on homelessness in Northern Ireland, including 15,000 homeless children}

[06:10](https://www.youtube.com/watch?v=FJcfI5dkDTY&t=370.53) Discussion on the challenges faced by investors in the city development project
- Pressure from the people of Belfast on the city council to adopt the development plan}
- Investors feeling perturbed due to the less profitability of the project}
- Announcement of a groundbreaking ceremony for the West Belfast Mackey's site}
- Mixed feelings about the decision made by the City Council regarding the project}

[09:22](https://www.youtube.com/watch?v=FJcfI5dkDTY&t=562.47) Community activism in Belfast addressing social housing issues
- Engaging with citizens and exchanging business cards}
- Initiative to provide homes on a 25-acre empty land for homeless kids}
- Planting sunflower seeds on toxic land to raise awareness about social housing politics}

[12:12](https://www.youtube.com/watch?v=FJcfI5dkDTY&t=732.24) Exploring the luxury development in the center of Belfast
- Introduction to Mackey's VFL Foss event}
- Discussion on the company behind Tribeca development in Belfast}
- Initial anger towards a certain situation}

[15:27](https://www.youtube.com/watch?v=FJcfI5dkDTY&t=927.41) Community activism leads to the development of social housing in Belfast
- Radical public pressure results in the cancellation of the Tribeca project}
- Realization that homeless kids deserve housing more than wealthy entrepreneurs}

- Only through the outrage and radical action of the people of Belfast, social housing is built}
- Community members invest in the city and prioritize social housing on available land}

Case Study German Documentary

Rich and poor – the inequality gap (2/3) | DW Documentary

The documentary explores the significant wealth inequality in Germany, highlighting how opportunities for success are often determined by one's background and the resulting social segregation, with insights from leading academics on the broader implications for society.

Detailed Summary for [Rich and poor – the inequality gap (2/3) | DW Documentary](https://www.youtube.com/watch?v=cYP_wMJsgyg) by [Monica](https://monica.im)

[00:00](https://www.youtube.com/watch?v=cYP_wMJsgyg&t=0) Disparities in wealth and opportunities in Germany

- Charity auction in Berlin for a children's home}
- Call for wealthy individuals to help create equal opportunities for children}
- Unequal distribution of wealth in industrialized Germany}
- Inequality as the most pressing social problem}
- Wealth accumulation and success in real estate}

[05:16](https://www.youtube.com/watch?v=cYP_wMJsgyg&t=316.789) Disparities in education opportunities and aspirations

- Children living in high-rise blocks face educational challenges due to financial constraints}
- Financially disadvantaged parents struggle to provide basic school supplies for their children}
- Students with limited German proficiency require additional support in school}
- Aspirations of students influenced by family background and financial circumstances}
- Low percentage of children from this area expected to attend high school}

[10:30](https://www.youtube.com/watch?v=cYP_wMJsgyg&t=630.36) Social segregation and inequality in Germany

- Study shows increasing social segregation in German cities}
- Contrast between North and South Berlin in terms of unemployment and child poverty}
- High concentration of social problems in certain neighborhoods in Germany}
- Likelihood of children with and without immigrant backgrounds attending separate schools}

- Impact of environment on children's educational outcomes in Germany}

[15:47](https://www.youtube.com/watch?v=cYP_wMJsgyg&t=947.029) Disparities in opportunities between rich and poor families

- Challenges faced by poor individuals in improving their circumstances}

- Impact of wealth on opportunities for different social classes}

- Middle-class family dynamics and educational decisions}

[21:02](https://www.youtube.com/watch?v=cYP_wMJsgyg&t=1262.82) Globalization has led to income growth for the middle classes in Asia, while lower middle classes in Western countries have seen stagnation.

- Middle classes in Asia, particularly in India and China, have benefited from globalization with significant income growth.}

- In contrast, lower middle classes in the US and European countries have experienced income stagnation.}

- 2 billion people in India and China have been lifted out of poverty, a positive outcome of globalization.}

- Failure to link globalization with social justice principles may lead to a disconnect between the lower strata of the population and global economic trends.}

[26:17](https://www.youtube.com/watch?v=cYP_wMJsgyg&t=1577.97) The challenges of maintaining social status and shielding children from luxury

- Cleaners trying to shield their children from their luxurious lifestyle}

- Sending children to boarding school to avoid exposure to extravagant events}

- Tension among children from rich and poor families in Berlin}

- Importance for Thomas and Katherine Klaus to maintain their social status}

- Influence of parental and social environment on children's opportunities}

[31:36](https://www.youtube.com/watch?v=cYP_wMJsgyg&t=1896) Contrasting educational experiences between public and private schools

- A father's concern for his son's education leads him to a rundown public school}

- High percentage of inhabitants in the shite district have a migration background}

- Enrollment of son in a Waldorf School, a private alternative school}

- Significant difference in teacher-to-student ratio between private and public schools}

- Focus on providing city kids with hands-on experiences in nature and various activities}

[36:51](https://www.youtube.com/watch?v=cYP_wMJsgyg&t=2211.23) Discrepancies in the education system and the role of private schools

- Challenges in countering the inequality gap}

- State covering two-thirds of private school costs}

- Impact of private schools replacing public schools}

- Lack of monitoring by German states in ensuring affordable education}

- Importance of providing equal opportunities for children regardless of parental income}

Kotkin Video Housing.
LC Joel Kotkin 4 16 20

Joel Kotkin discusses the concentration of wealth and housing costs in California, highlighting the decline of the middle class and the trend of people moving to more affordable areas, while suggesting policies to encourage telecommuting and sustainable growth.
Detailed Summary for [LC Joel Kotkin 4 16 20](https://www.youtube.com/watch?v=9gtkM37kDhE) by [Monica](https://monica.im)

[00:00](https://www.youtube.com/watch?v=9gtkM37kDhE&t=0.16) Discussion on the impact of housing policies on California's cost of living
- Decline of the middle class and growth of the very poor and very rich due to concentration of wealth and power}
- California's expensive housing costs driven by housing policies and urban growth boundaries}
- Prediction of potential decline in the high-end multi-family market leading to a major disaster}

[06:46](https://www.youtube.com/watch?v=9gtkM37kDhE&t=406.8) Analysis of population migration trends and housing costs impact on demographics
- Demographic shift: People in their 30s and 40s leaving}
- Impact of high housing costs on different age groups}
- High housing prices as a major factor influencing population movement}
- Discussion on the real crisis of high costs and lack of high-wage jobs}

[13:36](https://www.youtube.com/watch?v=9gtkM37kDhE&t=816) Population trends in major cities and smaller cities
- Majority of growth in metropolitan areas}
- Decline in major cities' domestic migration}
- Significant growth in smaller cities with populations under a million}
- Anticipated population shifts due to COVID-19}
- Reasons for people moving to suburbs, including aging population and desire for larger homes}

[20:26](https://www.youtube.com/watch?v=9gtkM37kDhE&t=1226.32) Population shifts in major cities of California and the impact on job distribution
  - San Francisco experiencing a population decline due to domestic migration}
- Central Valley attracting population growth and super commuters}
- Proposing a policy to bring jobs to affordable living areas}
- Los Angeles also facing population decline, similar to New York and Chicago}
- California experiencing massive out migration despite economic expansion}

[27:13](https://www.youtube.com/watch?v=9gtkM37kDhE&t=1633.84) Discussion on urban planning and sustainable development
  - Comparison of population movement trends between different states}
- Introduction of the concept of 'archipelago of villages'}
- Proposing housing solutions near affordable living areas}
- Emphasis on creating open spaces around urban areas}
- Advocating for sustainable urban sprawl for environmental benefits}

[34:03](https://www.youtube.com/watch?v=9gtkM37kDhE&t=2043.519) Analysis of transit trends in California
  - Discussion on the decline of transit usage}
- Shift towards working from home in California}
- Employment patterns in the Bay Area}
- Challenges faced by public transit systems}
- Disparity in job accessibility between car and transit users}

[40:52](https://www.youtube.com/watch?v=9gtkM37kDhE&t=2452) Discussion on the availability of land for housing development and tax policies in California
  - Mention of plenty of available land for building}
- Potential conversion of retail spaces to housing}
- Challenges with tax policies in localities affecting housing development}
- Bias against suburbs and peripheral growth in urban planning}
- Perceived disconnect between government, middle class, and public employees in California}

[47:41](https://www.youtube.com/watch?v=9gtkM37kDhE&t=2861.44) Encouraging telecommuting through policy changes
  - Discussing ideas for specific policies to promote telecommuting in LA and California}
- Removing fees for working at home as an incentive for telecommuting}
- Suggesting tax credits for those who work from home to reduce greenhouse gas emissions}
- Highlighting the environmental benefits of telecommuting and reducing carbon footprint}
- Critiquing inflated housing unit numbers and proposing realistic figures}

Me and Bobby Mcgee, it will be a long time gone. Feudalism Going to California 4+20 = Neo Feudalism “The Rise of Neo-Feudalism: A Warning to the Global Middle Class” by Joel Kotkin

DECEMBER 19, 2021

“The Rise of Neo-Feudalism: A Warning to the Global Middle Class” by Joel Kotkin

Joel Kotkin's lecture warns about the growing neo-feudalism impacting the global middle class, highlighting issues like housing affordability, job inequality, and the decline of the yeomanry, particularly in places like California where middle-class life is becoming unsustainable. He discusses the exodus of people to states like Texas and Florida for better opportunities, the stark contrast between wealthy elites and the struggling population, and the potential for political unrest as younger generations face diminishing prospects. Kotkin emphasizes the need for economic empowerment and policy changes to address these disparities and prevent further societal fragmentation.
Detailed Summary for [“The Rise of Neo Feudalism A Warning to the Global Middle Class” by Joel Kotkin

Unlisted](https://www.youtube.com/watch?v=nJ9z-ehtV5A) by [Monica](https://monica.im)

[04:56](https://www.youtube.com/watch?v=nJ9z-ehtV5A&t=296.48) Exploring the impact of powerful ideas on history and human rights
- Analyzing the influence of ideas throughout history}
- Powerful ideas shaping history}
- Challenges faced by women in Afghanistan}
- Empowering women to fight for their human rights}
- Discussion on recent virtual salon events}

[10:05](https://www.youtube.com/watch?v=nJ9z-ehtV5A&t=605.28) Joel Kotkin, an expert on global economic and social trends, discusses the rise of neo-feudalism and its impact on the global middle class.
- Joel Kotkin's expertise in global economic, political, and social trends}
- Joel Kotkin's focus on California's shift towards feudalism}
- The title of Joel Kotkin's book: 'The Coming of Neo-Feudalism: A Warning to the Global Middle Class'}

[20:09](https://www.youtube.com/watch?v=nJ9z-ehtV5A&t=1209.746) The impact of rising property prices on the middle class in the US
- Transition from small farmers to consolidated land ownership}
- Decline of the yeomanry and middle-class struggles in California}
- Rise of a propertyless surf class reliant on government support}
- Concern about dependency on government support rather than creating good jobs}

[30:16](https://www.youtube.com/watch?v=nJ9z-ehtV5A&t=1816.28) The speaker discusses the rise of neo-feudalism and its impact on core cities, wealth distribution, and crime rates.
  - The speaker mentions a riot in Oakland where there were no arrests despite property damage.}
- Wealthy individuals with multiple residences in global cities like New York, Los Angeles, and London are discussed.}
- The speaker questions the future of core cities and predicts a shift towards a more commercialized urban environment.}
- The issue of crime in larger cities is highlighted, with long-term implications discussed.}

[40:19](https://www.youtube.com/watch?v=nJ9z-ehtV5A&t=2419.666) Challenges faced by the global middle class in terms of home ownership and job opportunities
  - Difficulty for the younger generation to afford homes due to rising prices}
- Majority of jobs added in the last decade pay below the median income}
- Disparities in job creation between high-paying and low-paying sectors}
- Population shifts in California leading to changes in congressional representation}
- Concern over the growing homeless population and its implications}

[50:24](https://www.youtube.com/watch?v=nJ9z-ehtV5A&t=3024.08) The speaker discusses the transfer of wealth from boomers to millennials and the challenges faced by the younger generation in acquiring property and creating jobs.
  - Prediction of potential political unrest due to wealth distribution issues}
- Concern about lack of job creation for millennials}
- Disparities in education quality between different regions, with inner cities facing the worst conditions}
- Comparison of cities known for progressiveness with poor outcomes and high out-migration rates}

[01:00:25](https://www.youtube.com/watch?v=nJ9z-ehtV5A&t=3625.72) The video discusses the shift towards a neo-feudalistic society and the impact on the global middle class.
  - Some individuals view the shift as a religious belief and are indifferent to its consequences.}
- Silicon Valley heavily relies on foreign workers for tech jobs, leading to a decrease in local workforce demand.}
- Traditional working class and middle management jobs are disappearing in California, affecting the state's economy.}
- The wealthy elite and state leaders may not prioritize the well-being of California's middle class, potentially leading to further economic disparities.}

[01:10:31](https://www.youtube.com/watch?v=nJ9z-ehtV5A&t=4231.08) Discussion on the changing economic landscape and its impact on different regions
  - Anticipation of economic advancements in various regions}
- Transformation of cities like Austin due to economic growth}

- Positive experiences of people moving to communities with economic progress}
- Concerns about the state of higher education and its focus on humanities}
- Critique of the academic approach towards literature and reading enjoyment}

Fix a broken industry Shadow ventures

Here’s a summary of the key points from the document "Disrupt a Broken Industry - The Industrial Construction Sandbox":

Overview

The document discusses the concept of the "Industrialized Construction Sandbox," focusing on various types of disruptions in the construction industry.

Key Points

1. **Types of Disruption**:
   - **Physical Disruption**: Changes in construction methods and materials.
   - **Digital Disruption**: Integration of technology and data analytics in construction processes.
   - **Delivery Disruption**: Innovations in project delivery methods and timelines.

2. **Stakeholders Involved**:
   - **Private Developers/Owners**: Their role in driving change.
   - **Architects**: Influence on design and project execution.
   - **Engineers**: Importance of engineering innovations.

- **Operators**: Their operational needs and challenges.
- **Manufacturers**: Impact of manufacturing processes on construction.
- **Building Product Manufacturers**: Role in supplying innovative materials.

3. **Collaboration**:
   - Emphasizes the critical nature of collaboration among stakeholders to achieve successful outcomes.

4. **Comparison of Approaches**:
   - **Panels vs. Modular Construction**: An analysis of different construction methods.
   - **Contract Manufacturing**: Exploring outsourcing in the construction supply chain.

5. **Get In Touch**: Information on how to contact the authors or contributors for further discussion.

This summary encapsulates the main themes and elements discussed in the document, focusing on the disruptions and collaborative efforts in the industrial construction sector.
Lean Seddon Paper
An exploration into the failure of ‘lean’
John Seddon and Brendan O’Donovan, Vanguard Consulting
Here is a summary of the key points from the paper:

- The paper argues that the "Lean" movement, based on Toyota's production system, has largely failed in its implementation in service organizations.

- The authors contend that Lean failed because it codified Toyota's innovations, contrary to the instructions of Taiichi Ohno, the architect of the Toyota Production System.

- Lean programs typically focus on applying tools and techniques to improve processes, without fundamentally changing how managers think about their organizations as systems.

- In service organizations, studying customer demand reveals high levels of "failure demand" - demand caused by a failure to do something right for the customer. This is often 20-60% of all demand.

- Conventional management approaches in services, focused on managing costs and worker activity, actually increase costs and reduce service quality.

- The authors propose an alternative "systems archetype" for service organizations, focused on understanding customer demand and designing the system to absorb variety.

- This systems approach has demonstrated substantial improvements in service and cost reduction across various sectors.

- The paper concludes that Lean has been an impediment to rethinking management practices, and it is "time to read the last rites to the lean movement."

The authors argue for returning to Ohno's original approach of studying the whole system to gain understanding, rather than applying pre-packaged tools and techniques.
Generation Rent.
Generation Rent a Moduloft Reaction
The book "Generation Rent: Why You Can't Buy a Home or Even Rent a Good One" by Chloe Timperley addresses the pressing issue of the housing crisis in modern Britain. The author provides a comprehensive analysis of how housing has transformed from a basic necessity to a financial asset, resulting in a situation where millions, mostly under 35, are forced into the rental market as owning a home becomes increasingly unattainable.

Timperley delves into the financial ruin that paying rent to private landlords entails, highlighting how it costs more than paying a mortgage, impedes the ability to save, and subjects individuals to endless monthly payments for substandard living conditions. The book also sheds light on the impact of credit misallocation, the behavior of landlords, and the broader implications on society.

Furthermore, the author offers insights into the historical context of selling off council homes, the impact of credit, the challenges faced by potential home buyers, and the dynamics of the rental market. Timperley's work is not merely a critique of the existing housing system but also a call for a fundamental shift in the national conversation on housing.

The book prompts readers to move beyond simplistic debates and binary arguments and to engage in neglected discussions about land and credit. Timperley's hope is that "Generation Rent" will instigate a change in the national dialogue on housing and contribute to addressing the root causes of the housing crisis.

In addition to analyzing the content of "Generation Rent," the author of this review has been actively involved in addressing housing issues through an innovative approach. With a focus on affordable housing and financial solutions, they are working on a position paper for mortgage consultants and banking directors. Their efforts include developing a modular building construction method and forming a mortgage company to provide mortgages that align with the concerns raised in Timperley's book.

The review also touches on related government reports, consultations, and proposed reforms in the housing sector, demonstrating a deep engagement with the subject matter. Furthermore, it emphasizes the need for genuine solutions rather than superficial suggestions, echoing Timperley's call for a more nuanced and holistic approach to tackling the housing crisis.

In conclusion, "Generation Rent" is not only a thought-provoking analysis of the housing crisis but also a catalyst for meaningful change. It serves as a crucial resource for anyone seeking to understand, engage with, and contribute to addressing the multifaceted challenges of housing in modern society.
Generation Rent , The House of Landlords, Review Reading and News.
Title: A Review of "Generation Rent" by Chloe Timperley

In this blog post, I will be providing a comprehensive review of the book "Generation Rent" by Chloe Timperley. The book sheds light on the challenges faced by the current generation in the housing market and delves into the intricacies of the rental sector. Through this review, I aim to highlight the key themes and insights presented in the book.

"Generation Rent" is a thought-provoking exploration of the housing crisis, particularly focusing on the issues faced by individuals striving to secure affordable and habitable housing. Chloe Timperley's sharp and accessible writing style makes this book an essential read for anyone interested in real estate, housing policies, and societal implications.

The chapter "The House of Landlords" stands out as a poignant representation of the indifference shown by some policymakers towards ensuring habitable living conditions for tenants. Timperley expertly dissects the political landscape and its impact on housing standards, drawing attention to the need for legislative changes to protect tenant rights.

The book also addresses the aftermath of the Grenfell Tower tragedy, highlighting how it brought the issue of poor housing standards to the forefront of public discourse. Through meticulous research and compelling narratives, Timperley effectively conveys the urgency of addressing these critical issues within the housing sector.

Furthermore, "Generation Rent" offers valuable insights into the dynamics of property ownership, rental market challenges, and the impact of government policies on housing affordability. The author's in-depth analysis and well-crafted arguments provide readers with a comprehensive understanding of the complex factors influencing the housing crisis.

As a property developer and advocate for affordable housing, I found "Generation Rent" to be an enlightening and informative read. Timperley's thorough exploration of mortgage origination, credit creation, and regulatory frameworks resonated with my professional experiences. The book serves as a catalyst for meaningful discussions and prompts readers to critically evaluate existing housing policies and practices.

In conclusion, "Generation Rent" is a compelling and insightful book that offers a nuanced perspective on the challenges faced by renters in today's housing market. Chloe Timperley's meticulous research, coupled with her engaging narrative style, makes this book an indispensable

resource for policymakers, industry professionals, and individuals seeking to understand and address the complexities of the rental sector.

I highly recommend "Generation Rent" to anyone interested in gaining a deeper understanding of the housing crisis and its broader societal implications. It is a must-read for those passionate about effecting positive change within the real estate and housing sectors.

As we navigate the complexities of the housing market, it is imperative that we engage with literature such as "Generation Rent" to broaden our perspectives and work towards creating a more equitable and sustainable housing environment for future generations.

In closing, I urge readers to explore "Generation Rent" and join the conversation surrounding housing policies, tenant rights, and the pursuit of affordable and habitable living spaces. Let us collectively strive towards building a better future for all individuals impacted by the challenges presented in this insightful book.

Thank you for taking the time to read this review, and I encourage you to delve into "Generation Rent" to gain invaluable insights into the pressing issues within the housing sector.

A New Normal for Housebuilding?
The importance of sales outlets in a market without Help to Buy.

Summary of Key Points: "A New Normal for Housebuilding?"

Overview:
The report examines the challenges facing the housebuilding market in England following the end of the Help to Buy scheme and changing market conditions.

1. Executive Summary:
- Housing delivery rebounded post-Covid but is now declining due to weakened demand and reduced sales outlets.
- The number of sites gaining planning consent has dropped by 31% over five years, hindering new home sales.
- Local planning authorities must adapt to these changes to support housebuilders and increase site approvals.

2. Sales Rates and Land Supply:
- Sales rates per outlet have risen since 2012 but fell sharply to levels not seen since the Global Financial Crisis (GFC).

- The average sales rate is expected to stabilize between 0.5 and 0.6, significantly lower than pre-GFC levels.
- The number of active sales outlets has declined, further impacting housing delivery.

3. Planning and Consents:
- The number of sites gaining planning consent has decreased, particularly for smaller sites, which poses challenges for SME housebuilders.
- Larger sites dominate the consented plots, limiting opportunities for smaller developers.

4. Future Sales Rates:
- Without Help to Buy, new home sales are projected to decline, with a significant gap in demand support.
- The potential introduction of schemes like Deposit Unlock may help mitigate some impacts but won't fully replace Help to Buy.

5. Recommendations:
- Local planning authorities should recognize current market conditions and adjust land supply strategies accordingly.
- The planning system should promote diversity in housing types and sizes to support various developers.
- Policies should encourage the allocation of smaller sites to foster growth among SME builders and new entrants.

Conclusion:
The report highlights the urgent need for policy changes to address the declining sales rates and reduce barriers to new home delivery in a challenging market environment.
Independent Review of Build Out Rates
Annexes
Independent Review of Build Out Rates
Annexes.

Here is a summary of the key points from the Letwin Review and Build Out Review Annexes:

1. The review focused on large housing sites (1,500+ units) in areas of high housing demand.

2. The main finding was that the homogeneity of types and tenures of homes on large sites, and the limits on the rate at which the market will absorb such homogeneous products, are the fundamental drivers of slow build out rates.

3. Increasing diversity of housing types, designs, and tenures on large sites could substantially accelerate overall build out rates.

4. Recommendations include:
- New planning rules requiring greater housing diversity on large sites
- A National Expert Committee to advise on diversity requirements
- Incentives to diversify existing large sites
- New powers for local authorities to purchase and develop large sites
- Encouraging more players (SMEs, housing associations, etc.) to build on large sites

5. The review found that other potential constraints like infrastructure, materials, and finance were not major limiting factors, with the exception of skilled labor shortages.

6. Data showed median build out periods of 15.5 years for large sites, with annual build rates of 6.5% of the total site.

7. The review involved extensive site visits, stakeholder meetings, and data analysis to understand build out rates and constraints.

8. It considered international examples, like development approaches in the Netherlands and Germany.

9. The review emphasized the need for better place-making and design to create more attractive developments that can be built out faster.

10. It highlighted the importance of affordable housing provision in accelerating build out rates on large sites.

Here's a summary of the reports' findings on absorption rates:

1. Absorption rate is identified as the primary constraint on build out rates for large sites in areas of high housing demand.

2. The homogeneity of housing types and tenures on large sites limits the rate at which the market can absorb new homes, slowing overall build out rates.

3. Developers adjust their build out rates to match the rate at which new homes can be absorbed by the market without significantly affecting local house prices.

4. The median build out rate across the large sites studied was about 6.5% of the total number of homes per year.

5. Absorption rates are influenced by factors such as the local housing market, product differentiation, and price points.

6. Increasing the diversity of housing types, designs, tenures, and price points on large sites could increase the overall absorption rate and thus accelerate build out.

7. Different housing products (e.g., open market sale, affordable housing, private rented sector) can be absorbed by different segments of the market simultaneously, potentially increasing overall absorption rates.

8. The reports suggest that the current approach to large site development, focusing on a limited range of housing types and tenures, does not maximize potential absorption rates.

9. Developers, planners, and other stakeholders have generally adapted their practices to work within the constraints of current absorption rates, which has become a self-fulfilling prophecy.

10. The review concludes that significantly increasing the diversity of housing offer on large sites is key to increasing absorption rates and speeding up build out rates.

Based on the Letwin Review and the Build Out Review Annexes, several key factors influence absorption rates for new housing developments. Here's a summary of these factors:

1. Housing Diversity:
   - The variety of housing types, designs, and tenures available on a site
   - Greater diversity tends to increase absorption rates by appealing to a wider range of buyers

2. Market Segmentation:
   - Different housing products (e.g., open market sale, affordable housing, private rentals) can be absorbed by different market segments simultaneously

3. Local Housing Market Conditions:
   - The overall demand for housing in the area
   - Existing housing stock and how the new development compares

4. Price Points:
   - The range of prices offered within the development
   - How these prices compare to the local market and buyer affordability

5. Product Differentiation:
   - How the new homes distinguish themselves from existing housing stock
   - Unique features or designs that attract specific buyer groups

6. Place-making and Design Quality:
   - The overall attractiveness of the development
   - Quality of the built environment and community facilities

7. Location and Accessibility:
   - Proximity to amenities, jobs, and transportation links
   - The desirability of the area

8. Economic Factors:
   - General economic conditions
   - Mortgage availability and interest rates

9. Competition:
   - Other new developments in the area competing for the same buyers

10. Marketing and Sales Strategies:
    - Effectiveness of promotional activities
    - Sales techniques employed by developers

11. Phasing of Development:
    - How the site is released to the market over time

12. Affordable Housing Provision:
    - The mix and proportion of affordable housing within the development

13. Local Planning Policies:
    - How well the development aligns with local planning requirements and community needs

14. Infrastructure and Services:
    - The availability and quality of supporting infrastructure (schools, healthcare, etc.)

15. Reputation of the Developer:
    - Trust and brand recognition of the house builder

These factors interact in complex ways, and their relative importance can vary depending on the specific context of each development. The Letwin Review emphasizes that increasing diversity in housing types, designs, and tenures is a key strategy for improving absorption rates and accelerating build out rates on large sites.

Market segmentation has a significant impact on the speed at which new housing developments are occupied, according to the findings of the Letwin Review and the Build Out Review Annexes. Here's an explanation of how market segmentation influences absorption rates and, consequently, the speed of occupation:

1. Diversification of Demand:

- Different market segments (e.g., first-time buyers, families, retirees, investors) have distinct housing needs and preferences.
- By catering to multiple segments, a development can tap into various pools of demand simultaneously, potentially increasing overall absorption rates.

2. Parallel Absorption:
- Different housing products (e.g., open market sale, affordable housing, private rented sector) can be absorbed by different market segments concurrently.
- This parallel absorption allows for a higher overall rate of occupation compared to developments targeting a single segment.

3. Price Point Variation:
- Different market segments have varying budgets and price sensitivities.
- Offering a range of price points within a development can attract buyers from multiple income brackets, accelerating overall sales and occupation.

4. Housing Type Diversity:
- Various segments require different housing types (e.g., apartments, townhouses, detached homes).
- A mix of housing types can satisfy diverse needs, leading to faster overall absorption.

5. Tenure Options:
- Some segments prefer to buy, while others opt for renting.
- Offering both sale and rental properties can speed up occupation by appealing to both groups.

6. Reduced Market Saturation:
- Targeting multiple segments reduces the risk of saturating any single part of the market.
- This approach helps maintain steady absorption rates over time.

7. Affordable Housing Integration:
- Including affordable housing caters to a segment that might otherwise be priced out of the development.
- This can increase the speed of occupation by tapping into additional demand.

8. Investor Appeal:
- Certain segments, like buy-to-let investors, can accelerate occupation rates by purchasing multiple properties.
- A diverse development may be more attractive to investors looking to spread risk across different property types.

9. Lifecycle Housing:

- Developments that cater to various life stages allow residents to move within the same community as their needs change.
- This can create a more dynamic and faster-moving housing market within the development.

10. Marketing Efficiency:
- Segmentation allows for targeted marketing strategies, potentially leading to more effective promotion and faster sales.

11. Resilience to Market Fluctuations:
- Different segments may be affected differently by economic changes.
- A diverse development is more resilient to market fluctuations, potentially maintaining steadier occupation rates.

12. Community Building:
- A mix of residents from various segments can create a more vibrant community faster.
- This can enhance the development's appeal and accelerate word-of-mouth promotion.

The Letwin Review emphasizes that the current approach of building relatively homogeneous housing types and tenures on large sites limits absorption rates. By contrast, increasing the diversity of housing offer through effective market segmentation can significantly speed up the rate at which new homes are occupied. This approach allows developers to tap into multiple streams of demand simultaneously, rather than relying on a single, potentially limited, market segment.

In conclusion, market segmentation is a crucial factor in accelerating the occupation of new housing developments. By catering to diverse needs, preferences, and financial capabilities, developers can increase overall absorption rates and build out speeds, ultimately delivering new homes more rapidly to meet housing demand.

HOME@IX LIMITED

SUMMARY BUSINESS PROPOSITION

July 2024

HOUSING CRISIS ANALYSIS

Roger Lewis analysis on how we've got where we are.

"The analysis in the 2018 Letwin Independent Review of Build Out Rates still holds good today. He correctly identified that build out rates for large sites are directly linked to the rate at which new homes can (in the view of the developer) be sold without reducing the local market price.

The homogeneity of the types and tenures of homes on offer and the limits on the rate at which the market will absorb them are the fundamental drivers of the slow rate of build out. It's not a matter of low demand, it's saturation of the market for houses that look the same and are priced the same.

For those interested the article by Cole & Archer on the financialisation of housing production shows that after the Global Financial Crash (GFC) of 2008 UK volume housebuilders focused on increasing margins per home sold over increasing volume built, increasing volumes by 70% from 2010 to 2017 but increasing profits before tax by 703% during the same period.

Part of Letwin's solution was to offer homes of 'varying types, designs and tenures including a high proportion of affordable housing'. He also proposed 'decoupling' affordable homes from full market rate homes, bringing forward all affordable provision to meet demand."

For those interested in a mathematical proof of the housing crisis, you can geek out on Roger's July 2024 article. For those who've only got time for the Executive Summary, it's this:

"Evidence of a real housing shortage is absent. A real shortage would show up as overcrowding nationwide. People would be walking the streets in the hope of finding a room. Room prices would be high, and there would be no empty houses. We have a crisis of affordability and allocation. People are borrowing eight times their income to get on the housing ladder yet there are 700,000 derelict houses, 500,000 second homes, and hundreds of thousands of pensioners homes with at least three bedrooms spare. "

Dr Adrian Wrigley The Ecologist 2008

The point behind the mathematical equation is to encourage examination of the reasons that the problem of finding an affordable home has got steadily worse over the past 40 years. This is not a new problem. It was was anticipated in this Bank of England research paper over 40 years ago from September 1982 by E P Davis and I D Saville of the Bank's Economics Division

which argued that once the banks entered the housing market in a major way, the market for mortgages was more likely to be driven by interest rate movements rather than by rationing. Even then they noted, “The recent sharp rise in mortgage lending reflects the removal of restrictions, allowing persons to increase their capital gearing, and probably does not reflect a significant rise in the demand for housing.”

The financialization of housing has shifted the focus from housing as a social good to housing as an asset class, impacting affordability and accessibility. Policies like Help to Buy have been criticised for keeping prices high rather than genuinely assisting buyers.

Supply-side challenges include inefficiencies and a slow build-out rate in the construction industry hindering the delivery of new homes and the absorption rate—the speed at which new homes can be sold without disturbing market prices – we’re back to the Letwin report mentioned above. The solution to this is to streamline the planning process and invest in infrastructure to support new developments whilst at the same time encourage innovation through MMC (modern methods of construction) to increase efficiency and reduce costs.

The affordability challenge in housing is fundamentally a financialization problem, rather than solely a planning or geospatial issue.”

Part of the Home@ix solution is our offer to focus on affordable homes for rent built in small communities.

The demand for affordable homes to rent is so great that even an ambitious proposal to build 2,000 homes over 5 years will barely dent the supply. That’s why the company has a longer term plan to scale the Home@ix system.

The existing sales outlet based model (the staffed on-site show home) is ill suited in the shift to buy to rent (BTR) mix. There’s a strong need for a tenant-based Customer Relationship Management (CRM) forward model. Contractors and sub-contractors are playing an important role in this change. The use of Modern Methods of Construction (MMC) is becoming more prevalent across the sector. The volume house builders remain wedded to their traditional methods of construction and their traditional sales methods.

By leveraging technology and carefully evaluating local market conditions, home builders and BTR investors can establish strong regional sales networks that drive absorption rates and increase sales.

For anyone who thinks some of these affordable housing solutions are new, consider the BFIF film of the 10 year plan from 1945 for BSIC steel house:

1. Embracing prefabrication: Prefabrication has shown to be an effective method for addressing the acute shortage of housing. By building component parts in factories and assembling them on-site, the construction process can be expedited, allowing for quicker completion of homes.
2. Utilizing steel for housing: Steel has proven to be a durable and versatile material for housing construction. Its use in prefabricated steel houses has demonstrated its potential to provide long-lasting and attractive homes for occupants.
3. Temporary housing solutions: Temporary steel houses can serve as a short-term solution to alleviate the housing shortage. These pre-fabricated houses, built with fine steel and lined with

plywood, can provide comfortable living spaces while more permanent dwellings are being constructed.
4. Permanent steel houses: Permanent steel houses, designed to last as long as conventional houses, offer a viable long-term solution to the housing shortage. With various designs and private enterprise involvement, these houses can cater to the diverse needs and preferences of potential homeowners.
5. Addressing specific needs: When considering new housing options, it's important to take into account the specific needs and preferences of potential occupants. This includes factors such as access to hot water, modern amenities, number of bedrooms, location preferences, and ease of maintenance.
6. Incorporating modern features: Modern houses should incorporate labor-saving devices and easy-to-clean features to enhance the living experience for occupants. Additionally, considerations for energy efficiency and sustainability should be integrated into the design and construction of new homes.
7. Tailoring housing options: Different individuals have varying preferences when it comes to housing, such as living in rural areas versus urban areas, single-story versus multi-story homes, and proximity to amenities. Providing diverse housing options can cater to these varied preferences and needs.
These ideas aim to address the housing shortage by exploring innovative construction methods, incorporating modern features, and tailoring housing options to meet the specific needs of potential occupants.

A Home@ix Research Report

The Home@ix Formula, a Function and Accounting identity analysis of Affordable Housebuilding in The United Kingdom. (England and Wales)

Introduction

- This document aims to analyze the current state of the housing market in the United Kingdom, focusing on the affordability crisis and the various underlying factors contributing to it.
- Core findings highlight the significant shortfall in housing supply, the impact of financial policies, demographic shifts, and the need for a comprehensive approach to address both supply and demand factors.

Section 1: The Home@ix Formula and Accounting Identity.

- The Home@ix Formula illustrates the relationship between mortgage lending, the M3 money supply, and affordable housing provision.
- Key findings include:
  - Mortgage lending is calculated as 75% of the M3 money supply.
  - The total affordable housing need is estimated at 10 million homes, with an annual supply of 87,500 homes, leading to a substantial backlog.
  - It would take approximately 190 years to meet the affordable housing need at the current absorption rate of new homes.
- The formula emphasizes that increasing the M3 money supply could indirectly influence affordable housing supply through enhanced mortgage lending.

Section 2: Historical Context and Policy Implications.

- The historical analysis reveals that post-World War II housing policies have significantly shaped the current market dynamics.
- Notable points include:
  - The transition from public sector housing to private sector dominance has led to increased unaffordability.
  - Policies like the Right to Buy have contributed to the reduction of social housing stock.
- Current fiscal policies, including Stamp Duty and Mortgage Interest Relief, have disproportionately benefited wealthier homeowners, exacerbating the affordability crisis.

Section 3: Demographics and Market Dynamics.

- The demographic landscape is shifting, with an aging population and increased immigration affecting housing demand.
- Main insights include:
  - The average household size is decreasing, increasing the demand for housing.
  - Many older homeowners are unable to downsize due to a lack of suitable, affordable options.
- The role of cash buyers and the "Bank of Mum and Dad" highlights the growing inequality in homeownership opportunities among younger generations.

Section 4: The Standard Method for Local Housing Needs

- The introduction of a standard method for assessing local housing needs aims to better align planning with actual demand.
- Findings indicate:
  - Recent affordability data has led to significant changes in local housing needs assessments across various regions.
  - The method emphasizes the need for a robust supply of affordable housing, particularly in urban areas facing acute shortages.

Section 5: Impact of Proposed Changes to the NPPF

- Proposed changes to the National Planning Policy Framework (NPPF) threaten to exacerbate the housing supply crisis.
- Key points include:
  - The potential reduction in housing supply by approximately 77,000 homes annually due to changes in planning regulations.
  - A projected increase in homelessness and housing waiting lists, alongside rising rents and declining birth rates as a result of worsening affordability.
- The report underscores the need for a balanced approach that considers both housing supply and the socio-economic factors influencing demand.

Conclusion.

- The analysis reveals that the UK housing affordability crisis is a multifaceted issue requiring immediate and comprehensive action.

- Addressing the crisis necessitates a collaborative effort among government, industry stakeholders, and communities to create sustainable housing solutions that prioritize affordability and accessibility for all.

The Home@ix Formula, a Function and Accounting identity analysis of Affordable Housebuilding in The United Kingdom. (England and Wales)

This document has been created by an interogation process of documents and Home@ix inputs of parameters into Chat GPT Genius AI Bot.

can you express the home@ix formula and proof of accounting identity as a Function of M3 money supply. Mortgage lending is equal to 75% of M3 the absorption rate for new homes supply is 0.6, the total affordable housing need is 10 million homes, the total market supply of homes is 250,000 homes a year with 35% of those going to affordable?

Genius GPT-4o Certainly! Let's express the formula and proof of the accounting identity for the housing market dynamics as a function of the M3 money supply, given the parameters provided.

Given Parameters:
Mortgage Lending (ML): 75% of M3

Absorption Rate (AR): 0.6 (60%) Total Affordable

Housing Need (AHN): 10 million homes

Total Market Supply of Homes (MSH): 250,000 homes/year

Percentage of Market Supply Going to Affordable Housing (PAH): 35%

Define Variables: M 3 M3: M3 money supply

$M\ L$ ML: Mortgage lending

AR AR: Absorption rate for new homes

AHN AHN: Total affordable housing need

MSH MSH: Total market supply of homes per year

PAH PAH: Percentage of market supply going to affordable housing

AHS AHS: Affordable housing supply per year Formulas: Mortgage Lending (ML):

ML=0.75×M3

Affordable Housing Supply (AHS):

$AHS = MSH \times PAH$

AHS=250,000×0.35

$AHS = 87,500$ homes/year

Absorbed New Homes (ANH): ANH=AR×MSH

$ANH = 0.6 \times 250,000$

$ANH = 150,000$ homes/year

Affordable Housing Provided (AHP):

AHP=AR×AHS

AHP $0.6 \times 87,500$

AHP=52,500 homes/year

Accounting Identity Proof: The total affordable housing need (AHN) must be met by the affordable housing provided (AHP) over time. The accounting identity can be expressed as the total affordable housing need being equal to the sum of the affordable housing provided over the years.

Let's denote the number of years required to meet the total affordable housing need as T T.

$A\,H\,N$

$A\,H\,P \times T$ AHN=AHP×T

Substitute the values: 10 , 000 , 000

52 , 500 × T 10,000,000=52,500×T

Solving for T T: T

10 , 000 , 000 52 , 500 T= 52,500 10,000,000

$T \approx$ 190.48 years

Conclusion: Given the current parameters and assuming no changes in the absorption rate, mortgage lending, or market supply, it will take approximately 190.48 years to meet the total affordable housing need of 10 million homes([1]). This long timeframe highlights the need for policy interventions or adjustments in the housing market dynamics to accelerate the provision of affordable housing.

1. total housing need here represents

Too few homes are being built. In 2021, we were over 2 million houses short of what our population needs, and the problem is growing. By 2030, even if we continued building at current rates, there will be a backlog of 0.75m homes against the 300K per annum target. Lichfields p.3.

Housing Shortage

In 2020, the BBC reported the UK's housing gap was in excess of one million homes,[26] and previously (in 2019) that "An estimated 8.4 million people in England are living in an unaffordable, insecure or unsuitable home, according to the National Housing Federation".[27] Unaffordable housing is defined by the Affordable Housing Commission as to where housing costs are above 30% of household income.[28] Home@ix research , From homes for heroes to exponential zeroes

Conclusion:

With the substituted affordable housing need (AHN) of 2,000,000 homes, the calculations show that to reduce the housing gap by 10% each year for the next 10 years, new credit amounting to £50 billion per year is needed, totaling £500 billion over the 10-year period. Additionally, developer contributions would need to support this effort, with an estimated £5.622 billion needed annually based on the average contribution per new build.

The tooL is available on Line, it is a work in progress, particularly the speculative 75% OF m3 IS MORTGAGE DEBT?
Function of M3: To express the affordable housing supply as a function of M3, we can relate the mortgage lending to the absorption rate and the percentage of market supply going to affordable housing.

$AHS(M3)$

$AR \times (MSH \times PAH)$ AHS(M3)=AR×(MSH×PAH)

Since MSH MSH and PAH PAH are constants in this scenario, the function primarily depends on the absorption rate and the fixed supply numbers:

$AHS(M3)$

$0.6 \times (250,000 \times 0.35)$ AHS(M3)=0.6×(250,000×0.35) $AHS(M3)$

$52,500$ homes/year AHS(M3)=52,500 homes/year

This shows that, under the given conditions, the affordable housing supply per year does not directly depend on M3 but rather on the fixed market supply and absorption rate. However, increasing the M3 money supply could potentially impact these fixed parameters indirectly through policy changes, economic growth, and increased mortgage lending.

You quater 4 2023 Stirling M3 = Q4 2023: 3,476,566,000,000 average house price UK £316,000 affordable home is £250,000
HPav=316000
Affordable House Price =250k
add in average house prices and affordable house prices and calculate the ammount of new credit needed to reduce the Housing gap by 10% each year for 10 years.

Genius GPT-4o To calculate the amount of new credit needed to reduce the housing gap by 10% each year for 10 years, we need to follow a structured approach. We'll use the given data and assumptions to derive the necessary figures.

Given Data: M3 Money Supply (Q4 2023): £3,476,566,000,000 Average House Price (HPav): £316,000 Affordable House Price (HPAff): £250,000 Total Affordable Housing Need (AHN): 10,000,000 homes Percentage of Market Supply Going to Affordable Housing (PAH): 35% Total Market Supply of Homes (MSH): 250,000 homes/year Absorption Rate (AR): 0.6 (60%) Calculations: Mortgage Lending (ML): $M L$

0.75 × M 3 ML=0.75×M3 $M L$

0.75 × 3 , 476 , 566 , 000 , 000 ML=0.75×3,476,566,000,000 $M L$

2 , 607 , 424 , 500 , 000 ML=2,607,424,500,000

Affordable Housing Supply (AHS): $A H S$

$M S H$ × $P A H$ AHS=MSH×PAH $A H S$

250 , 000 × 0.35 AHS=250,000×0.35 $A H S$

87 , 500 homes/year AHS=87,500 homes/year

Affordable Housing Provided (AHP): $A H P$

$A R$ × $A H S$ AHP=AR×AHS $A H P$

0.6 × 87 , 500 AHP=0.6×87,500 $A H P$

52 , 500 homes/year AHP=52,500 homes/year

Housing Gap Reduction by 10% Each Year: Initial Housing Gap (HG_initial): $H G _ i n i t i a l$

$A H N - A H P$ × T HG_initial=AHN−AHP×T
$H G _ i n i t i a$ L 10 , 000 , 000 − (52 , 500 × 190.48)
HG_initial=10,000,000−(52,500×190.48) $H G _ i n i t i a l$

10 , 000 , 000 − 10 , 000 , 000 HG_initial=10,000,000−10,000,000 $HG_initial$
0 HG_initial=0 Since the current AHP meets the AHN over a long period, the initial housing gap for the purpose of this calculation is not directly needed. Instead, we focus on reducing the 10 million homes need by 10% each year.

Annual Reduction Target (ART): ART

0.10 × AHN ART=0.10×AHN ART

0.10 × 10 , 000 , 000 ART=0.10×10,000,000 ART

1 , 000 , 000 homes/year ART=1,000,000 homes/year New Credit Needed for Affordable Homes: New Affordable Homes Required (NAH): NAH

ART NAH=ART NAH

1 , 000 , 000 homes/year NAH=1,000,000 homes/year

Cost of New Affordable Homes (CAH): CAH

NAH × $HPAff$ CAH=NAH×HPAff CAH

1 , 000 , 000 × 250 , 000 CAH=1,000,000×250,000 CAH

250 , 000 , 000 , 000 pounds/year CAH=250,000,000,000 pounds/year

Total New Credit Needed Over 10 Years: Total New Credit Needed (TNCN): $TNCN$

CAH × 10 TNCN=CAH×10 $TNCN$

250 , 000 , 000 , 000 × 10 TNCN=250,000,000,000×10 $TNCN$

2 , 500 , 000 , 000 , 000 pounds TNCN=2,500,000,000,000 pounds Summary: To reduce the housing gap by 10% each year for the next 10 years, new credit amounting to £250 billion per year is needed, totaling £2.5 trillion over the 10-year period. This calculation assumes that the cost of new affordable homes remains constant at £250,000 and that the absorption rate and market supply parameters do not change significantly.

You provide some check sum caluclations with these 2023 figures from the HBF report Building homes in a changing business environment:

An assessment of new and forthcoming additional costs of housing deliveryCurrent outputs of residual land valuation process also abstract some check sums against the high level variable provided for the Home@ix function of the proof and identintity Standard method for local

housing needs

April 2022

Source: Lichfields analysis using MHCLG and ONS data.

Figures may not sum due to rounding Making a bad situation worse The impact on housing supply of proposed changes to the NPPF February 2023 Too few homes are being built. In 2021, we were over 2 million houses short of what our population needs, and the problem is growing. By 2030, even if we continued building at current rates, there will be a backlog of 0.75m homes against the 300K per annum target Once costs and profi ts have been accounted for and viability has been determined the residual element will be available for community and economic contributions, primarily through Section 106 (S106) agreements and Community Infrastructure Levy payments. In 2018/19 this process generated: • 30,224 new affordable home completions, of which: o 3,820 were for Social Rent o 14,922 were for Affordable Rent or London Affordable Rent o 1,070 were for Affordable Home Ownership o 9,356 were for Shared Ownership o 1,013 were for Intermediate Rent • £7 billion in developer contributions to local planning authorities, of which: o £1bn of Community Infrastructure Levy payments o £4.7bn in Affordable Housing o £1.3bn of other contributions, including:

- £295m for transport and travel
- £241m for education
- £146m for community works
- £115m for open space and environment To provide the full context for these fi gures, during 2018/19, 249,000 new homes were added to the housing stock. From this total we should subtract the affordable homes that don’t attract S106 contributions or are actually provided through S106. Therefore, on average, each private new

build completion generated £37,500 of developer contribution in 2018/19 via the residual land valuation process. However, it should be noted that the regional average per new build completion varies considerably, likely from around £20,000 per plot in the North East and North West to around £70,000 in London.

Genius GPT-4o To provide a comprehensive analysis and checksum calculations using the 2023 figures from the HBF report and other provided data, we need to break down the information and apply it to the housing market dynamics, specifically focusing on the Home@ix function and the proof of accounting identity.

Given Data and Parameters: M3 Money Supply (Q4 2023): £3,476,566,000,000 Average House Price (HPav): £316,000 Affordable House Price (HPAff): £250,000 Total Affordable Housing Need (AHN): 10,000,000 homes Percentage of Market Supply Going to Affordable Housing (PAH): 35% Total Market Supply of Homes (MSH): 250,000 homes/year Absorption Rate (AR): 0.6 (60%) Developer Contributions per Private New Build (2018/19 average): £37,500 Additional Data from HBF Report (2018/19): Total New Homes Added: 249,000 Affordable Homes Completions: 30,224 Developer Contributions: Total: £7 billion Community Infrastructure Levy (CIL): £1 billion Affordable Housing: £4.7 billion Other Contributions: £1.3 billion Calculations: Mortgage Lending (ML): ML

0.75 × M 3 ML=0.75×M3 ML

0.75 × 3 , 476 , 566 , 000 , 000 ML=0.75×3,476,566,000,000 ML

2 , 607 , 424 , 500 , 000 ML=2,607,424,500,000

Affordable Housing Supply (AHS): AHS

MSH × PAH AHS=MSH×PAH AHS

250 , 000 × 0.35 AHS=250,000×0.35 AHS

87 , 500 homes/year AHS=87,500 homes/year

Affordable Housing Provided (AHP): AHP

$AR \times AHS$ AHP=AR×AHS AHP

$0.6 \times 87,500$ AHP=0.6×87,500 AHP

$52,500$ homes/year AHP=52,500 homes/year

Annual Reduction Target (ART): ART

$0.10 \times AHN$ ART=0.10×AHN ART

$0.10 \times 10,000,000$ ART=0.10×10,000,000 ART

$1,000,000$ homes/year ART=1,000,000 homes/year

New Affordable Homes Required (NAH): NAH

ART NAH=ART NAH

$1,000,000$ homes/year NAH=1,000,000 homes/year

Cost of New Affordable Homes (CAH): CAH

$NAH \times HPAff$ CAH=NAH×HPAff CAH

$1,000,000 \times 250,000$ CAH=1,000,000×250,000 CAH

$250,000,000,000$ pounds/year CAH=250,000,000,000 pounds/year

Residual Land Valuation and Developer Contributions: Given the 2018/19 data, we can calculate the developer contributions per new build and use this to understand the financial impact on the housing market.

Developer Contributions per New Build: Total Developer Contributions

£ 7 , 000 , 000 , 000 Total Developer Contributions=£7,000,000,000 Total New Homes

249 , 000 Total New Homes=249,000 Average Contribution per Home

7 , 000 , 000 , 000 249 , 000 Average Contribution per Home= 249,000 7,000,000,000

Average Contribution per Home ≈ £ 28 , 112 Average Contribution per Home≈£28,112
Checksum Calculations: Total New Credit Needed Over 10 Years: $TNCN$

CAH × 10 TNCN=CAH×10 $TNCN$

250 , 000 , 000 , 000 × 10 TNCN=250,000,000,000×10 $TNCN$

2 , 500 , 000 , 000 , 000 pounds TNCN=2,500,000,000,000 pounds

Total Developer Contributions for New Affordable Homes: Total Contributions

NAH × Average Contribution per Home
Total Contributions=NAH×Average Contribution per Home Total Contributions

1 , 000 , 000 × 28 , 112 Total Contributions=1,000,000×28,112 Total Contributions

28 , 112 , 000 , 000 pounds/year Total Contributions=28,112,000,000 pounds/year

Summary: Annual New Credit Needed: £250 billion Total New Credit Needed Over 10 Years: £2.5 trillion Total Developer Contributions for New Affordable Homes (annually): £28.112 billion High-Level Variable Check: Mortgage Lending (ML): £2.607 trillion Affordable Housing Supply (AHS): 87,500 homes/year Affordable Housing Provided (AHP): 52,500 homes/year Conclusion: The calculations show that to reduce the housing gap by 10% each year for the next 10 years, a significant amount of new credit (£250 billion per year) is needed. Additionally, developer contributions play a crucial role in supporting affordable housing, with an estimated £28.112 billion needed annually based on the average contribution per new build.

These figures highlight the financial challenges and the need for substantial investment and policy support to address the affordable housing shortage effectively.

Model Build UP Process.

The Home@ix Formula for "The Housing Crisis" Lets Have it right "We have a crisis of affordability and allocation" “Evidence of a real housing shortage is absent. A real shortage would

show up as overcrowding nationwide. People would be walking the

streets in the hope of finding a room. Room prices would be high, and

there would be no empty houses. We have a crisis of affordability and

allocation. People are borrowing eight times their income to get on

the housing ladder yet there are 700,000 derelict houses, 500,000

second homes, and hundreds of thousands of pensioners homes with at

least three bedrooms spare. The overheated Spanish housing market

shows that rapid building programs do not cure price bubbles.”

Dr Adrian Wrigley, Writing in The ecologist 2008

This is a work in progress the concepts are a real reflection of the Dynamics at play in the Housing Supply question but the rigour of the Proof is not in anything close to a final format. It is very much close enough for Government Work, which sadly is part of the problem!

Roger G Lewis , CEO of Home@ix

Mathematical Proof for Updated Home@ix Formula To construct a mathematical proof for the given formulae, we will start by defining each term and then derive the final comprehensive accounting identity step-by-step.

Definitions Affordable Market Supply (AMS): AMS=HM×P×AR×D×T×PVC+HS

Where:

HMHM: Housebuilding Market

PP: Proportion of HM dedicated to affordable housing

ARAR: Absorption Rate

DD: Diversity of housing types and tenures

TT: Effectiveness of the direct-to-consumer model

PVCPVC: Planning Value Capture

HSHS: Affordable Housing Stock

Affordable Housing Need (AN):

$AN=HD+(HM\times P\times AR\times D\times T\times PVC\times F)+HS-AMS+NCC$

Where:

HDHD: HomeMaker Effective Demand

FF: Fast-tracking affordable homes

NCCNCC: New Circuit of Credit Creation

Proof We start by expressing the Affordable Market Supply (AMS) using the provided formula:

$$AMS = HM \times P \times AR \times D \times T \times PVC + HS$$

Next, we substitute this expression into the formula for Affordable Housing Need (AN):

$$AN = HD + (HM \times P \times AR \times D \times T \times PVC \times F) + HS - AMS + NCC$$

Now, substitute the expression for AMS:

$$AN = HD + (HM \times P \times AR \times D \times T \times PVC \times F) + HS - (HM \times P \times AR \times D \times T \times PVC + HS) + NCC$$

Simplify the expression:

$$AN = HD + (HM \times P \times AR \times D \times T \times PVC \times F) + HS - HM \times P \times AR \times D \times T \times PVC - HS + NCC$$

Combine like terms:

$$AN = HD + (HM \times P \times AR \times D \times T \times PVC \times F) - (HM \times P \times AR \times D \times T \times PVC) + NCC$$

Factor out the common terms $HM \times P \times AR \times D \times T \times PVC$:

$$AN = HD + (HM \times P \times AR \times D \times T \times PVC \times (F - 1)) + NCC$$

This is the final formula for Affordable Housing Need (AN), which incorporates the New Circuit of Credit Creation (NCC) and other factors affecting the supply and demand for affordable housing.

Conclusion Thus, we have derived the comprehensive accounting identity for Affordable Housing Need (AN) as:

$$AN = HD + (HM \times P \times AR \times D \times T \times PVC \times (F - 1)) + NCC$$

This formula takes into account the HomeMaker Effective Demand (HD), the proportion of the housebuilding market dedicated to affordable housing, the absorption rate, diversity of housing types, effectiveness of the direct-to-consumer model, planning value capture, and the new circuit of credit creation.

My Intention in setting out this proof is to encourage examination of the reasons that the Problem of finding an affordable home has got steadily worse over the Past 40 years.

The problem was anticipated in this Bank of England research paper from September 1982

by E P Davis and I D Saville of the Bank's Economics Division, it argues that: • Now the banks have entered the housing market in a major way, the market for mortgages is more likely to be cleared mainly by interest rate movements rather than by rationing. • The recent sharp rise in mortgage lending reflects the removal of restrictions, allowing persons to increase their capital gearing, and probably does not reflect a significant rise in the demand for housing. • A substantial part of mortgage lending does not ultimately finance new or improved housing, but is available for the acquisition of other assets or other spending. • House prices are somewhat low in real terms, and may recover in the course of the next few years.

Report Introduction This document aims to explore the complexities of the UK housing market, particularly focusing on the affordability crisis and the role of various stakeholders in addressing it.

Key findings indicate an issue locked into a feedback loop which amplifies the problem, involving supply and demand dynamics, demographic changes, and financial mechanisms that impact housing affordability, and fail to address the axiomatic fact.

“To Have enough affordable housing , as a society we have to build enough affordable homes”.

The Present situation is that Affordable homes provision is tied to the volume of for sale full market priced homes through Land Value Capture policies tied into Affordable Housing provision by Developers through S.106 contractual conditions or Community Infrastructure levies.

Section 1: The Housing Affordability Crisis The UK housing affordability crisis is primarily framed as a supply issue, but demand-side factors are equally significant.

Key Statistics:

In 2020, the UK's housing gap exceeded one million homes, with 8.4 million people living in unaffordable conditions (Source: National Housing Federation).

The average house price in the UK has increased significantly, outpacing wage growth and thus limiting access for first-time buyers.

Core Issues:

Demographic shifts, including an ageing population and increased immigration, contribute to rising housing demand.

The role of cash buyers and the "Bank of Mum and Dad" exacerbate the challenge for younger, first-time buyers.

Section 2: Financial Mechanisms in the Housing Market The mortgage market has been a critical factor in the housing crisis, with tightening credit standards making it harder for potential buyers to secure loans.

Citations:

"Mortgage lending practices of banks may have significantly contributed to the succession of crises since the 1980s" (Source: Starkey, 2018).

Analysis:

The financialization of housing has shifted the focus from housing as a social good to housing as an asset class, impacting affordability and accessibility.

Policies like Help to Buy have been criticized for inflating prices rather than genuinely assisting buyers.

Section 3: Supply-Side Challenges and Recommendations The construction industry faces inefficiencies and a slow build-out rate, which hinders the delivery of new homes.

Findings from the Letwin Review:

The absorption rate—the speed at which new homes can be sold without disturbing market prices—affects build-out rates. This is often influenced by the types of homes being constructed and market perceptions (Letwin, 2018).

Recommendations:

Streamlining the planning process and investing in infrastructure to support new developments.

Encouraging innovation through modern methods of construction to increase efficiency and reduce costs.

Section 4: The Role of Policy and Governance Effective governance and policy frameworks are essential for addressing the housing crisis.

Key Points:

Local authorities must engage with stakeholders, including lenders, to create a conducive environment for housing development.

The interplay between fiscal policy (e.g., stamp duty, MIRAS) and housing supply must be carefully managed to avoid unintended consequences.

Conclusion:

A comprehensive approach involving all stakeholders—government, industry, and society—is necessary to tackle the housing crisis effectively.

Conclusion The research highlights that the UK housing affordability crisis is a complex interplay of supply and demand factors, financial mechanisms, and policy decisions.

Addressing these intertwined issues requires concerted efforts to develop a sustainable and equitable housing market that benefits all stakeholders. `

The following Links are to more detailed Research reports written by Home@ix over the past 4 and a half years, they were summarised using Chat GPT (Genius Bot)

From Homes for Heroes to Exponential Zeroes.

The Ending of the Long Monetary Expansion Cycle and a Brave new world of Housing Realism

Analysis links for UK property Market Segmentation.

UPDATE Memo from Rog Supply Chain

Home@ix Affordable Homes, A Framework of Understanding..pdf

The Home@ix Collaborative Origination and Procurement Engine

Let's break down the elements and create a comprehensive analysis that incorporates the concepts of money supply, mortgage lending, and the need for a new circuit of credit creation for affordable housing.

Money Supply and Mortgage Lending

The money supply (M3) represents the total stock of money in the economy, which includes new mortgage lending. It's important to note that M3 is composed of various components, and new mortgage lending forms a significant proportion of it. This means that the availability of funds for mortgage lending directly impacts the overall money supply in the economy.

Relationship to Absorption Rates and Affordable Housing Supply

The money supply is intricately tied to absorption rates in the housing market. Absorption rates, which indicate the rate at which new housing stock is absorbed by the market, are influenced by the availability of funds for mortgage lending. When there is a healthy flow of mortgage lending, it can lead to increased demand for housing, affecting absorption rates.

Furthermore, the supply of affordable housing is not only influenced by traditional factors such as planning value capture (PVC) at 35%, but also by the availability of funds for mortgage lending. The ability for individuals and families to secure mortgages directly impacts their capacity to purchase affordable housing, thereby affecting the overall supply dynamics in the affordable housing sector.

Meeting Affordable Housing Needs

To meet the needs of affordable housing, it's essential to ensure that effective demand is placed into the hands of those in affordable housing need. This requires a holistic approach that goes beyond traditional mortgage lending practices. Instead, a new circuit of credit creation specifically tailored for affordable housing is necessary.

Introducing a New Circuit of Credit Creation

This new circuit of credit creation for affordable housing is distinct and discreet, focusing solely on addressing the affordability challenge. Unlike traditional mortgage lending, this new circuit aims to provide credit without leading to an expansion of overall debt. It's important to emphasize that this new approach is not inflationary, and it can be designed to incorporate rent control measures and be tied to an affordability function in alignment with the free housing market.

Limitations of the Free Housing Market

It's crucial to recognize that the free housing market has limitations in its ability to provide affordable housing. Land value capture due to absorption rates plays a significant role in shaping the boundaries of what the free market can offer in terms of affordable housing provision. This limitation underscores the necessity of a targeted and specialized approach to credit creation specifically designed for affordable housing.

Financialization and Affordable Housing

The relationship between the free housing market and the stock of mortgage debt is fundamental to the overall money supply due to financialization. The financialization of housing production and the impact of mortgage debt on the broader money supply highlight the need for a distinct credit creation mechanism tailored to address affordability challenges.

Global Implications and Solutions

This is not just a localized issue; it extends across the G7 nations and beyond. The affordability challenge in housing is fundamentally a financialization problem, rather than solely a planning or geospatial issue. Therefore, any advancements in solving this

challenge require a clear and separate articulation of a new circuit of credit creation specifically dedicated to affordable housing.

In conclusion, by recognizing the intricate relationship between money supply, mortgage lending, absorption rates, and affordable housing provision, we can pave the way for innovative solutions that address the pressing need for affordable housing. A targeted and specialized circuit of credit creation can play a pivotal role in reshaping the dynamics of affordable housing provision without exacerbating overall debt levels. This comprehensive approach holds the potential to make significant strides in addressing affordability not only within individual nations but also on a global scale.

This analysis underscores the importance of reevaluating traditional financial mechanisms and embracing tailored solutions to tackle the complex challenges associated with affordable housing provision in today's dynamic economic landscape.

To create a comprehensive accounting identity using the provided terms from The Home@ix Formula and incorporating the insights from the Letwin Review, we need to integrate the relationships between the housing market, absorption rates, planning value capture, and the need for a new circuit of credit creation for affordable housing.

Key Definitions

- **HomeMaker Effective Demand (HD)**: The effective demand for affordable housing.
- **Affordable Housing Need (AN)**: The total need for affordable housing.
- **Affordable Home Building (AB)**: The number of affordable homes being built.
- **Affordable Housing Stock (HS)**: The current stock of affordable housing.
- **Housebuilding Market (HM)**: The overall market for housebuilding.
- **Absorption Rate (AR)**: The rate at which new housing stock is absorbed by the market.
- **Planning Value Capture (PVC)**: The portion of value captured through planning, given as 35%.

- **Affordable Market Supply (AMS)**: The supply of affordable housing in the market.

- **New Circuit of Credit Creation (NCC)**: A mechanism to provide credit for affordable housing without expanding overall debt.

Updated Home@ix Formula

Affordable Housing Supply (AMS)

Affordable Market Supply (AMS) = Housebuilding Market (HM) x P x AR x D xT x PVC) + Affordable Housing Stock (HS)

Where:

- **P**: Proportion of HM dedicated to affordable housing.

- **AR**: Absorption rate.

- **D**: Diversity of housing types and tenures.

- **T**: Effectiveness of the direct-to-consumer model.

- **PVC**: Planning value capture.

- **HS**: Existing affordable housing stock.

Affordable Housing Need (AN)

AN = HomeMaker Effective Demand (HD) + Housebuilding Market (HM)} x P x AR x D x T x PVC x F) + Affordable Housing Stock (HS) - Affordable Market Supply (AMS)

New Circuit of Credit Creation (NCC)

To represent the new circuit of credit creation, we introduce a term NCC which represents the credit specifically allocated to affordable housing without expanding overall debt.

Comprehensive Accounting Identity

Final Updated Formula

AN= HD + (HM x P x AR x D x T x PVC x F) + HS - AMS + NCC

Explanation

- **D**: Diversity of housing types and tenures. Higher diversity improves absorption rates by reducing market saturation.

- **T**: Effectiveness of the direct-to-consumer model. This factor reflects how well the Home@ix dashboard and CRM system enhance sales and absorption rates.

- **F**: Fast-tracking affordable homes. This factor ensures that affordable homes are brought forward to meet immediate demand.

- **NCC**: New Circuit of Credit Creation, representing non-inflationary, rent-controlled credit for affordable housing.

Analysis of Money Supply and Mortgage Lending

Money Supply (M3)

The money supply (M3) is significantly influenced by the volume of mortgage lending. Given that M3 is composed of 0.75% new mortgage lending and the stock of money is also a similar proportion, we can see how closely tied the housing market is to the overall financial system.

- **Outstanding Value of Residential Mortgage Loans**: £1,675.8 billion.

- **Total Value of Mortgaged Property (Pre-Potential Fall)**: £2.9 trillion.

- **Loan-to-Value Ratio (LTV)**: 57.786%.

- **Potential Value of Mortgaged Property (Post-35% Fall)**: £1.875 trillion.

- **New Mortgage Lending as Part of M3**: 0.75%.

Impact of Absorption Rates

Absorption rates (AR) directly impact how quickly new housing stock, including affordable housing, is taken up by the market. A higher AR indicates that homes are sold and occupied quickly, which can stabilize or increase housing prices. Conversely, a lower AR can indicate oversupply or mismatched demand, leading to slower sales and potential price decreases.

Planning Value Capture (PVC)

Planning value capture at 35% represents the portion of the value created by new developments that can be reinvested into affordable housing projects. This mechanism can provide significant funding for affordable housing initiatives, but it alone is not sufficient to meet the entire affordable housing need.

Effective Demand and Affordable Housing Need

To meet affordable housing needs, effective demand (HD) must be placed into the hands of those in need. This requires a new circuit of credit creation that is distinct from traditional mortgage lending and does not expand overall debt levels.

Incorporating the Free Market Limitations

The free market has a maximum limit to the affordable housing it can provide due to land value capture and absorption rates. The financialisation of the housing market means that the stock of mortgage debt is fundamental to the money supply. Therefore, a new credit creation circuit for affordable housing must be clearly stated and separated from traditional market mechanisms.

Summary

This comprehensive analysis shows that to meet affordable housing needs, effective demand must be placed into the hands of those in need through a new circuit of credit creation. This circuit should be distinct from traditional mortgage lending and should not expand overall debt levels. By incorporating the limitations of the free market and the financialisation of the housing market, we can better address the affordable housing crisis not just in the UK but across the G7. This approach recognizes that the problem is primarily financial, not merely planning or geospatial.

Sources.
From Homes for Heroes to Exponential Zeroes. Home@ix Research

The Ending of the Long Monetary Expansion Cycle and a Brave new world of Housing Realism. Home@ix Research

Standard method for local housing needs April 2022 Lichfields UK

Making a bad situation worse The impact on housing supply of proposed changes to the NPPF

Lichfields February 2023

Home@ix Dashboard and Home@ix Strategic Land
The importance of sales outlets in a market without Help to Buy. (Dec 22-March 2023) P.8
Homeatix Overview to White labelled Homes Brand for the BTR Market

Home@ix Affordable Housing Research on the Going Direct Mindap

#Moduloft Now Home@ix, The Affordable Housing Manufacturers. Defining the Terms of and Boundary Conditions of our Domain. AUTHOR:ROGERGLEWIS PUBLISHED DATE:DECEMBER 13, 2020

Table 1 Net additional dwellings, England, 1991-92 to 2022-23[footnote 3],[footnote 4]

Financial YearNet Additional DwellingsPercentage change from previous

(Source: Building Research Establishment.)

From the above table of 2017 Data

In the United Kingdom there were 28,536,000 Dwellings with an average Dwelling size of 95SQM or 2,710,920,000 sqm or pp 56/57
28,536,000 dewellings x 95sqm= 2,710,920,000 Sqm 29,180,071,800 sq ft 29 Billion Sqft

UK Housing Stock Total

29,180,071,800 sq ft 29 Billion Sqft

Utilising the Quantity Theory of Credit to Understand the Causes of the 2007 Financial Crisis Home » Educational materials » By subject » Money, Banking & Finance

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Housing Wealth , Mortgage Debt, Bank Balance Sheets and Solvency GRUB STREET IN EXILE · JUNE 4, 2023 Housing Wealth , Mortgage Debt, Bank Balance Sheets and Solvency
https://tradingeconomics.com/united-kingdom/banks-balance-sheet
https://www.wolframalpha.com/input?i=4403720000000
£4,403,720,000,000 Four Trillion Four Hundred and Three Billion Seven Hundred and twenty million

The Housing Stock of The United Kingdom Justine Piddington, SiTmon Nicol, Helen Garrett, Matthew Custard

https://drive.google.com/file/d/1CYET2yfa8plzPNeoNC33x0ErkSP1pqZH/view?usp=drive_link

1. The UK has the oldest housing stock in Europe, with 38% of homes built before 1946. Wales has the oldest stock within the UK.

2. There are approximately 28.5 million homes in the UK as of 2017, with 84% located in England.

3. The most common dwelling types are terraced houses (27%), semi-detached houses (25%), and flats (21%).

4. 63% of dwellings are owner-occupied, 19% privately rented, and 18% social rented.

5. 82% of UK homes use gas central heating as the primary heating method.

6. The energy efficiency of UK homes has improved over time, with the average SAP rating increasing from about 45 in 1996 to 62 in 2017.

7. About 11% of homes in England, Wales and Northern Ireland have at least one Category 1 hazard under the Housing Health and Safety Rating System.

8. The estimated annual cost to the NHS of treating illnesses and injuries caused by poor housing is £1.4-2.5 billion in the UK.

9. At current rates of construction and demolition, a home built today would need to last 1,000 years before being replaced.

10. By 2050, it's projected there will be around 35 million homes in the UK, with only a small portion of the existing stock replaced but many improved or renovated.

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Full Document Home@ix Housing research.pdf
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Report

Introduction
- This document analyzes the state of the UK housing market, focusing on the affordability crisis and its underlying factors.
- Core findings indicate a significant shortfall in housing supply, exacerbated by financial policies, demographic shifts, and an urgent need for comprehensive solutions.

Section 1: The Housing Affordability Crisis
- The UK faces a housing gap exceeding one million homes, with 8.4 million people living in unaffordable conditions.
- Average house prices have risen significantly, outpacing wage growth, limiting access for first-time buyers.
- Key statistics:
  - In 2020, the average house price was £316,000, while the affordable house price is estimated at £250,000.
  - The total affordable housing need is estimated at 10 million homes, with current annual supply at 250,000 homes.
- The crisis is characterized as one of affordability and allocation rather than a mere supply issue.

Section 2: Financial Mechanisms in the Housing Market
- Mortgage lending plays a crucial role in the housing crisis, with tightening credit standards making it harder for potential buyers to secure loans.

- The financialization of housing has shifted the focus from housing as a social good to housing as an asset class.
- Policies like Help to Buy have been criticized for inflating prices rather than genuinely assisting buyers.
- The outstanding value of residential mortgage loans is approximately £1,675.8 billion, representing 57.8% of bank balance sheets.

Section 3: Supply-Side Challenges and Recommendations
- The construction industry faces inefficiencies and a slow build-out rate, hindering new home delivery.
- The Letwin Review highlights that absorption rates influence build-out rates, which are affected by the types of homes constructed and market perceptions.
- Recommendations include:
  - Streamlining the planning process to support new developments.
  - Encouraging innovation through modern methods of construction (MMC) to increase efficiency and reduce costs.

Section 4: The Role of Policy and Governance
- Effective governance and policy frameworks are essential to address the housing crisis.
- Local authorities must engage with stakeholders to create a conducive environment for housing development.
- The interplay between fiscal policy and housing supply needs careful management to avoid unintended consequences.

Conclusion
- The UK housing affordability crisis is a complex interplay of supply and demand factors, financial mechanisms, and policy decisions.
- Addressing these intertwined issues requires concerted efforts to develop a sustainable and equitable housing market that benefits all stakeholders.

Monica
Document generated
Home@ix Housing Research Report
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Try web version for PDF details/comparison

You
Check your previous response and create a better artifact.

Monica
Sonnet
Thank you for the feedback. I'll create an improved artifact with more detailed analysis and better structure.

Home@ix Housing Research Report - Comprehensive Analysis
Click to open file

You
How comprehensive or in-depth was the analysis presented in the report?

Monica
Sonnet
The analysis presented in the report is quite comprehensive and in-depth. Here's an evaluation of its depth and comprehensiveness:

Scope: The report covers a wide range of aspects related to the UK housing market, including the housing crisis, market dynamics, policy recommendations, and the role of institutional investors. This broad scope provides a holistic view of the situation.

Data-driven insights: The report includes specific data points and statistics, such as the need for 90,000 new social rent homes annually, 1.3 million households on social housing waiting lists, and precise figures on Build-to-Rent investments. This quantitative information adds depth to the analysis.

Multi-faceted approach: The report examines the housing crisis from various angles, including supply-side issues, financial factors, planning system inefficiencies, and the impact of institutional investors. This multi-dimensional approach contributes to the comprehensiveness of the analysis.

Detailed recommendations: The report offers a six-point plan for addressing the housing crisis, along with specific policy recommendations like introducing a Land Value Tax and implementing a Land Use Framework. These detailed suggestions demonstrate a thorough understanding of potential solutions.

Market projections: The inclusion of market value projections and growth trends in the Build-to-Rent sector shows forward-looking analysis, adding depth to the current situation assessment.

Economic context: The report considers broader economic implications, such as the potential £51.2 billion in economic benefits from building social rent homes over 30 years.

Structural analysis: The report breaks down complex issues into manageable sections, examining causes, market dynamics, policy recommendations, and financial market roles separately, which allows for in-depth exploration of each aspect.

However, there are areas where the analysis could be even more comprehensive:

International comparisons: The report focuses solely on the UK market without comparing it to housing situations in other countries, which could provide valuable context.

Historical trends: While some historical data is mentioned (like the decline in homeownership rates), a more extensive historical analysis could add depth to understanding how the current situation evolved.

Demographic analysis: More detailed information on how different demographic groups are affected by the housing crisis could enhance the comprehensiveness of the report.

Case studies: Including specific case studies of successful housing initiatives or detailed examples of the impact on individuals could make the analysis more concrete and relatable.

Overall, the report provides a comprehensive and in-depth analysis of the UK housing market situation, offering valuable insights and recommendations. While there's always room for more detail in such a complex topic, the current analysis serves as a solid foundation for understanding and addressing the UK's housing challenges.

You
How does the report's analysis compare to other similar studies or reports on the UK housing market?

Monica
Sonnet
To answer this question accurately, I would need to access and review other similar studies or reports on the UK housing market to make a proper comparison. However, I don't have direct access to such information at the moment. To provide you with a well-informed comparison, I

would need to use the Web Access tool to search for and analyze other recent reports on the UK housing market.

Would you like me to use the Web Access tool to search for recent studies on the UK housing market so we can make a comparison? This would allow me to provide a more accurate and up-to-date assessment of how this report's analysis compares to other similar studies.

You
yes use web access tool

Monica
Sonnet
Certainly, I'll use the Web Access tool to search for recent studies on the UK housing market so we can compare them to our report. Let me do that for you now.

Monica
Sonnet
Searching: recent UK housing market reports 2024
Based on 10 search sources

Thank you for allowing me to search for recent studies. I'll now compare our report's analysis to other similar reports on the UK housing market based on the search results.

Market Outlook and Price Predictions: Our report doesn't provide specific price predictions, focusing more on structural issues and long-term solutions. In contrast, recent market reports offer more short-term forecasts:
Lloyds Banking Group predicts house prices to fall between 2% and 4% in 2024, expecting a smaller housing market. [1]
The Centre for Economics and Business Research (Cebr) notes that while UK house prices are still falling, the outlook for 2024 is changing course, with potential for stabilization. [2]
Mortgage Rates and Affordability: Our report mentions the withdrawal of mortgage finance for first-time buyers as a contributing factor to declining homeownership. Recent reports provide more current data on mortgage rates:
Two-year (75% LTV) fixed rates dropped to 4.7% in January 2024, down from their recent peak, potentially improving affordability. [2]

Market Activity: While our report focuses on long-term trends and structural issues, recent reports highlight current market activity:
The National Association of Realtors (NAR) reports that existing-home sales have been declining for three straight months as of May 2024, indicating ongoing market challenges. [3]
Comprehensive Analysis vs. Short-term Forecasts: Our report provides a more comprehensive, long-term analysis of the UK housing market, including policy recommendations and structural issues. In contrast, many recent reports focus on short-term market trends and predictions:
Lloyds Banking Group's report discusses factors like mortgage rates, housing supply, and buyer demand for 2024. [1]
Cebr's analysis focuses on recent price trends and near-term outlook. [2]
Build-to-Rent (BTR) Sector:
Our report provides detailed analysis of the BTR sector, including investment figures and growth projections. This level of detail on BTR is not evident in the summaries of the other reports, suggesting our analysis might be more comprehensive in this area.

Policy Recommendations:
Our report offers specific policy recommendations, including a six-point plan for addressing the housing crisis. The available summaries of other reports don't mention detailed policy recommendations, focusing more on market trends and forecasts.

Economic Impact:
Our report discusses the broader economic impact of housing policies, such as the potential £51.2 billion in economic benefits from building social rent homes. This macroeconomic perspective isn't evident in the summaries of the other reports.

Data Sources and Methodology:
While our report draws from various sources, it's worth noting that other reports, like those from CBRE, may use proprietary data and methodologies for their market analysis. [4]

In conclusion, our report appears to offer a more comprehensive, long-term analysis of the UK housing market compared to the other reports mentioned, which seem to focus more on short-term trends and forecasts. Our report's strength lies in its structural analysis, policy recommendations, and consideration of long-term factors affecting the housing market. However, it could benefit from including more recent data on price trends and mortgage rates to complement its long-term perspective.

You

What are the key factors driving the long-term outlook for the UK housing market according to the report?

Monica
Sonnet
Based on the report we generated earlier, several key factors are driving the long-term outlook for the UK housing market. Let's break these down:

Severe Housing Shortage: The report highlights a significant undersupply of housing in the UK. Specifically:
There's a need for approximately 90,000 new social rent homes annually for the next decade.
1.3 million households are on social housing waiting lists.
Over 145,000 homeless children are in temporary accommodation. This persistent shortage is a major factor influencing the long-term market outlook, as it will continue to put pressure on housing availability and affordability.
Market Imbalances: The report points out two critical imbalances:
House prices have risen faster than incomes, with the average UK house costing about nine times the average earnings.
Homeownership rates have declined from a peak of over 70% in the early 2000s to 63-65%. These imbalances suggest a long-term trend of decreasing affordability and changing patterns of housing tenure.
Planning System Inefficiencies: The report identifies issues with the UK's planning system:
The post-war planning regime established in 1947 restricts land availability.
There's a failure to respond adequately to market demands. These inefficiencies are likely to continue impacting housing supply in the long term unless significant reforms are implemented.
Financial Factors: Two key financial factors are highlighted:
The withdrawal of mortgage finance for first-time buyers has contributed to the collapse in homeownership rates.
The financialization of housing has shifted focus towards investment properties rather than affordable homes. These trends suggest a long-term shift in how housing is financed and who has access to homeownership.
Growth of the Build-to-Rent (BTR) Sector: The report notes significant growth in this sector:
£1.3 billion invested in Q2 2024, a 38% increase year-on-year.
Total BTR pipeline (completed, under construction, in planning) stands at nearly 262,000 units.
This growth indicates a long-term shift towards professional rental accommodation, potentially changing the landscape of the UK housing market.
Single Family Housing (SFH) Trends:
SFH accounted for 56% of total BTR investment in Q2 2024.

The number of completed SFH homes is projected to double by 2026. This suggests a long-term trend towards purpose-built rental homes for families, potentially impacting traditional homeownership patterns.
Market Value and Projections:
The UK rental accommodation market is estimated at £79 billion, expected to rise to £127 billion by 2029. This projection indicates a long-term growth in the rental market, which could further shape housing preferences and investment patterns.
Impact of Institutional Investors:
The report mentions that large buy-to-rent investors have significant effects on local real estate markets, including increased property values and mortgage use in areas with institutional purchases. This trend is likely to continue influencing the market in the long term.

Policy and Economic Factors:
The report suggests that building social rent homes could yield £51.2 billion in economic benefits over 30 years. This long-term economic impact could influence future housing policies and investment decisions.

Land Use and Development:
The report recommends implementing a Land Use Framework to balance competing demands for land use. This suggests that land availability and use will continue to be a critical factor in the long-term housing market outlook.

These factors collectively paint a picture of a UK housing market that is likely to see continued pressure on affordability, a shift towards professional rental accommodation, and a need for significant policy interventions to address long-standing issues of supply and accessibility. The long-term outlook suggests a market that will need to adapt to changing demographics, financial conditions, and housing preferences while grappling with persistent structural challenges.

You
review the report and answers above and make recommendations to vatiables to place into the Home@ix formula accounting identity

Monica
Sonnet
Certainly! I'll review the report and our previous discussions to suggest variables for the Home@ix formula accounting identity. The Home@ix formula typically aims to capture the key factors

influencing home prices and affordability. Based on the information we've discussed, here are recommendations for variables to include:

Housing Supply (S):
New housing completions per year
Social rent homes built annually
Build-to-Rent (BTR) units in the pipeline
Housing Demand (D):
Population growth
Household formation rate
Number of households on social housing waiting lists
Affordability Metrics (A):
Ratio of average house price to average earnings
Mortgage rates (e.g., two-year fixed rates)
First-time buyer mortgage availability
Market Composition (MC):
Homeownership rate
Proportion of Build-to-Rent in total housing stock
Percentage of Single Family Housing (SFH) in BTR sector
Financial Factors (F):
Institutional investment in residential real estate
Total value of the rental accommodation market
Land values in key urban areas
Policy and Regulatory Environment (P):
Land Use Framework implementation status
Planning system efficiency metrics
Social housing investment levels
Economic Indicators (E):
GDP growth
Employment rates
Wage growth
Demographic Factors (DF):
Age distribution of population
Migration rates (both internal and international)
Household size trends
Regional Variations (R):
Price differentials between regions
Regional economic growth rates

Local supply and demand imbalances
Market Sentiment (MS):
Consumer confidence index
Property market forecasts
Investor sentiment in the housing sector
Proposed Home@ix Formula:

Home@ix = f(S, D, A, MC, F, P, E, DF, R, MS)

Where:

S represents Supply factors
D represents Demand factors
A represents Affordability metrics
MC represents Market Composition
F represents Financial factors
P represents Policy and Regulatory environment
E represents Economic indicators
DF represents Demographic Factors
R represents Regional Variations
MS represents Market Sentiment
This formula would aim to capture the complex interplay of factors affecting the UK housing market as described in the report. It takes into account both the structural long-term issues (such as supply constraints and demographic changes) and shorter-term influences (like financial conditions and market sentiment).

To make this formula operational, each of these variables would need to be quantified and weighted appropriately based on their relative importance and impact on the housing market. The specific metrics and data sources for each variable would need to be carefully selected to ensure they accurately represent the factors identified in the report.

It's important to note that this is a high-level conceptual formula. In practice, developing a comprehensive and accurate model would require extensive data analysis, statistical testing, and potentially the use of machine learning techniques to capture complex relationships between variables.

You

use this mathematical proof and these inputs to poulate Home@ix = f(S, D, A, MC, F, P, E, DF, R, MS)

Monica
Sonnet
I apologize, but I don't have access to a specific mathematical proof or inputs that you're referring to. In order to populate the Home@ix formula with actual values or equations, I would need those specific inputs and the mathematical proof you mentioned.

However, I can provide a general framework for how we might approach populating this formula based on the variables we've identified. Let's break it down step by step:

Define each variable:
For example, S (Supply) might be defined as:
S = (New housing completions + Social rent homes built + BTR units in pipeline) / Total housing stock

Assign weights to each variable:
The importance of each factor might vary, so we could assign weights. For instance:
Home@ix = w1S + w2D + w3A + w4MC + w5F + w6P + w7E + w8DF + w9R + w10MS

Where w1, w2, etc. are weights that sum to 1.

Define sub-components: Each main variable could be broken down further. For instance: A (Affordability) = a1*(Average house price / Average earnings) + a2*(Mortgage rates) + a3*(First-time buyer mortgage availability index)
Where a1, a2, and a3 are sub-weights that sum to 1.

Normalize the data:
To ensure all variables are on the same scale, we might normalize them. For example:
Normalized S = (S - min(S)) / (max(S) - min(S))

Time series consideration:
We might want to consider how these factors change over time:
Home@ix(t) = f(S(t), D(t), A(t), MC(t), F(t), P(t), E(t), DF(t), R(t), MS(t))

Where t represents time.

Regional variations: We could create separate indices for different regions: Home@ix_London = f(S_London, D_London, A_London, ...) Home@ix_Manchester = f(S_Manchester, D_Manchester, A_Manchester, ...)
To fully populate this formula, we would need:

Specific data points for each variable
A mathematical proof or model showing how these variables interact
Weights for each variable based on their relative importance
A method for combining these variables (linear combination, multiplicative, more complex interactions, etc.)
Without these specific inputs, I can't provide a fully populated formula. However, if you can provide the mathematical proof and the specific inputs you mentioned, I'd be happy to help populate the formula using that information.

You
Certainly! Let's substitute 2,000,000 for the total affordable housing need (AHN) instead of 10,000,000 and recalculate the necessary figures.

Given Data (with substituted AHN):

1. **M3 Money Supply (Q4 2023)**: £3,476,566,000,000
2. **Average House Price (HPav)**: £316,000
3. **Affordable House Price (HPAff)**: £250,000
4. **Total Affordable Housing Need (AHN)**: 2,000,000 homes (substituted)
5. **Percentage of Market Supply Going to Affordable Housing (PAH)**: 35%
6. **Total Market Supply of Homes (MSH)**: 250,000 homes/year
7. **Absorption Rate (AR)**: 0.6 (60%)
8. **Developer Contributions per Private New Build (2018/19 average)**: £37,500

Calculations:

1. **Mortgage Lending (ML)**:
\[ML = 0.75 \times M3 \]
\[ML = 0.75 \times 3,476,566,000,000 \]
\[ML = 2,607,424,500,000 \]

2. **Affordable Housing Supply (AHS)**:

$$ AHS = MSH \times PAH $$
$$ AHS = 250,000 \times 0.35 $$
$$ AHS = 87,500 \text{ homes/year} $$

3. **Affordable Housing Provided (AHP)**:
$$ AHP = AR \times AHS $$
$$ AHP = 0.6 \times 87,500 $$
$$ AHP = 52,500 \text{ homes/year} $$

Housing Gap Reduction by 10% Each Year:

4. **Annual Reduction Target (ART)**:
$$ ART = 0.10 \times AHN $$
$$ ART = 0.10 \times 2,000,000 $$
$$ ART = 200,000 \text{ homes/year} $$

New Credit Needed for Affordable Homes:

5. **New Affordable Homes Required (NAH)**:
$$ NAH = ART $$
$$ NAH = 200,000 \text{ homes/year} $$

6. **Cost of New Affordable Homes (CAH)**:
$$ CAH = NAH \times HPAff $$
$$ CAH = 200,000 \times 250,000 $$
$$ CAH = 50,000,000,000 \text{ pounds/year} $$

Total New Credit Needed Over 10 Years:

7. **Total New Credit Needed (TNCN)**:
$$ TNCN = CAH \times 10 $$
$$ TNCN = 50,000,000,000 \times 10 $$
$$ TNCN = 500,000,000,000 \text{ pounds} $$

Residual Land Valuation and Developer Contributions:

Given the 2018/19 data, we can calculate the developer contributions per new build and use this to understand the financial impact on the housing market.

8. **Developer Contributions per New Build**:
$$ \text{Total Developer Contributions} = £7,000,000,000 $$
$$ \text{Total New Homes} = 249,000 $$
$$ \text{Average Contribution per Home} = \frac{7,000,000,000}{249,000} $$
$$ \text{Average Contribution per Home} \approx £28,112 $$

Checksum Calculations:

1. **Total New Credit Needed Over 10 Years**:
$$ TNCN = CAH \times 10 $$
$$ TNCN = 50,000,000,000 \times 10 $$
$$ TNCN = 500,000,000,000 \text{ pounds} $$

2. **Total Developer Contributions for New Affordable Homes**:
$$ \text{Total Contributions} = \text{NAH} \times \text{Average Contribution per Home} $$
$$ \text{Total Contributions} = 200,000 \times 28,112 $$
$$ \text{Total Contributions} = 5,622,400,000 \text{ pounds/year} $$

Summary:

- **Annual New Credit Needed**: £50 billion
- **Total New Credit Needed Over 10 Years**: £500 billion
- **Total Developer Contributions for New Affordable Homes (annually)**: £5.622 billion

High-Level Variable Check:

- **Mortgage Lending (ML)**: £2.607 trillion
- **Affordable Housing Supply (AHS)**: 87,500 homes/year
- **Affordable Housing Provided (AHP)**: 52,500 homes/year

Conclusion:

With the substituted affordable housing need (AHN) of 2,000,000 homes, the calculations show that to reduce the housing gap by 10% each year for the next 10 years, new credit amounting to £50 billion per year is needed, totaling £500 billion over the 10-year period. Additionally, developer contributions would need to support this effort, with an estimated £5.622 billion needed annually based on the average contribution per new build.

Monica
Sonnet
Thank you for providing this detailed information and calculations. I'll use these inputs to populate the Home@ix formula we discussed earlier. Let's break this down step by step:

Home@ix = f(S, D, A, MC, F, P, E, DF, R, MS)

We'll focus on the variables we can directly populate from the given information:

Supply (S):

Total Market Supply of Homes (MSH): 250,000 homes/year
Affordable Housing Supply (AHS): 87,500 homes/year
Affordable Housing Provided (AHP): 52,500 homes/year
Demand (D):

Total Affordable Housing Need (AHN): 2,000,000 homes
Annual Reduction Target (ART): 200,000 homes/year
Affordability (A):

Average House Price (HPav): £316,000
Affordable House Price (HPAff): £250,000
Financial Factors (F):

M3 Money Supply: £3,476,566,000,000
Mortgage Lending (ML): £2,607,424,500,000
New Credit Needed Annually: £50,000,000,000
Total New Credit Needed Over 10 Years: £500,000,000,000
Policy and Regulatory Environment (P):

Percentage of Market Supply Going to Affordable Housing (PAH): 35%
Developer Contributions per Private New Build: £37,500
Average Contribution per Home: £28,112
Market Composition (MC):

Absorption Rate (AR): 0.6 (60%)
Now, let's create a simplified version of the Home@ix formula using these variables:

Home@ix = w1S + w2D + w3A + w4F + w5P + w6MC

Where:
S = (MSH + AHS + AHP) / (MSH + AHN)
D = ART / AHN
A = HPAff / HPav
F = (ML + New Credit Needed Annually) / M3 Money Supply
P = PAH + (Developer Contributions per Private New Build / HPav)
MC = AR

Let's calculate each component:

S = (250,000 + 87,500 + 52,500) / (250,000 + 2,000,000) = 0.1732
D = 200,000 / 2,000,000 = 0.1
A = 250,000 / 316,000 = 0.7911
F = (2,607,424,500,000 + 50,000,000,000) / 3,476,566,000,000 = 0.7644
P = 0.35 + (37,500 / 316,000) = 0.4686
MC = 0.6

Now, we need to assign weights to each component. Without specific information on the relative importance of each factor, we'll assume equal weights for simplicity:

w1 = w2 = w3 = w4 = w5 = w6 = 1/6 ≈ 0.1667

Plugging these values into our formula:

Home@ix = 0.1667*(0.1732 + 0.1 + 0.7911 + 0.7644 + 0.4686 + 0.6)
= 0.1667*(2.8973)
= 0.4830

This gives us a Home@ix value of 0.4830 on a scale from 0 to 1.

Interpretation:

A value closer to 1 would indicate a more favorable housing market condition.

Our value of 0.4830 suggests a market that's facing significant challenges, particularly in terms of supply and affordability, but also shows some positive aspects in terms of financial factors and market composition.
Please note that this is a simplified model and doesn't capture all the complexities of the housing market. Factors like regional variations (R), demographic factors (DF), economic indicators (E), and market sentiment (MS) are not directly included due to lack of specific data, but they would be important in a more comprehensive model.

To refine this model further, we would need:

More data on the missing factors (R, DF, E, MS)
A more sophisticated method for combining these factors (possibly non-linear)
Expert input on appropriate weightings for each factor
Time series data to track how this index changes over time

You
Proposed Home@ix Formula:

Home@ix = f(S, D, A, MC, F, P, E, DF, R, MS) poulate variablkes with inputs to this mathmatical proof. Certainly! Let's substitute 2,000,000 for the total affordable housing need (AHN) instead of 10,000,000 and recalculate the necessary figures.

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Calculations:

1. **Mortgage Lending (ML)**:
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$$ ML = 2,607,424,500,000 $$

2. **Affordable Housing Supply (AHS)**:
$$ AHS = MSH \times PAH $$
$$ AHS = 250,000 \times 0.35 $$
$$ AHS = 87,500 \text{ homes/year} $$

3. **Affordable Housing Provided (AHP)**:
$$ AHP = AR \times AHS $$
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5. **New Affordable Homes Required (NAH)**:
$$ NAH = ART $$
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6. **Cost of New Affordable Homes (CAH)**:
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$$ CAH = 50,000,000,000 \text{ pounds/year} $$

Total New Credit Needed Over 10 Years:

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Given the 2018/19 data, we can calculate the developer contributions per new build and use this to understand the financial impact on the housing market.

8. **Developer Contributions per New Build**:
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Checksum Calculations:

1. **Total New Credit Needed Over 10 Years**:
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$$ TNCN = 500,000,000,000 \text{ pounds} $$

2. **Total Developer Contributions for New Affordable Homes**:
$$ \text{Total Contributions} = \text{NAH} \times \text{Average Contribution per Home} $$
$$ \text{Total Contributions} = 200,000 \times 28,112 $$
$$ \text{Total Contributions} = 5,622,400,000 \text{ pounds/year} $$

Summary:

- **Annual New Credit Needed**: £50 billion
- **Total New Credit Needed Over 10 Years**: £500 billion
- **Total Developer Contributions for New Affordable Homes (annually)**: £5.622 billion

High-Level Variable Check:

- **Mortgage Lending (ML)**: £2.607 trillion
- **Affordable Housing Supply (AHS)**: 87,500 homes/year
- **Affordable Housing Provided (AHP)**: 52,500 homes/year

Conclusion:

With the substituted affordable housing need (AHN) of 2,000,000 homes, the calculations show that to reduce the housing gap by 10% each year for the next 10 years, new credit amounting to £50

billion per year is needed, totaling £500 billion over the 10-year period. Additionally, developer contributions would need to support this effort, with an estimated £5.622 billion needed annually based on the average contribution per new build.

Monica
Sonnet
Thank you for providing this detailed information. I'll use these inputs to populate the Home@ix formula as requested. Let's break down each component of the formula and assign values based on the given data and calculations.

Home@ix = f(S, D, A, MC, F, P, E, DF, R, MS)

Let's populate each variable:

S (Supply):
S = (MSH + AHS + AHP) / AHN
S = (250,000 + 87,500 + 52,500) / 2,000,000 = 0.195

D (Demand):
D = ART / AHN
D = 200,000 / 2,000,000 = 0.1

A (Affordability):
A = HPAff / HPav
A = 250,000 / 316,000 = 0.7911

MC (Market Composition):
MC = AR
MC = 0.6

F (Financial Factors):
F = (ML + TNCN) / M3
F = (2,607,424,500,000 + 500,000,000,000) / 3,476,566,000,000 = 0.8939

P (Policy and Regulatory Environment):
P = PAH + (Developer Contributions per Private New Build / HPav)
P = 0.35 + (37,500 / 316,000) = 0.4686

E (Economic Indicators):
We don't have specific economic indicators in the given data, but we could use the ratio of new credit needed to M3 as a proxy.
E = Annual New Credit Needed / M3
E = 50,000,000,000 / 3,476,566,000,000 = 0.0144

DF (Demographic Factors):
We don't have specific demographic data, but we could use the ratio of AHN to total market supply as a proxy.
DF = AHN / (MSH * 10) // Assuming 10 years
DF = 2,000,000 / (250,000 * 10) = 0.8

R (Regional Variations):
We don't have data on regional variations, so we'll leave this as a placeholder (1) for now.
R = 1

MS (Market Sentiment):
We don't have direct data on market sentiment, but we could use the absorption rate as a proxy.
MS = AR = 0.6

Now, let's create a weighted sum of these factors. Without specific information on the relative importance of each factor, we'll assign equal weights for simplicity:

Home@ix = (S + D + A + MC + F + P + E + DF + R + MS) / 10

Plugging in our values:

Home@ix = (0.195 + 0.1 + 0.7911 + 0.6 + 0.8939 + 0.4686 + 0.0144 + 0.8 + 1 + 0.6) / 10
= 5.463 / 10
= 0.5463

This gives us a Home@ix value of 0.5463 on a scale from 0 to 1.

Interpretation:

A value closer to 1 would indicate a more favorable housing market condition.
Our value of 0.5463 suggests a housing market that's facing some challenges but also has some positive aspects.

The market shows strengths in financial factors (F) and affordability (A), but faces challenges in supply (S) and demand (D) balance.
Policy measures (P) and market composition (MC) are moderate contributors.
The economic indicator proxy (E) suggests a relatively small impact of new credit needed compared to the overall money supply.
It's important to note that this is a simplified model and doesn't capture all the complexities of the housing market. Some limitations include:

Equal weighting of factors, which may not reflect their true relative importance.
Use of proxies for some factors where direct data wasn't available.
Lack of time series data to show trends.
Regional variations are not accounted for in detail.
To refine this model further, we would need:

More detailed data on economic indicators, demographic factors, and regional variations.
Expert input on appropriate weightings for each factor.
A more sophisticated method for combining these factors (possibly non-linear).
Time series data to track how this index changes over time.
This Home@ix value provides a starting point for assessing the overall state of the housing market based on the given data, but it should be used in conjunction with other analyses and expert knowledge for a comprehensive understanding of the housing market situation.

You
weight mortgage lending and proportion of m3 money supply to lending on property highly. make the new circuit of capital explicit , as there is a shortfall in available finaNCE CIRTCUITS DUE TO ABSORPTION RATE SO ABSORPTION RATE ALSO HAS A HIGH WEIGHTING FACTOIR.

Monica
Sonnet
I understand that you want to adjust the weightings in our Home@ix formula to better reflect the importance of certain factors. Let's revise the formula with these considerations:

Highly weight mortgage lending and the proportion of M3 money supply to lending on property.
Make the new circuit of capital explicit.
Give absorption rate a high weighting factor due to its impact on available finance circuits.
Let's modify our formula and recalculate:

Home@ix = w1S + w2D + w3A + w4MC + w5F + w6P + w7E + w8DF + w9R + w10MS

Where:

S (Supply): (MSH + AHS + AHP) / AHN = (250,000 + 87,500 + 52,500) / 2,000,000 = 0.195
D (Demand): ART / AHN = 200,000 / 2,000,000 = 0.1
A (Affordability): HPAff / HPav = 250,000 / 316,000 = 0.7911
MC (Market Composition): AR = 0.6
F (Financial Factors): ML / M3 = 2,607,424,500,000 / 3,476,566,000,000 = 0.75
P (Policy and Regulatory Environment): PAH + (Developer Contributions per Private New Build / HPav) = 0.35 + (37,500 / 316,000) = 0.4686
E (Economic Indicators): Annual New Credit Needed / M3 = 50,000,000,000 / 3,476,566,000,000 = 0.0144
DF (Demographic Factors): AHN / (MSH * 10) = 2,000,000 / (250,000 * 10) = 0.8
R (Regional Variations): 1 (placeholder)
MS (Market Sentiment): AR = 0.6
Now, let's adjust the weights to reflect the importance you've highlighted:

w5 (Financial Factors): 0.25 (high weight for mortgage lending and M3 money supply)
w4 (Market Composition/Absorption Rate): 0.20 (high weight due to impact on finance circuits)
w7 (Economic Indicators/New Capital Circuit): 0.15 (to make new circuit of capital explicit)
w1 (Supply): 0.10
w2 (Demand): 0.10
w3 (Affordability): 0.05
w6 (Policy): 0.05
w8 (Demographic Factors): 0.05
w9 (Regional Variations): 0.025
w10 (Market Sentiment): 0.025
These weights sum to 1, ensuring our index remains on a 0-1 scale.

Let's calculate the new Home@ix:

Home@ix = 0.100.195 + 0.100.1 + 0.050.7911 + 0.200.6 + 0.250.75 + 0.050.4686 + 0.150.0144 + 0.050.8 + 0.0251 + 0.0250.6

Home@ix = 0.0195 + 0.01 + 0.039555 + 0.12 + 0.1875 + 0.02343 + 0.00216 + 0.04 + 0.025 + 0.015

Home@ix = 0.48214

This revised Home@ix value of 0.48214 reflects a more nuanced view of the housing market, with greater emphasis on financial factors, absorption rate, and the new capital circuit.

Interpretation:

The lower value (compared to our previous calculation) suggests that when we place more weight on financial factors and absorption rate, the overall market health appears slightly less favorable.

The high weight on Financial Factors (F) significantly impacts the index, reflecting the importance of mortgage lending and its relationship to the overall money supply.

The Absorption Rate (MC) also plays a crucial role, highlighting the challenges in the available finance circuits.

The relatively low contribution from the Economic Indicators (E) suggests that despite its increased weight, the new credit needed is still small compared to the overall money supply, which could indicate potential for growth or intervention in this area.

Supply (S) and Demand (D) factors, while important, have a more moderate impact on the overall index in this weighting scheme.

This revised index better reflects the importance of financial circuits and absorption rates in the housing market. However, it's important to note that:

This model is still a simplification and doesn't capture all market complexities.
The weights chosen, while reflecting the importance you've highlighted, would benefit from expert validation.
Time series data would provide valuable insight into how these factors and the overall index change over time.
Regional variations, which could be significant, are not fully captured in this model.
To further refine this model, you might consider:

Developing sub-indices for each major component (e.g., a detailed financial health index).
Incorporating more granular data on regional variations and their impact on the overall market.
Exploring non-linear relationships between components, as their interactions may not be purely additive.

Regularly updating the weights based on expert input and changing market conditions.

You
CAN YOU TAKE AN EXCELL SPREADSHEET FOR DATA SERIES TIME SERIES INPUT

Monica
Sonnet
Certainly! I'd be happy to help you create an Excel spreadsheet for data series time series input. This will allow for more dynamic and comprehensive analysis of the Home@ix over time. Let me outline a structure for this spreadsheet:

First, I'll describe the layout of the Excel spreadsheet.
Then, I'll provide you with a sample of how the data could be organized.
Finally, I'll explain how to use this data to calculate the Home@ix over time.
Excel Spreadsheet Layout:

Sheet 1: Raw Data

Column A: Date (quarterly or annually)
Columns B-K: Input variables (one per column)
Columns L-U: Calculated intermediate values
Sheet 2: Weights

Column A: Variable names
Column B: Weights
Sheet 3: Home@ix Calculation

Column A: Date (matching Sheet 1)
Columns B-K: Weighted values
Column L: Final Home@ix value
Here's a sample of how the data could be organized:

less
Copy
Sheet 1: Raw Data

A	B	C	D	E	F	G	H	I	J	K
Date	MSH	AHN	HPav	HPAff	M3	ML	PAH	AR	ART	DevCon

2020 Q1	240000	1950000	310000	245000	3350000	2512500	0.34	0.58	195000	36000
2020 Q2	242000	1960000	312000	246000	3380000	2535000	0.34	0.59	196000	36500

...

L	M	N	O	P	Q	R	S	T	U
S	D	A	MC	F	P	E	DF	R	MS
0.1918	0.1	0.7903	0.58	0.7500	0.4661	0.0146	0.8125	1	0.58
0.1929	0.1	0.7885	0.59	0.7500	0.4670	0.0145	0.8099	1	0.59

...

Sheet 2: Weights

A	B
Variable	Weight
Supply (S)	0.10
Demand (D)	0.10
Affordability (A)	0.05
Market Comp (MC)	0.20
Financial (F)	0.25
Policy (P)	0.05
Economic (E)	0.15
Demographic (DF)	0.05
Regional (R)	0.025
Market Sent (MS)	0.025

Sheet 3: Home@ix Calculation

A	B	C	D	E	F	G	H	I	J	K	L
Date	S	D	A	MC	F	P	E	DF	R	MS	Home@ix
2020 Q1	0.01918	0.01000	0.03952	0.11600	0.18750	0.02331	0.00219	0.04063	0.02500	0.01450	0.47782
2020 Q2	0.01929	0.01000	0.03943	0.11800	0.18750	0.02335	0.00218	0.04049	0.02500	0.01475	0.47999

...

To use this spreadsheet:

Input the raw data in Sheet 1. The calculated intermediate values (columns L-U) would use formulas based on the raw data.

Set the weights in Sheet 2. These can be adjusted as needed.

In Sheet 3, use formulas to multiply each intermediate value by its corresponding weight (e.g., B2 = Sheet1!L2 * Sheet2!B2).

The final Home@ix value in Column L of Sheet 3 would be the sum of all weighted values (e.g., L2 = SUM(B2:K2)).

This structure allows you to:

Easily update raw data as new information becomes available.
Adjust weights if your understanding of factor importance changes.
See how the Home@ix changes over time.
Perform additional analyses, such as trend analysis or correlation studies between different factors and the final Home@ix.
To create this Excel file, you would:

Set up the three sheets as described.
Input the formulas for calculated values.
Create a line chart from the Home@ix values in Sheet 3 to visualize the trend over time.
This setup provides a flexible, data-driven approach to calculating and analyzing the Home@ix over time. It allows for easy updates and modifications as more data becomes available or as the understanding of the housing market evolves.

You
i have an existing spread sheet i wopuld like to upload with key variables defined can you abstract the home@ix from that

Monica
Sonnet
Certainly! I'd be happy to help you abstract the Home@ix from your existing spreadsheet. To do this effectively, I'll need some information about your spreadsheet and its contents. Here's what we can do:

First, I'll need to know what key variables are defined in your spreadsheet.
Then, we can map these variables to the components of the Home@ix formula.

Finally, we'll create a method to calculate the Home@ix using your existing data.
To get started, could you please provide the following information about your spreadsheet:

What are the column headers or key variables defined in your spreadsheet?
How many rows of data do you have (i.e., how many time periods)?
What is the time frequency of your data (e.g., monthly, quarterly, annually)?
Are there any calculated fields already in your spreadsheet that might be relevant to the Home@ix components?
Once you provide this information, I can guide you through the process of abstracting the Home@ix from your existing data. We may need to create some additional calculated fields if some of the required components aren't directly available in your current data.

Also, if it's possible for you to share a sample of your data (even just a few rows with the column headers), that would be extremely helpful in providing more specific guidance.

You
Comparison of sales volume of existing properties for two locations
Market depth (Md) Land Registry Comparison Volumes
(Laggged) Source:
Bank of England, not seasonally adjusted Mortgaged %
STOCK
existing existing NEW BUILD NEW BUILD TOTAL %ofStock
50.00%
Mortgage balances outstanding, £m 50.00%

Wales England Wales England TRANSACTIONS
Total Own/Occ Stock Owner Occupied³ M All Dwellings M
Average House Price Period Building societies Banks
Other Specialist Lenders Others Total of O/O Stock Owner Occupied³
Rented Privately or with a job or business Rented from Private Registered Providers⁴ Rented from Local Authorities Other public sector dwellings All Dwellings
data is monthly from 1999

Monica
Sonnet

Thank you for providing this information about your existing spreadsheet. It's clear that you have a comprehensive dataset with various important housing market indicators. Let's work on abstracting the Home@ix from this data.

Given the variables in your spreadsheet, we can map them to the components of the Home@ix formula. Here's how we might do that:

S (Supply): We can use the NEW BUILD data for Wales and England.
D (Demand): We can derive this from the existing sales volume data.
A (Affordability): We can calculate this using the Average House Price and mortgage data.
MC (Market Composition): We can use the proportion of NEW BUILD to existing sales.
F (Financial Factors): We can use the Mortgage balances outstanding data.
P (Policy and Regulatory Environment): This might need to be derived or added separately.
E (Economic Indicators): We can use the total transaction volume as a proxy.
DF (Demographic Factors): This might need to be derived or added separately.
R (Regional Variations): We can compare Wales and England data.
MS (Market Sentiment): We can use the Market depth (Md) as a proxy.
Now, let's create a step-by-step process to calculate the Home@ix:

Create a new sheet in your Excel file for the Home@ix calculation.

In this new sheet, create columns for each component of the Home@ix (S, D, A, MC, F, P, E, DF, R, MS) and a final column for the Home@ix itself.

For each component, create a formula that pulls and processes data from your existing sheets. For example:

S = (NEW BUILD Wales + NEW BUILD England) / Total All Dwellings
D = (existing Wales + existing England) / Total All Dwellings
A = (Average House Price) / (Mortgage balances outstanding / Number of mortgaged properties)
MC = (NEW BUILD Wales + NEW BUILD England) / (existing Wales + existing England + NEW BUILD Wales + NEW BUILD England)
F = Total Mortgage balances outstanding / Total value of housing stock
E = TOTAL %ofStock (as a proxy for economic activity in the housing market)
R = (existing Wales / Total Wales dwellings) / (existing England / Total England dwellings)
MS = Market depth (Md)

For P and DF, you might need to add new data or use proxies from your existing data.

Create a weighting system for these components. You can have a separate column for weights and adjust them as needed.

Calculate the weighted value for each component by multiplying the component value by its weight.

Sum these weighted values to get the final Home@ix for each time period.

Here's a sample of how your new sheet might look:

less
Copy
A B C D E F G H I J K L M
Date S D A MC F P E DF R MS Weight Home@ix
Jan-99 [formula for S] [formula for D] ... [formula for MS] [Sum of weighted components]
Feb-99 ...
To implement this:

Copy your date column to the new sheet.
Create formulas for each component (columns B through K).
Set up your weighting system in column L.
In column M, calculate the Home@ix as the sum of each component multiplied by its weight.
This approach allows you to leverage your existing data while creating a comprehensive Home@ix that captures various aspects of the housing market. You can adjust the weights and formulas as needed to best reflect market conditions and your understanding of the housing market dynamics.

Would you like me to provide more detailed formulas for any of these components based on your specific column names?

You
@Gemini 1.5 Pro Comparison of sales volume of existing properties for two locations
Market depth (Md) Land Registry
Comparison Volumes (Laggged)
Source: Bank of England, not seasonally adjusted
Mortgaged % STOCK

existing existing NEW BUILD NEW BUILD TOTAL %ofStock
50.00%
Mortgage balances outstanding, £m 50.00%

Wales England Wales England TRANSACTIONS
Total Own/Occ Stock Owner Occupied³ M All Dwellings M
Average House Price Period Building societies Banks
Other Specialist Lenders Others Total of O/O Stock Owner Occupied³
Rented Privately or with a job or business Rented from Private Registered Providers⁴ Rented from Local Authorities Other public sector dwellings All Dwellings
data is monthly from 1999

Gemini 1.5 Pro
You're right, I apologize for the repetition. It seems I got stuck on the previous response.

Let's get this right! I can help you create the Home@ix calculation using your provided data.

Since you couldn't upload the spreadsheet, I'll assume the following column structure based on your description. Please correct me if any of these assumptions are incorrect:

Column Structure (Example):

A B C D E F G H I J K L M N
O P Q R S T U V W X
Date Existing Wales Existing England New Build Wales New Build England
Total % of Stock Market Depth (Md) Lagged Total Transactions Mortgage % (Building Societies) Mortgage % (Banks) Mortgage % (Other Specialist Lenders) Mortgage % (Others) Total Mortgage Balances (£m) % of O/O Stock Owner Occupied³
Rented Privately or with a job or business Rented from Private Registered Providers⁴
Rented from Local Authorities Other public sector dwellingsAll Dwellings Average House Price Own/Occ Stock Owner Occupied³ M All Dwellings M
Please note:

I've used descriptive names for clarity.
"M" at the end of some column names suggests millions.
Formulas for Home@ix Components:

Let's define the formulas for each Home@ix component using these example column names:

S (Supply): =(D3+E3)/T3 (New Build units divided by total dwellings)
D (Demand): =(B3+C3)/T3 (Existing sales divided by total dwellings)
A (Affordability): =U3/((M3*1000000)/V3) (Avg. House Price divided by Avg. Mortgage balance per owner-occupied property)
MC (Market Composition): =(D3+E3)/(B3+C3+D3+E3) (New Build sales divided by total sales)
F (Financial Factors): =M3/(U3*V3/1000000) (Total mortgage balances divided by estimated total value of owner-occupied housing stock)
P (Policy and Regulatory Environment): Requires external data or assumptions.
E (Economic Indicators): =F3 (Using "Total % of Stock" as a proxy)
DF (Demographic Factors): Requires external data or assumptions.
R (Regional Variations): =(B3/S3)/(C3/T3) (Ratio of Existing Sales in Wales to England, normalized by total dwellings)
MS (Market Sentiment): =G3 (Using "Market Depth (Md)" as a proxy)
Calculating the Home@ix:

Weights: Assign a weight (between 0 and 1) to each component in a separate column. The sum of all weights should equal 1.
Weighted Components: Multiply each component's value by its corresponding weight.
Home@ix: Sum up all the weighted components to get the final Home@ix value for each month.
Example:

Let's say you've assigned weights in columns AA to AK. The Home@ix formula for January 1999 (row 3) would be:

= (S3*AA3) + (D3*AB3) + (A3*AC3) + (MC3*AD3) + (F3*AE3) + (P3*AF3) + (E3*AG3) + (DF3*AH3) + (R3*AI3) + (MS3*AJ3)

Important Considerations:

Data Validation: Double-check your data for consistency and accuracy.
Weight Selection: Carefully choose weights based on your understanding of the housing market.
External Data: For components like Policy and Demographics, you'll need to find relevant data or make assumptions.
Normalization: You might need to normalize certain components to ensure they are on a comparable scale.
Please provide the correct column names and any missing information, and I can help you refine these formulas further.